Asia Siyaka Commodities PLC

Annual Report

2022/23

GEARING UP



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GEARING UP

In a year that showed much promise for Asia Siyaka, after the many obstacles that were surpassed, we looked inward to create strength and stability for the company. We focused on the heart of the business, and ensured that our team is revitalised and encouraged to look towards the future with optimism and confidence. We also added more facets to our service, improving and enhancing our facilities which resulted in a solid performance by the entire group. In a year of unmatched growth, we are keeping our eyes on the horizon, and buzzing with opportunity, as we gear up for the next phase of our journey.

OUR VISION

Being the safe, reliable, value enhancing, exchange facilitator in the commodity broking industry.

OUR MISSION

Driving commodity broking business with state-of-the-art practices through continual value addition by setting competitive standards in the industry to delight our customers.

OUR CORE VALUES

- Ethical
- Integrity
- Good Governance

About Our Report

Welcome to the Integrated Annual Report of Asia Siyaka Commodities PLC ("ASC" or "the Company") for the financial year ending 31st March 2023. This report sets out a concise and balanced view of how the Group strategically leveraged its resources to deliver value to its stakeholders. The Report also provides relevant information on the operating environment, corporate governance practices and risk management, while reflecting on the future.

Financial Reporting

- Sri Lanka Financial Reporting Standards.
- Sri Lanka Accounting and Auditing Standards Act No.15 of 1995
- Companies Act No 7 of 2007

Narrative Reporting

- Integrated Reporting Framework of the International Integrated Reporting Council (IIRC).

Corporate Governance

- Continued Listing Requirements of the Colombo Stock Exchange
- Code of Best Practice on Corporate Governance issued by The Institute of Chartered Accountants of Sri Lanka.

Reporting Frameworks

We have complied with the above reporting frameworks in preparing this report.

Navigation Icons



Reporting Period

We adopt an annual reporting cycle, and this report covers the financial period from 1st April 2022 to 31st March 2023. The report builds on the most recent report for the year ended 31st March 2022, for which comparatives are presented where applicable. There were no significant changes requiring restatements of financial information during the reporting period.

Scope and Boundary

The Report covers the operations of ASC and its subsidiaries, Asia Siyaka Warehousing (Pvt) Ltd and Siyaka Produce Brokers (Pvt) Ltd (collectively referred to as the "Group"). The Financial information presented on pages 86 to 129, and the discussion of financial aspects in the narrative report present a consolidated view of the Group unless otherwise stated, while the non-financial information presented across the narrative report represents that of the Company.

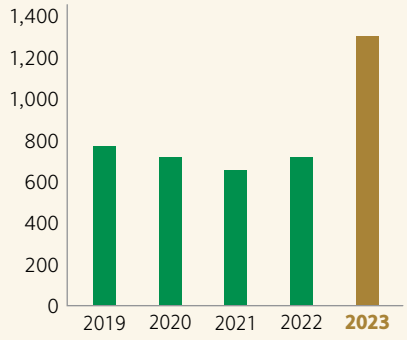
Feedback

Your feedback is important to us. We welcome your comments and suggestions to enhance the quality of our reporting. Please direct your comments and suggestions to: roshantha@siyaka.lk

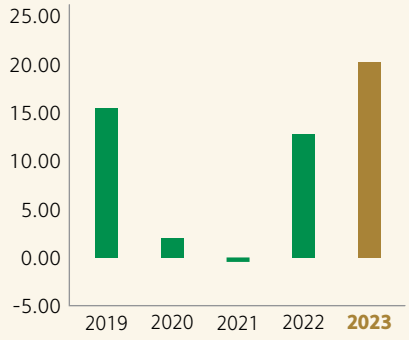
Financial Highlights

Financial Performance for the year ended 31st March		2023	2022	Change %
Revenue	Rs. million	1,292.10	711.61	81.57
Gross Profit	Rs. million	1,290.15	709.65	81.80
Operating Profit	Rs. million	651.79	240.12	171.45
Net Finance Cost	Rs. million	254.08	69.36	266.34
Profit/(Loss) Before Tax	Rs. million	397.71	170.76	132.90
Income Tax Expense	Rs. million	144.57	51.59	180.22
Profit/(Loss) for the period	Rs. million	253.14	119.17	112.42
Gross Margin	%	99.85	99.72	0.13
Operating Margin	%	50.44	33.74	49.50
Net Profit Margin	%	19.59	16.75	16.99
Return on Total Assets	%	6.32	4.19	50.92
Financial Position as at the year ended 31st March				
Total Assets	Rs. million	4,007.74	2,847.40	40.75
Long-term interest-bearing borrowings	Rs. million	10.71	75.00	(85.71)
Total Equity	Rs. million	1,261.47	940.52	34.12
Debt/(Debt + Equity)	Times	0.50	0.58	(14.24)
Debt/Total Assets	Times	0.31	0.26	20.79
Current Ratio	Times	1.12	1.12	(0.05)
Quick Asset Ratio	Times	1.12	1.12	(0.17)
Market/Shareholder Information as at the year ended 31st March				
Market Price of Share as at 31st March	Rs.	4.00	2.20	81.82
Market Capitalization	Rs. million	1,040	572	81.82
Price Earnings ratio	Times	4.12	4.78	(13.73)
Earnings per share	Rs.	0.97	0.46	110.86
Dividend yield	%	11.50	4.55	163.73
Dividend payout	%	49.30	21.82	125.94
Net Assets Value per share	Rs.	4.85	3.62	33.98
Value Added				
To the Government	Rs. million	165.56	58.84	181.38
To Employees	Rs. million	266.41	237.96	11.96
To Providers of Capital	Rs. million	124.80	26.00	380.00
To Providers of Funds	Rs. million	266.79	69.41	284.35
Retained for reinvestment and future growth	Rs. million	215.34	178.62	20.56
Total Value Added	Rs. million	1,038.90	570.82	82.00

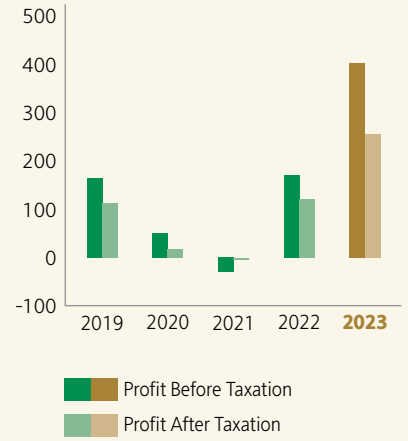
Gross Revenue (Rs. Mn)



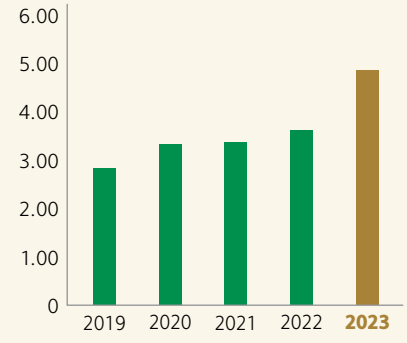
Return on Equity (%)



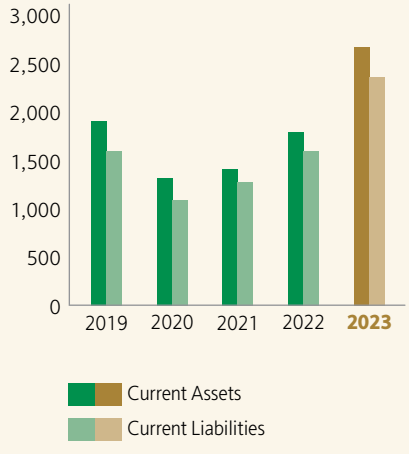
PBT/PAT (Rs. Mn)



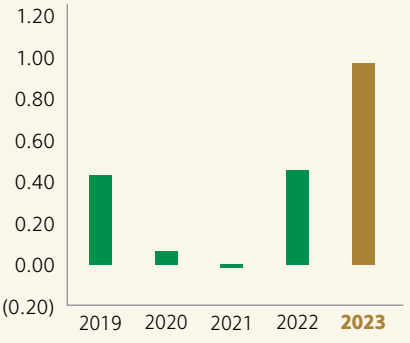
Net Assets Per Share (Rs.)



Current Assets/ Liabilities (Rs. Mn)



Earnings Per Share (Rs.)



About Us



Our Business at a Glance

Asia Siyaka Commodities PLC is a licensed tea broker and one of the country's leading market intermediaries in the tea industry.

Since its inception in 1998, the Company has pioneered several innovative and pragmatic solutions which have transformed the country's tea auction process and generated shared value across the tea supply chain.

Our Competitive Advantage

We nurture a unique base of organizational knowledge, sharpened by industry insight and domain specific knowledge of our highly skilled team, which has created a competitive advantage for the Company while contributing to the advancement of the industry.

Skilled and motivated team comprising industry veterans	Holistic value proposition through an array of services	Customer-centric and innovative solutions	Industry thought leadership

Presence along the Value Chain

More recently, the Group has sought to diversify its offering by expanding its presence across the value chain to include warehousing services, advisory and research support.

Group Structure

Asia Siyaka Commodities PLC

100%

Tea and Non-traditional Produce Broker



75%
of Group Revenue



77%
of Group Profit Before Tax

Asia Siyaka Warehousing (Pvt) Ltd

100%

Operates state-of-the-art warehouses



25%
of Group Revenue



23%
of Group Profit Before Tax

Siyaka Produce Brokers (Pvt) Ltd

100%

The Company did not engage in any business activities during the year.

Brokerage Services	Warehousing	Advisory	Research
Acts as an intermediary between manufacturers and buyers of tea by leveraging its strong relationships across the supply chain.	Providing warehousing solutions which in turn supports the smooth functioning of the country's tea logistics process.	Providing customers with market intelligence, guidance on factory and estate management	Conducting ongoing research on emerging industry trends and sharing knowledge with industry stakeholders



Team of 98
Employees



Rs. 1.29 Bn
Revenue



Rs. 253.14 Mn
Profit After Tax



Rs. 4.01 Bn
Total Assets



Rs. 1.26 Bn
Total Equity



Rs. 1.04 Bn
Market Capitalization

Non-Financial Highlights

Social & Relationship Capital

08
Regional Plantation Companies

90
Private Tea Factories

450,000
Tea Smallholders

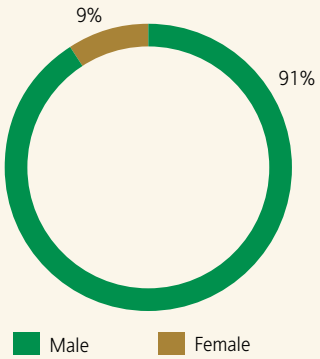
98
Suppliers

Human Capital

Pool of **98** employees

Retention rate of **96%**

Gender Representation



08
new job opportunities

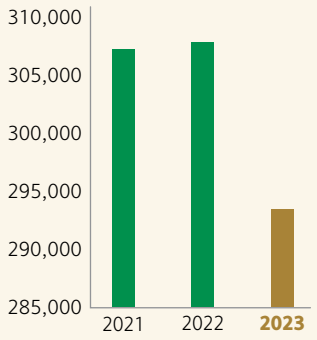
Investment in Training and Development:
Rs. 0.49 Mn
(2022: Rs. 0.01 Mn)

Rs. 266.41 Mn
Payments to Employees
(2022: Rs. 237.96 Mn)

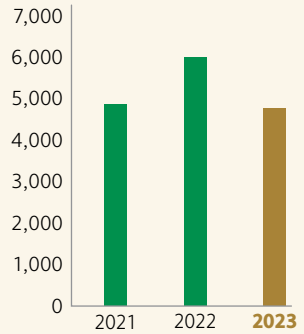
Natural Capital

Energy Consumption of
293,288 kwh

Energy Consumption (Kwh)



Water Consumption (m³)



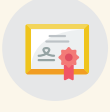
Intellectual Capital



541
years of collective industry experience

A Robust Governance Framework

Risk Management Practices



4
certifications obtained

Manufactured Capital

Rs. 43.76 Mn
in Capital Expenditure

86%
Warehouse Capacity Utilization



GEARING UP FOR A YEAR OF GREATNESS

Chairman's Message

"During the year we successfully seized opportunities to diversify our revenue sources particularly in the warehousing space. This enabled us to grow group revenue by almost 82%. Focus on cost optimization and efficiency across our businesses resulted in group pre-tax profit increasing by 133% to Rs. 397.7 Mn."

Dear Shareholder,
Amidst unprecedented challenges in our domestic economy compounded by global economic headwinds, the Asia Siyaka group had its best year of profitability.

The Sri Lankan economy experienced its deepest economic contraction since independence and globally geo-political tensions (Russia vs Ukraine, and US vs China) and sluggish global growth weighed on demand conditions. Despite these headwinds Asia Siyaka continued to generate multistakeholder value by adapting and adjusting to the challenging operating environment.

Against this backdrop, it is my pleasure to present to you our Annual Report and Financial Statements for the year ended 31st March 2023.

Operating Context

All three key sectors of the economy witnessed broad-based contraction resulting in the Sri Lankan economy contracting by 7.8% compared to the growth of 3.5% in 2021. The agriculture sector contracted by 4.6% in 2022 reflecting persistent supply side constraints while the manufacturing industry and service sector contracted by 16.0% and 2.0% respectively. Ballooning debt repayments exerted further pressure on already depleted foreign reserves resulting in acute shortages in foreign exchange liquidity and significant pressure on the exchange rate. Consequently, the Rupee fell to historically low levels in 2022, depreciating by 44.8% against the US dollar. This contributed to spiraling inflation and led to shortages of food and other essentials which promoted widespread social unrest and political upheaval in the country.

The plantation sector was impacted by these headwinds. The shortage of foreign currency together with the import restrictions imposed by the Government resulted in difficulties in obtaining essential supplies such as chemical fertilizers, agrochemicals, plant, machinery, and replacement parts. Meanwhile, the escalating inflationary pressures resulted in increased costs of raw materials and production. These had a significant impact on the overall operations and productivity of the plantation sector. This sector continued to feel the lag effect of the now rescinded fertilizer ban, with production volumes continuing to decline during the year. Despite these challenges, buoyant world commodity prices particularly during the first half of 2022, followed by the weaker Rupee assisted the industry in significantly increasing earnings.

Creating Value

We are committed to creating value for our multiple stakeholders by being nimble and agile in the face of evolving market conditions.

During the year we successfully seized opportunities to diversify our revenue sources particularly in the warehousing space. This enabled us to grow group revenue by almost 82%. Focus on

cost optimization and efficiency across our businesses resulted in group pre-tax profit increasing by 133% to Rs. 397.7 Mn.

Our management and the wealth of experience they bring to the table continue to be our key differentiator and we remained committed to enhancing our employee value proposition by providing opportunities for training and career development. We supported our employees through this high inflationary period compounded by a steep increase in taxation, by providing a range of financial relief packages to those most impacted. Closer engagement with clients meanwhile enabled us to strengthen our customer relationships and widen our networks across new geographies.

Governance

The Board continued to engage closely with the leadership during the year to identify and address emerging risks and opportunities in a rapidly evolving environment. The Company remains firmly committed to good corporate governance practices and ensured strict compliance with all applicable regulations while continuing to adopt best practices by upholding the highest standards of business integrity, ethical values, professionalism and transparency.

Way forward

As Sri Lanka looks towards a gradual economic recovery and more sustainable long-term growth, it is imperative that the tea industry, one of the country's key sectors preserves its competitiveness and market position by transforming itself into a dynamic, forward-thinking industry. As a leader in the industry, we remain committed to this transformation and will continue to drive industry efforts to enhance Sri Lanka's competitive edge and create value throughout the tea value chain.

Acknowledgments

On behalf of the Board of Directors, I wish to take this opportunity to place on record our deep appreciation to our outgoing chairman Mr. T. Someswaran for the leadership and direction he provided during the last five years, in steering the company to greater heights. We wish him well on all his future endeavors.

As I take on the role of Chairman of this prestigious twenty-five-year-old organization, I wish to thank my colleagues on the Board for the confidence they have placed in me.

I also wish to acknowledge the contribution of our Managing Director, Mr. Anil Cooke, not only for his executive leadership of this organization but of the tea industry as a whole.

Finally, I wish to thank our employees, shareholders, customers, suppliers, industry stakeholders and strategic partners for their ongoing support.



C.L. de Silva
Chairman

31 August 2023

Managing Director's Review

"The group recorded a strong performance during the year, with a 82% growth in consolidated revenue. The growth was supported by a recovery in brokerage income which witnessed a 90% growth compared to the previous year and a notable increase in interest on loans and client advances."

I am pleased to present to you a synopsis of the Group's performance during the financial year ended 31 March 2023. The Group recorded a strong performance for the second consecutive year with a revenue growth of almost 82.0% and a growth of profit after tax of 112.4%. The Group's strong performance amidst volatile operating conditions is a testament to its agility and responsiveness to evolving market conditions.

Industry Dynamics

Industry dynamics remained mixed during the year amidst a notable decline in production volumes and historically high tea prices at the Colombo Tea Auction (CTA). Sri Lankan tea production registered a significant decline of 16.0%, year-on-year, in 2022, largely due to the lagged effect of acute shortages of fertilizers and agrochemicals domestically. Prices at the CTA meanwhile reached historical highs in 2022 with the average price of tea increasing by almost 105.2% to Rs. 1,270.50 per kilogramme during the year, from Rs. 619.15 per kilogramme recorded in 2021. The increase in average tea prices during the year was partly attributed to the decline in the quantity supplied to the CTA amidst the decline in local production, while the depreciation of the Sri Lankan rupee also contributed to the price hike in rupee terms.

A Strong Performance

The group recorded a strong performance during the year, with a 82% growth in consolidated revenue. The growth was supported by a recovery in brokerage income which witnessed a 90% growth compared to the previous year and a notable increase in interest on loans and client advances. The warehousing operation meanwhile recorded a solid year-on-year growth of 12% further contributing to the commendable performance during the year. Operating profits also recorded a significant improvement as a result of the Group's concerted efforts to manage operating expenses. Supported by strong top line growth, the Group recorded a pre-tax profit of Rs. 397.7 Mn, a 133% growth compared to FY 2021/22. Profit after Tax meanwhile amounted to Rs. 253.1 Mn compared to Rs. 119.2 Mn during the previous year. The Group continued to enjoy strong financial stability with total assets and total equity increasing by 41% and 34% respectively during the year.

Diversifying our Revenue Base

We continued with our diversification strategy during the year, strategically diversifying our operations, customer base and geographical footprint to increase our earnings profile. As part of our efforts to optimize our warehousing space we strengthened our warehousing and logistics proposition and acquired several large non-tea clients and FMCG customers. As a result, we were able to achieve an 86% occupancy rate despite lower tea volumes during the year.
In tea, we also proactively sought to expand our customer base, leveraging our strong reputation and in-depth

industry knowledge to offer added value to existing and new customers.

People Focus

Our team of 20 professionals is one of our key assets and a critical differentiator. We continued to strengthen our team during the year attracting top talent and continuing to provide training and development to enhance and expand our skill set to suit emerging requirements. Ensuring the financial, physical and mental wellbeing of our employees also remained a key priority amidst the crisis situation in the country. Package of all permanent employees were adjusted to compensate for the high levels of inflation while additional support such as vouchers and allowances, cash allowances and dry ration packs were provided to support employees.

Driving Change

We remain committed to driving progressive change in the industry by collaborating with industry stakeholders to address critical issues facing the country's tea industry. As a key member of the Colombo Tea Traders Association, ASC continues to be actively involved in the national initiative 'Ceylon Tea Road Map 2030'. Led by the Colombo Tea Traders Association, the road map aims to drive sustainable value through the entire tea value chain in the country in order to better align the industry with global changes. Meanwhile The Group also plays a critical role in propagating good social and environmental practices across the tea supply chain through close engagement with factories and suppliers. We also continued to make steady progress on our journey of becoming a carbon neutral tea broker by continuing to invest in technology that ensures more responsible consumption of resources.

Way Forward

The year ahead remains challenging amidst a moderation of global growth and growing geo-political tensions in key buying markets which is likely to impact demand conditions for tea. Tea prices which achieved historical highs in 2022 have witnessed some downward momentum since April 2023, amidst increasing production in competitor nations. Notwithstanding the drop in prices, tea production in the country and by extension export volumes are expected to be positively impacted by the gradual recovery of the economy together with the reversal of the fertilizer ban. We are therefore optimistic of our prospects for FY 2023/24 and are confident that we are well placed to benefit from emerging opportunities while effectively responding to challenges.

Acknowledgements

The progress we have achieved to-date is a testament to our visionary leadership over the years; and I take this opportunity to acknowledge the contribution made by our leaders past and present. On behalf of the entire Asia Siyaka family, I extend my sincere appreciation to Mr. T. Someswaran for his valuable guidance and support throughout his tenure as chairman. We note with great sadness the demise of our friend and colleague Mr. Sohan Samaranayake who passed away in November 2022. Mr. Samaranayake's contribution to the Company over the years as a Director of the Board and Leader of the marketing team is immeasurable and he will be sorely missed. My heartfelt condolences go out to his family. While placing on record my deep appreciation to the Board of Directors for their ongoing support during these challenging times, I also extend my gratitude and appreciation to each and every member of Team Asia Siyaka. Their commitment and drive have enabled us to emerge stronger. As we enter a new chapter in our company's history, we are excited to have on board Mr. Chandana de Silva, our new chairman who brings withhim vast experience and knowledge and I look forward to working with him closely in the years to come and am certain that a professional of his calibre will add much value to the Board. Last but not least, I thank all our customers, buyers, regulatory authorities, government, and all other stakeholders for their continued support and belief in us.



A.R. Cooke
Managing Director

31 August 2023

Board of Directors

Mr. C.L. de Silva
Chairman

Mr. de Silva has 40 years of managerial and financial experience acquired in the United Kingdom and in Sri Lanka. In the UK, he rose to the position of Chief Financial Officer for Europe, of a Nasdaq quoted company, Level (3) Communications.

In Sri Lanka since 2002, he worked at MAS Holdings in a variety of roles before retiring as Chief Executive Officer of the MAS Investments Division at the end of 2011. Since then, Mr. de Silva has served and continues to serve as an independent, non-executive board member and as a Consultant.

A Fellow of the Institute of Chartered Accountants in England and Wales and in Sri Lanka, he also holds a Bachelor of Science in Mathematics and Management from the University of London, UK. He currently serves as Chairman, Janashakthi Limited; Director, First Capital Holdings PLC; Director, First Capital Treasuries PLC; Director Eureka Technologies (Pvt) Limited; Director, 24/7 Techies (Pvt) Limited. He is also a Director of Centre for Policy Alternatives and a Trustee of Lanka Environment Fund.

Mr. A.R. Cooke
Managing Director

Mr. Cooke has a wealth of experience counting 45 years as a Broker, Auctioneer, Tea Taster and Valuer, with nearly 21 years of his work experience gained at Forbes and Walker Ltd. He is a member of the Chartered Institute of Marketing (UK) and has previously served on the Board of Directors of Forbes & Walker Ltd, Forbes & Walker Tea Brokers (Pvt) Ltd and Forbes Ceylon Ltd.

He is Chairman of the Colombo Brokers' Association (CBA), a committee member of the Colombo Tea Traders' Association (CTTA) and a Director of the Sri Lanka Tea Board. He is a member of the Promotion and Marketing Committee of the Sri Lanka Tea Board and serves on committees of other marketing initiatives. He is Chairman of the Colombo Tea Traders' Association 2030 Road Map initiative and is a member of the CTTA Steering Committee which develops the E-Auction Platform and its Governess Committee. Mr. Cooke is a founder Director of Siyaka (Pvt) Limited and Founder Deputy Chief Executive Officer of Asia Siyaka Commodities (Pvt) Ltd. He is currently the Managing Director of Asia Siyaka Commodities, Asia Siyaka Warehousing (Pvt) Ltd; and Siyaka Produce Brokers (Pvt) Ltd.

Mr. D.J. Wedande
Executive Director

Mr. Wedande is a Founder Director of Siyaka (Pvt) Ltd and Founder Senior Vice President of Asia Siyaka Commodities (Pvt) Ltd. He has over 49 years of experience as an Auctioneer, Broker and Valuer in tea, rubber, coconut products and spices, initially at Forbes and Walker Ltd. He was the Chief Executive Officer of Centreline Tea Brokers, Mombasa, Kenya, 2000-2002.

Mr. S.G. Amarasuriya
Executive Director

Mr. Amarasuriya commenced his career in tea at Bartleet & Company Ltd in the year 1980 up to 1986 where he was actively involved in the Broking operations. Thereafter, Mr. Amarasuriya worked with two leading Tea Export organisations i.e. M. S. Hebtulabhoy & Company Ltd and Stassen Exports Ltd gaining significant exposure in Tea Trading and Exports. In 1998 he joined Forbes & Walker Tea Brokers (Pvt) Ltd where he worked as a Director handling their Low Country clientele. In 2004, he joined Lanka Commodity Brokers Ltd as a Director, and, currently serves as their Director/CEO.

Mr. Y. Kuruneru
Executive Director

Mr. Kuruneru who currently serves as the Chief Executive Officer of Asia Siyaka Commodities PLC and is a founder Director of Siyaka (Pvt) Ltd, a founder Vice President of Asia Siyaka Commodities (Pvt) Ltd, was appointed as a Senior Vice President in April 2011. He was in Tea Estate Management from 1988 till he joined Forbes & Walker Limited in 1993.

He counts over 34 years experience, 05 years estate management and 29 years in tea broking, Tea Tasting and as a Valuer.

He specializes in Tea Manufacturing advices with regular technical advisory visits to Tea Estates and Factories. Currently he serves as a resource person to the National Institute of Plantation Management.

Mr. R.C. Dissanayake
Executive Director

Mr. Dissanayake is a Founder Member of Asia Siyaka Commodities (Pvt) Ltd and was appointed Vice President in 2002, Senior Vice President in 2013 and Chief Operating Officer of Asia Siyaka Commodities PLC and Asia Siyaka Warehousing (Private) Limited in 2022.

He is a self-made individual whose main strength is his continual ability to bring in low country business and has brought in the most business over the years. He is a Manufacturing Advisor and overlooks the Sample Room and assists with the Warehouse management. He has a strong relationship with the low country clients and additionally works with the RPCs' higher elevation factories.

Mr. Dissanayake is a visiting lecturer at the National Institute of Plantation Management. He holds a MSc in Logistics and Supply Chain Management from the Birmingham City University in the United Kingdom.

Mr. H.R.V. Caldera
Non-Executive Director

Mr. Vernon Caldera counts over 59 years in the tea industry, having joined the trade in 1964. He has since held many senior positions including that of Director Tea at John Keells Ltd, Managing Director of Mercantile Brokers Ltd and Consultant at Forbes & Walker Tea Brokers (Pvt) Ltd. He was also a Non-Executive Director of Horana Plantations PLC. He served as a Consultant at Lanka Commodity Brokers Ltd for six years.

Mr. S.T. Gunatilleke
Non-Executive Director

Mr. Tissa Gunatilleke was appointed to the Board of Directors of Asia Siyaka Commodities PLC in May 2013. He served on the Boards of Hayleys Plantation Services (Pvt) Ltd, Talawakelle Tea Estates PLC, DPL Plantations (Pvt) Ltd, Kelani Valley Plantations PLC and Mabroc Teas (Pvt) Ltd. He is a senior planter with 50 years of experience in plantation management. He has held the position of Regional Director of Sri Lanka State Plantations Corporation and served as a Consultant to United Nations Industrial Development Organisation (UNIDO) on Tea Plantation Management.

Mr. J.N. Dambawinne
Non-Executive Director

Mr. Dambawinne has an excellent knowledge of tea and is responsible for grading, tasting, auctioning and marketing of tea. He counts over 44 years in the tea trade of which 12 years was at Somerville & Co Ltd and relinquished duties as Director and joined Mercantile Brokers Ltd as Director-Tea in 1992. He served with Mercantile Produce Brokers (Pvt) Ltd for 23 years, of which the last 14 years were as its Managing Director.

Board of Directors contd.

He has been a past Convener of the Tea Sub-Committee in 1988/89, 2002/03 and also the Broker Representative on the Committee of the CTTA in 1989, 2007/2008 and 2019/2020. He has also been a Surveyor for export of tea, appointed by the Ceylon Chamber of Commerce. He was appointed as a Member of the Tea Council by the Hon. Minister of Plantation Industries in 1996 and was appointed Deputy Chairman, Colombo Brokers Association for 2004/2005 and 2005/2006. He was the Chairman, Colombo Brokers Association for 2007/2008 and 2019/2020, Chairman, Tea Association of Sri Lanka for 2007/2008. Mr. Dambawinne also served as Director, Sri Lanka Tea Board 2004/2005, 2007/2008 and 2019/2020 and has also been a member of the Committee of The Ceylon Chamber of Commerce 2004/2005, 2007/2008, 2011/2012, 2012/2013, 2015/2016 & 2016/2017. He served on the Committee related to Plantations Sector appointed by the Hon. Minister of Public Enterprise Development in 2017/2018. He currently serves as the Managing Director of Lanka Commodity Brokers Limited.

Mr. Anandh Vaithylingam
Non-Executive Director

With an impressive career spanning over 30 years, Mr. Vaithylingam has garnered extensive experience across leading companies in Sri Lanka and India. Having returned to Sri Lanka in 2001, he assumed the role of Director at Sunshine Tea, later ascending to prominent positions within Sunshine Holdings PLC.

His versatile expertise encompasses plantation management, exports, and shipping/logistics. Notably, he served as Head of Plantations at Hatton Plantations PLC from 2017 to 2022, during its integration into Watawala Plantations and subsequent inclusion in the esteemed G&G Group of Companies. Currently based in the UK, Mr. Vaithylingam's seasoned insights continue to enrich his professional journey.

Mr. Reyhan Morris
Non-Executive Director

Mr. Reyhan Morris serves as General Manager, for Belluna Lanka Pvt Ltd, a fully owned subsidiary of Belluna Co, Japan.

Additionally, Mr. Morris also serves as a Board Director on the Boards of Galle Heritage Lanka (Private) Limited, Marine Drive Hotels (Private) Limited and Miriandhoo Maldives Resorts (Private) Limited.



Obituary
It is with profound sadness that we announce the untimely passing of our dear friend and colleague

SOHAN SAMARANAYAKE
Sohan joined Asia Siyaka in its founding year 1998, became a director in 2018 and was appointed as Chief Operations Officer in 2022.

He leaves behind his wife Niresha, son Nikesh, his Siyaka family & friends in the tea industry.

"May He Rest in Peace"

Corporate Management Team

Corporate Management Team	
Anil Cooke	*Managing Director*
Yashojith Kuruneru	*Director/Chief Executive Officer*
Charmara Dissanayake	*Director/Chief Operations Officer*
Dhammike Wedande	*Director/Consultant*
Vernon Caldera	*Director/Consultant*

Marketing and Consultancy	
Shashike Silva	*Senior Vice President*
Kirk Wijesekera	*Senior Vice President- High & Medium*
Deepal Jayamanne	*Consultant-Tea*
Praveen Weerasinghe	*Senior Manager- Low Grown*
Anjula de Silva	*Manager- High & Medium*
Hiran Premawardhana	*Assistant Manager-Low Grown*
Mohammed Himas	*Assistant Manager- Low Grown*
Nipuna Fernando	*Assistant Manager- High & Medium*

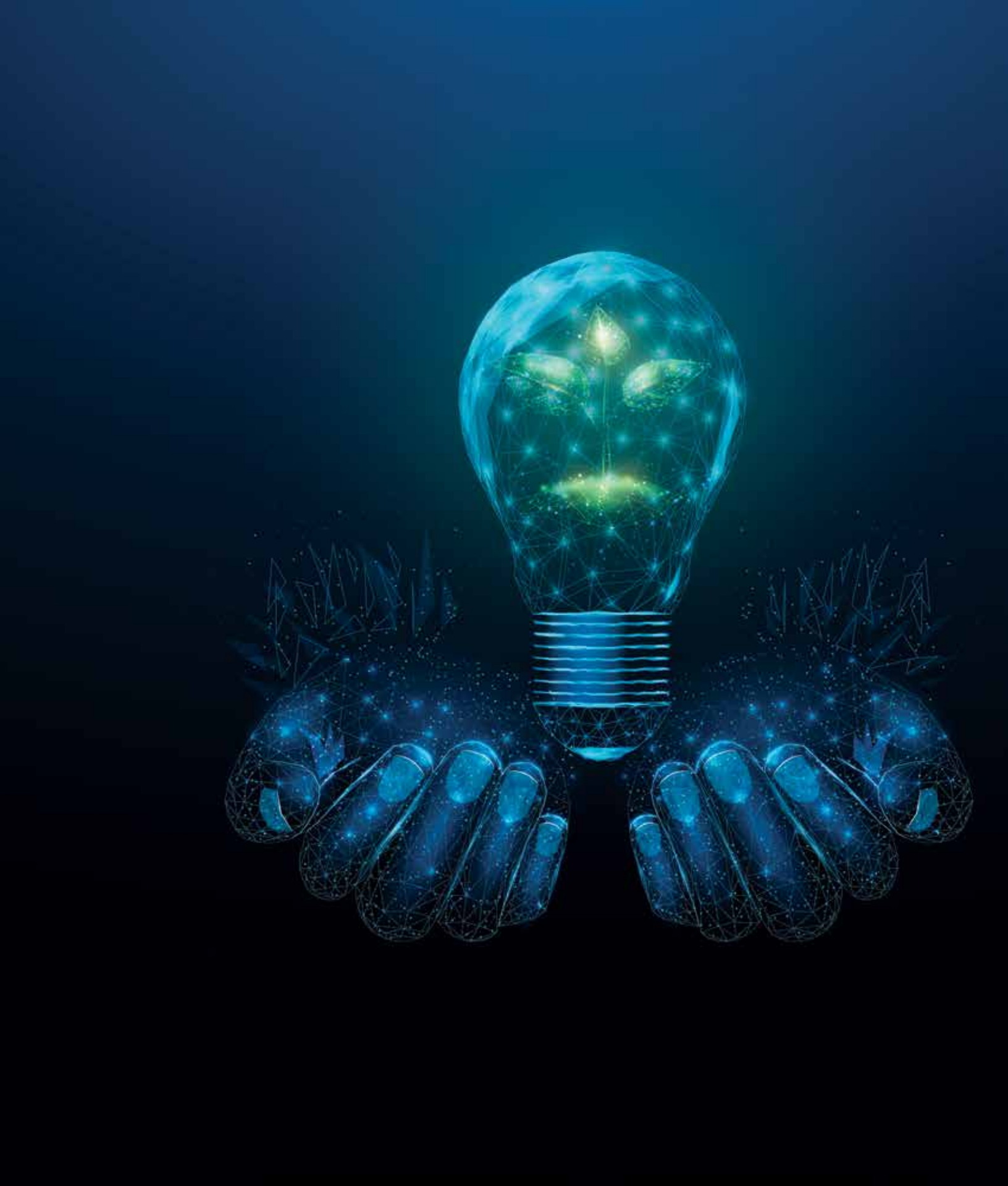
Manufacturing Advisory Service	
Avantha Nishshanka	*Manager-Technical Low Grown*

Corporate and Client Finance	
Roshantha Munasinghe	*Senior Vice President-Finance*
Champika Withanage	*Manager-Finance*
Pramitha Perera	*Assistant Manager-Client Finance*
Jagath Wijerathne	*Assistant Manager-Client Finance*
Tharindu Silva	*Assistant Manager-Finance*

Administration and Human Resources	
Ganga Udeni	*Senior Manager-Human Resources*

Warehousing / IT Services	
Emil Diaz	*Director-Warehousing*
Prabath Kasthuriarachchi	*Assistant Manager-Warehousing*
Chaminda Wijesooriya	*Assistant Manager-Warehousing*
Laksiri Sampath	*Business Analyst*

Other Commodities	
Lakshman Kodytuakku	*Consultant-Other Commodities*
Lalith Perera	*Vice President-Rubber Division*



GEARING UP FOR NEW OPPORTUNITIES

Business Overview

Our Business Model

Capital Inputs

Financial Capital
Funds obtained through shareholders and other lenders which allow us to create value.
- Total Equity: Rs. 1.26 Bn
- Borrowings: Rs. 1.25 Bn

Human Capital
Skills, capabilities and commitment of our team of 98 employees who support the delivery of strategic objectives.

Intellectual Capital
Robust systems and processes, organizational tacit knowledge and industry specific knowledge which drives our competitive advantage.

Social & Relationship Capital
Strong relationships which underpin our reputation and the trust of key stakeholders.
- 98 estates, factories and mills
- 330 traders and exporters
- Relationships with the government and industry bodies

Manufactured Capital
State of the art warehousing facilities and other physical assets.

Natural Capital
Natural resources that we consume in our value creation process.
- Water consumption: 4,730 (M3)
- Energy: 293,288 (kWh)

Value Creation Process

Mission | **Vision** | **Values**

Revenue Diversification

Client Management

Strategic Focus Areas

Key Processes and Activities

Brokerage

Warehousing

Our Vision
Being the safe, reliable, value enhancing exchange facilitator in the commodity broking industry.

Funding

Advisory

Research

Talent Management

Operational Efficiencies

Sound Corporate Governance Practices (Page 46)

Robust RIsk Management Framework (Page 61)

Impacts from the Operating Environment (Page 28)

Commodity Price Movements

Geopolitical Developments

Macro-Economic Developments

Government Policies

Implications of Climate Change

Outputs

- Tea Handled: 33.61 Mn Kgs
- Revenue Generated: Rs. 1.29 Bn
- Offering a unique and multi-faceted value proposition to customers
- Payments to Employees: Rs. 266.41 Mn
- Supplier Payments: Rs. 52 Bn
- Community Investment: Rs. 5.42 Mn

Outcomes



Financial Capital (Pg 33)

Generating sustainable shareholder value.

- Profit After Tax: Rs. 253.14 Mn
- Revenue: Rs. 1.29 Bn
- Dividends: Rs. 124.80 Mn



Human Capital (Pg 38)

- Enhanced employee productivity
- Safe and dynamic work environment
- Opportunities for skills and career development
- Competitive rewards and opportunities



Intellectual Capital (Pg 42)

- Increased tacit knowledge



Social and Relationship Capital (Pg 44)

- Creation of mutual value across the supply chain through innovative and pragmatic solutions
- Engaging in needs- based CSR activities



Manufactured Capital (Pg 36)

- Investment in CAPEX: Rs. 43.76 Mn
- Increase in warehouse capacity



Natural Capital (Pg 40)

- Environmentally friendly business practices
- Automation of processes

Business Overview contd.

Stakeholder Engagement

As a leading tea broker, our value transformation process revolves around creating value for a broad range of stakeholder groups who are impacted by our actions. ASC identifies and prioritizes stakeholders who have the most significant impact on the value creation process and those who are affected most by our activities through a robust stakeholder engagement process. We engage with these stakeholder groups in order to understand and effectively respond to their concerns and expectations. A summary of our stakeholders, their key concerns and the ways in which we have engaged with them during the year is presented below.

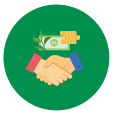


Clients- Commodity Producers, Warehousing Clients and Buyers of Estate Supplies

Method of Engagement
- Weekly and quarterly performance reviews
- Research reports
- Site visits
- One-to-one engagement

Stakeholder Concerns & Expectations
- Ensuring secure supply
- Sustainable demand
- Fair pricing
- Ease of transacting
- Warehousing services
- System efficiencies

Our Response
- Efforts to support customers during the economic crisis through ongoing engagement, financial support and sharing market insights



Buyers

Method of Engagement
- Weekly engagement at tea auctions
- Face to face meetings
- Research reports and site visits

Stakeholder Concerns & Expectations
- Security of supply
- High quality produce
- Transparent and fair pricing
- Ease of transactions
- Efficient logistics

Our Response
- Continuously support buyer requirements by facilitating access to high-quality produce.



Employees

Method of Engagement
- Open door policy
- Annual performance appraisals
- Multi-level staff meetings
- Work-life balance initiatives

Stakeholder Concerns & Expectations
- Remuneration and Other benefits
- Safe and conducive workplace
- Training and development
- Job and financial security
- Work practices and logistics
- Dignity of labour
- Work-life balance

Our Response
- Strategic management of HR processes
- Supporting employees during the economic crisis with continued emphasis on job security.



Shareholders

Method of Engagement
- Financial Statements and quarterly financial results
- Annual General Meeting
- Annual Report
- CSE announcements
- Periodic press releases

Stakeholder Concerns & Expectations
- Implications of the country's economic crisis on performance and stability
- Adequate financial returns commensurated with the risk undertaken
- Environment & social impact
- Share price and liquidity
- Business continuity and growth prospects
- Governance and risk management practices

Our Response
- Strategic focus on earnings diversification
- Ongoing engagement with shareholders
- Improved productivity and cost efficiencies
- Transparency on communications on the implications of economic vulnerabilities



Industry Bodies and Associations

Method of Engagement
- Regular meetings
- Industry forums
- Promotional campaigns

Stakeholder Concerns & Expectations
- Creating a conducive industry environment through meaningful engagement for long-term sustainability
- Contribution to policy making and planning

Our Response
- Collaboration with industry stakeholders to transition to a digital auction and bringing value addition to the industry.



Community

Method of Engagement
- Internship and training opportunities
- Seminars for tea smallholders
- Site visits
- Donations and other forms of support for schools in estate communities

Stakeholder Concerns & Expectations
- Internship programs
- Opportunities for skill development
- Employment opportunities
- Community engagement initiatives

Our Response
- Operating responsibly and sustainably
- Specific CSR initiatives



Government

Method of Engagement
- Quarterly performance reviews
- Representation at industry associations
- Participation in economic and industry forums
- Contributions to policy making

Stakeholder Concerns & Expectations
- Compliance to all legal and statutory regulations
- Employment opportunities
- Community engagement initiatives

Our Response
- Timely payment of all taxes and dues
- Zero instances of non-compliance with regulations
- Proactive role in creating a conducive industry environment

Business Overview contd.

Determining Material Issues

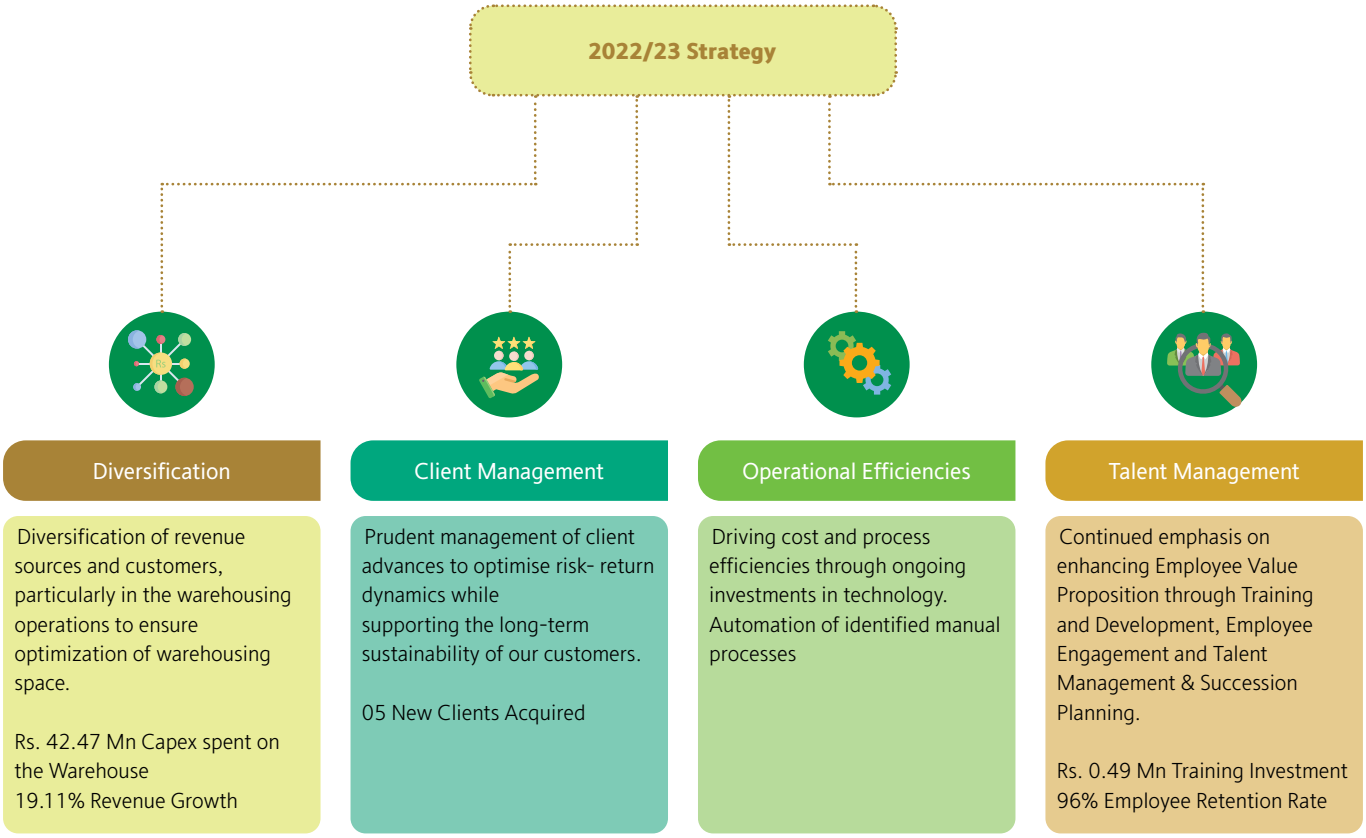
Material matters are matters that could support or deter ASC from achieving its strategic goals and creating value over the short, medium and long term. These topics are important to stakeholders and are a key input in strategy formulation and risk management. The unprecedented operating conditions and uncertainty that prevailed during the year necessitated several changes to our material matters, to better reflect current dynamics.

2022/23 Rank	2021/22 Rank	Our Material Topics	Relevance to Strategy
1	2	***Macro-economic Stress*** Macro-economic vulnerabilities faced by the Country, present significant risks to the Group's financial performance in the short to medium term.	Diversification Operational Efficiency
2	1	***Sustainable Growth in Earnings*** Driving sustainable growth in earnings is key to fulfilling shareholder needs.	Diversification Client Management
3	4	***Innovation and Diversification*** Innovation is key to honing our competitive edge while revenue diversification supports continued cash flow generation given the volatilities in the plantation sector.	Diversification
4	7	***Client Debt Management*** Increase in importance given the financial stress experienced by clients.	Client Management
5	5	***Shortage of Fertilizer*** The fertilizer shortage had a direct impact on both quantity and quality of tea produced by Sri Lanka.	Diversification
6	9	***Government Policy*** Monetary and fiscal policy have a direct impact on our operations.	-
7	6	***Commodity Prices*** Our margins are directly affected by fluctuations in international tea prices.	-
8	10	***Exchange Rate Volatilities*** Movements in the exchange rate have a direct impact on our profitability, as tea buyers are primarily exporters.	Diversification
9	3	***Employee Health and Safety*** Ensuring the safety of employees became critical following the outbreak of the pandemic.	Talent Management
10	8	***Process Efficiency*** Critical in satisfying customers and driving cost optimization, particularly given escalating cost of conducting operations.	Operational Efficiency
11	12	***Research Capabilities*** Identifying emerging market trends and sharing findings across the value chain is an important aspect of our competitive edge.	-
12	11	***Community Relations*** Maintaining meaningful relationships with the communities we operate in is key to preserving our social license to operate.	-

Strategy

Our corporate strategy was formulated by taking into consideration operating challenges and risks, emerging opportunities, stakeholder needs and our impact on society and the environment. ASC's strategy places importance on the creation of multi-stakeholder value across its business operations. Continued focus on the Group's long-term strategic pillars has enabled ASC to remain resilient in the face of unprecedented volatility in the operating landscape.

Having reviewed our strategy during the year, we are confident that it remains relevant in achieving our long-term targets and Vision.



Management Discussion and Analysis

The Operating Landscape

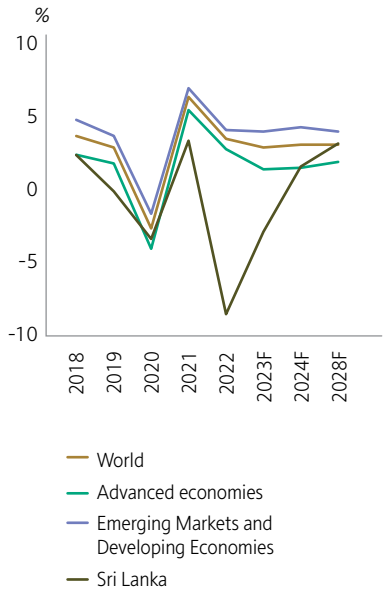
Uncertainty in the global and domestic environment made 2022 one of the most volatile years in recent history. Geopolitical tensions, climate change and the lingering effects of the pandemic, combined to raise concerns on energy and food security, widening inequalities and socioeconomic vulnerabilities. ASC was affected by various macro-economic factors arising out of the changing operating environment and continuously monitored these developments, in order to ensure the right strategies are in place to counter the risks, while making use of the opportunities.

Moderation of Global Growth

Despite high levels of inflation and Russia's conflict in Ukraine, the global economy managed to grow by 3.4% in 2022, according to the World Economic Outlook Report published by the International Monetary Fund (IMF) in April 2023.

The signs in 2023 indicate a fragile recovery as the major forces that manipulated the world economy seem to persist, but with changed intensities. Global growth is forecasted to slow down to 2.8% in 2023, and 3% in 2024, according to the World Economic Outlook Report.

GDP Source: WEO April 2023



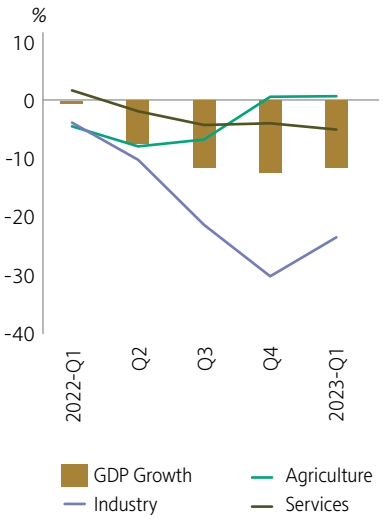
The Domestic Economy

The Sri Lankan economy experienced its deepest economic contraction since independence with the real GDP contracting by 7.8% in 2022, driven by the spillover effects of the unprecedented economic crisis that resulted in public distress and political turmoil.

The agriculture sector contracted by 4.6%, mainly reflecting the severe shortages in chemical fertiliser and other agrochemicals, increased cost of raw materials, as well as disruptions to supply networks.

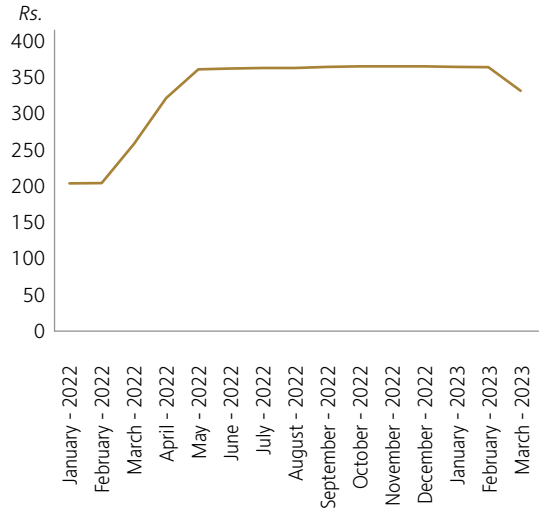
The economy showed signs of stability towards the latter part of 2022, helped by the myriad of stability-oriented policy measures undertaken by the Government and the Central Bank to steer the economy towards a path of sustainable growth over the medium term. The key macro-economic variable having a significant impact on ASC's performance is summarized below:

GDP Growth



External Sector & Exchange Rate

Monthly Average Spot Exchange Rate



The external sector was under significant pressure in 2022, as there was a sharp decline in tourism earnings and workers' remittances amidst substantial forex debt servicing obligations. The CBSL abandoned the pegged exchange rate as defending the Rupee with dwindling reserves became difficult, resulting in the currency being devalued by nearly 80% during a very short time span.

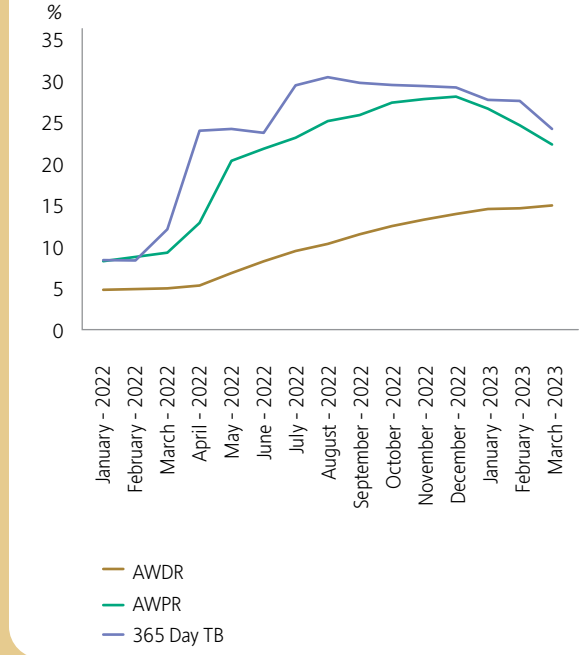
The Government announced the suspension of all external foreign currency debt repayments and sought assistance from IMF to restructure its sovereign debt and restore debt sustainability. The Rupee showed some recovery in early 2023 supported by improved market sentiments and progress made on the IMF agreement.

Impact on ASC:

- Negative implications on the competitiveness of Sri Lankan tea in the international market.

Interest Rates

Interest Rates



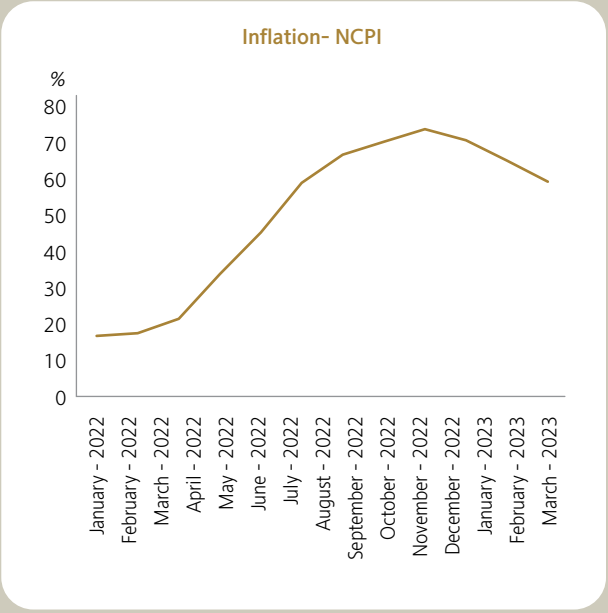
The Central Bank tightened its monetary policy significantly in order to contain high inflation amidst the foreign exchange crisis face of by the country. Policy interest rates were increased 5 times from January 2022 to March 2023, by a total of 1050 basis points. The yields on government securities also recorded a considerable increase in 2022, driven by the sharp increase in the policy interest rates as well as the increased borrowing requirement of the Government.

Impact on ASC:

- Elevated interest rates impacted our borrowing and finance costs.
- Increase in interest income earned on client financing.

Management Discussion and Analysis contd.

Inflation



Rising prices of energy, fuel shortages, substantial weakening of the domestic agriculture sector, devaluation of the rupee and insufficient availaility of foreign currency in the domestic market resulted in an unprecedented increase in the general prcie level. Intervention by the CBSL in Q4 of 2022 stabilized inflation to an extent.

Impact on ASC:

- Increase in operational costs due to the rising fuel and wage costs.
- Greater pressure on profit margins

Industry Analysis

Global Tea Industry

Following the COVID-19 pandemic, consumers became more concerned about their health and wellness, which has increased the demand for tea worldwide, and boosted the tea market's growth significantly.

With consumer focus shifting to healthier alternatives, fruit/ herbal tea and green teas which are perceived as healthier and have a wider spectrum of tastes, offering a variety of exciting infusions and new product developments are seeing an increase in demand.

Global tea production crossed 6.4 Bn kgs in 2022, despite tea producing nations experiencing divergent weather patterns, prolonged implications of the pandemic and escalating cost of fertilizer and other inputs. China, India, Kenya and Sri Lanka are among the top tea producing countries in the World.

Global Tea Production 6.4 Bn kg in 2022

Country	2022	2021
China	3,181.03 Mnkg	3,063.15 Mnkg
India	1,365.23 Mnkg	1,343.06 Mnkg
Kenya	272.82 Mnkg	284.81 Mnkg
Sri Lanka	251.49 Mnkg	299.33 Mnkg

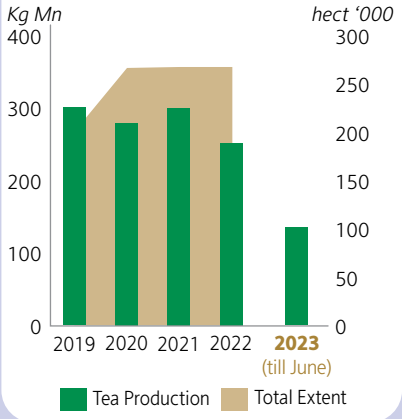
Sri Lankan Tea Production

Decline in Tea Production by Elevation	
High	13.8%
Medium	21.2%
Low	15.4%

Sri Lankan tea production registered a notable decline of 16.0 per cent, year-on-year, in 2022, largely due to the lagged effect of acute shortages of fertilizers and agrochemicals domestically. There was a decline of crop yields in high, medium, and low grown tea, which contributed to around 22 per cent, 16 per cent, and 62 per cent of the total production, respectively.

The sector experienced a rise in production costs due to the elevated prices of chemical fertilisers and other agricultural inputs coupled with domestic shortages of inputs, as well as the upward adjustments in utility prices, including fuel, electricity, and water. Consequently, the estimated cost of production of tea increased by Rs. 20.00 to Rs. 639.00 per kilogramme in 2022, compared to 2021.

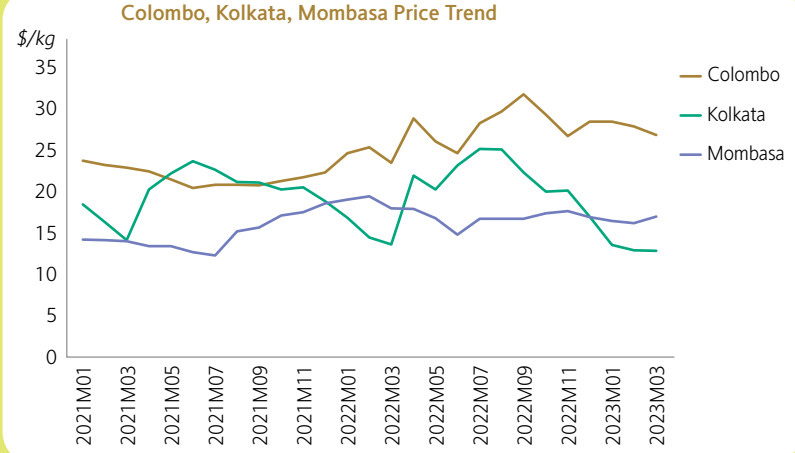
Sri Lanka Tea Production
Source: CBSL Annual Report



Pricing

Demand for Sri Lankan tea was favourable during the year, with prices at the Colombo Tea Auction (CTA) reaching historically high levels in 2022. The average price of tea increased notably by 105.2 per cent to Rs. 1,270.50 per kilogramme during the year, from Rs. 619.15 per kilogramme recorded in 2021.

Colombo, Kolkata, Mombasa Price Trend

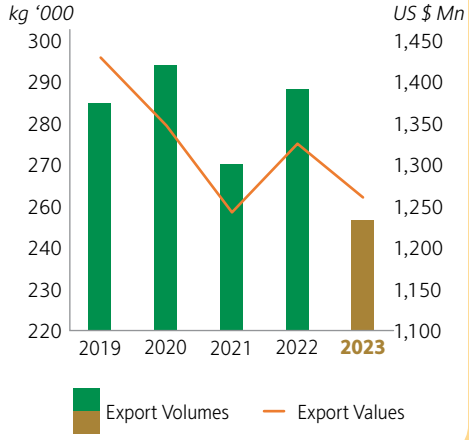


Exports

Earnings from tea exports declined due to the larger drop in volumes, despite the increase in prices on average. The average export price (FOB) of tea increased by 8.7 per cent to US dollars 5.03 per kilogramme during 2022, compared to US dollars 4.63 per kilogramme recorded in the preceding year.

The increase in average tea prices during the year was partly attributed to the decline in the quantity supplied to the CTA amidst the decline in local production, while the depreciation of the Sri Lankan rupee also contributed to the price hike in rupee terms.

Tea Export Income



Management Discussion and Analysis contd.

Rising Cost of Production	Shortage of Chemical Fertiliser	Implications of Climate Change	Shortage of Labour
Inflation added significant pressure on narrow margins, which was exacerbated by the increased energy and fuel prices. High wages in relation to low labour productivity also adversely impacted production costs.	Shortage of chemical fertiliser following the imposition of organic fertiliser policy in 2021, hampered agricultural processes with a knock-on impact on yields. This had an inevitable impact on Sri Lanka's competitiveness in the international market as the country faced challenges in fulfilling its order quantities.	Erratic weather patterns, rising temperature levels and prolonged droughts have directly affected the quality and quantity of tea crops.	The plantation sector continued to face challenges in retaining labour. Increased migration to urban areas and different career aspirations of the youth resulted in an aged population in the plantation sector.

Key Industry Drivers

Several measures were undertaken by the Government aimed at enhancing the productivity, value addition, and competitiveness of the Sri Lanka's tea Industry during the year. Key initiatives are as follows:

- The Sri Lanka Tea Board (SLTB) initiated a concessionary loan scheme at an interest rate of 8.0 per cent, enabling tea factories to purchase fertiliser for their green tea leaves suppliers.
- SLTB disbursed Rs. 16.9 million among 38 tea factories under the Factory Modernisation Subsidy Scheme, aimed at improving the quality of the production process through modernisation of factories.
- SLTB granted Rs. 56.4 million through the Replantation Subsidy Programme to enhance the productivity of tea lands.

Financial Capital



ASC Group's ability to create value for its financial capital is largely dependent on the Group's financial performance. The Group remained profitable during the year, successfully navigating the volatility in market conditions, and going onto record a Consolidated Profit After Tax of Rs. 253.14 Mn.

In this section of the report, we look at how the Group managed its financial resources to create sustained value for shareholders, despite the unprecedented challenges exerting pressure on corporate performance.

Revenue

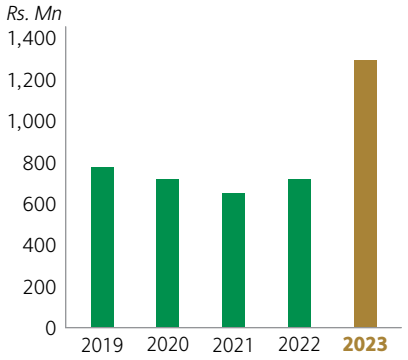
The Group reported a consolidated revenue growth of 82%, to Rs. 1,292 Bn, compared to Rs. 712 Mn last year, despite heightened domestic economic uncertainties and macro-economic vulnerabilities. This revenue growth was mainly driven by the strong growth in the Group's core business, broking as tea prices remained elevated throughout the year. Brokerage Income increased by 89.9% to Rs. 523.55 Mn and contributed 40.51% to total revenue. Revenue growth was also supported by a 197% increase in interest on loans and client advances.

Meanwhile, revenue from the Group's warehousing operations also increased by 11.8% to Rs. 297.72 Mn, reflecting the Group's strategic efforts to diversify the warehouse clientele and increase occupancy levels. The Group will continue its diversification strategy, by broadening its revenue bases to mitigate the impact of weather vagaries on its main line of business.

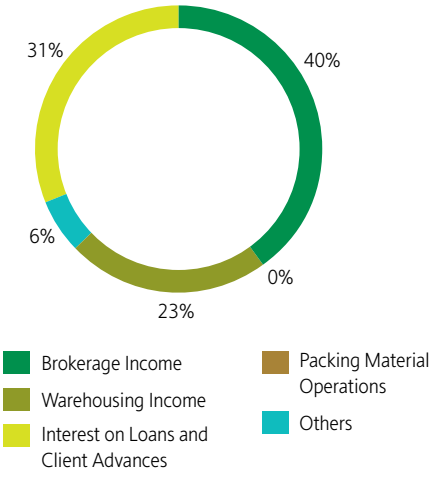
Cost Management

Given the tough operating conditions that prevailed during the year, strategic emphasis was placed on optimizing resources to drive cost efficiencies and maintain healthy margins. Group wide cost management initiatives included driving energy savings, process improvements, automation, productivity improvements and driving a cost-conscious culture throughout our operations which helped us manage our direct costs better.

Revenue



Revenue Distribution



Management Discussion and Analysis contd.

Financial Capital contd.

Significant inflationary pressures, devaluation of the Rupee and rising energy costs exerted pressure on operating expenses during the year, with the Group's distribution expenses and administrative expenses increasing by 136.41% and 19.57% to Rs. 112.39 Mn and Rs. 541.75 Mn, respectively. However, as a percentage of revenue, total administrative costs amounted to 41.93% in FY 2023 compared to 63.67 of revenue in FY 2022.

Profitability

Operating Profit

The Group's prudent approach to client management resulted in low bad debt provision levels this year as well, which supported overall profitability. Operating profitability of the Group increased by 171.45% to Rs. 651.79 Mn during the year, supported by concerted efforts by the Group to manage operating expenses.

Net Finance Cost

Policy interest rates were increased several times in 2022 to tame inflation, driving market interest rates upwards exponentially. The increase in interest rates led to a 332.46% increase in finance income to Rs. 15.90 Mn during the year. The finance cost also increased by 269% to Rs. 269.99 Mn during the year, resulting in a consolidated net finance cost of Rs. 254.08 Mn, which is a 266.34% increase compared to the previous year.

Net Profit

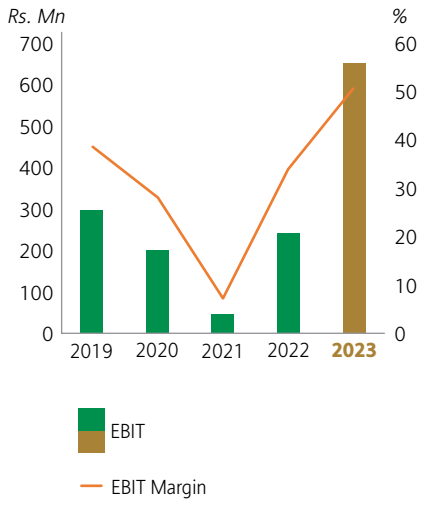
The management demonstrated resilience in managing evolving market conditions by diversifying its revenue sources and improving the quality of its client lending portfolio, thereby further strengthening the Group's profitability during the financial year ended 31st March 2023. Accordingly, the Group recorded a pre-tax profit of Rs. 397.71 Mn which is an increase of 132.90% compared to the last financial year.

The Group's income tax expense to the Government increased by 180.22% to Rs. 144.57 Mn as a result of the increase in tax rates from 1st October 2022. This resulted in the Group generating a profit after tax of Rs. 253.14 Mn during the year.

Total Assets

Total assets of the Group as at the end of the financial year was at Rs. 4,007.74 Mn, with the asset composition weighing towards current assets, which accounted for around 66.25% of total assets. The Group continued to support customers by widening its exposure to client financing, with loans and advances to clients increasing by 93.55% to Rs. 1,668.95 Mn, during the year. Trade receivables which account for 20.09% of Group Assets, also increased by 6.18% to Rs. 805.25 Mn, reflecting good performance of the tea industry as tea prices remained elevated during the year.

Operating Profit



Earnings from Commodity Brokering contributed 41% to the Group Profitability, while Warehousing Income contributed 23%.

ASC Group's liquidity position remains strong, with the cash and cash equivalents amounting to Rs. 122.88 Mn at the end of the year. Overall, the Group showed improved financial stability despite the tough operating conditions, going on to record a 40.75% growth in its asset base, when compared to the year ended 31st March 2022.

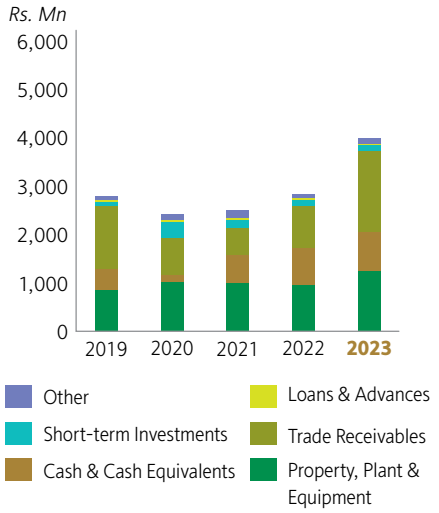
Liabilities and Capital

Liabilities of the Group funded 68.52% of the Group's total assets during the year. The Group's total liabilities increased by 44.02%, to Rs. 2,746.27 Mn, mainly reflecting the increase in short-term borrowings.

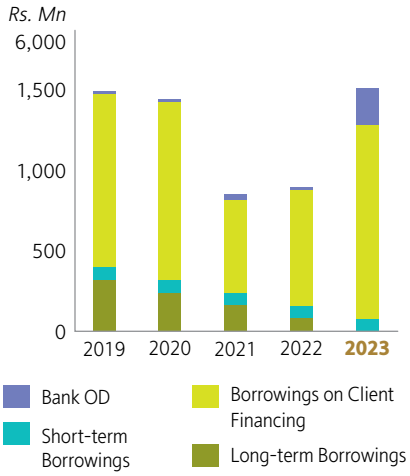
Total debt increased by 70.01% to Rs. 1,248.95 Mn during the year mainly due to increase of client advances. Short term borrowings dominated the Group's debt profile, accounting for 99.14% of total borrowings of the Group. Trade payables also increased by 12.56% to Rs. 985.05 Mn, reflecting high operational activity.

Supported by strong profit generation, the total equity of the Group increased by 34.12% to Rs. 1,261.47 Mn during the year. The Group's capital position remains strong with shareholder's funds accounting for 31.48% of the balance sheet.

Asset Composition



Debt Composition

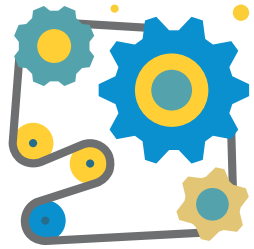


Cashflow

The uncertain and volatile operating environment necessitated critical management of cashflow and liquidity during the year. Net inflow from operating activities amounted to Rs. 63.08 Mn, compared to an inflow of Rs. 118.63 Mn the previous year. Net cash outflow from investing activities amounted to Rs. 26.50 Mn, as the Group curtailed significant capital expenditure given the tough operating conditions. Meanwhile, net cash flow from financing activities amounted to an outflow of Rs. 200.91 Mn and comprised mainly of dividend payments and loan repayments. Overall, the Group's cash and cash equivalents decreased by Rs. 164.33 Mn during the year.

Management Discussion and Analysis contd.

Manufactured Capital



ASC Group's manufactured capital is represented by the state-of-the-art warehousing facilities, digital infrastructure as well as other property, plant and equipment that support ongoing customer interactions and smooth functioning of operations. Continuous investments in manufactured capital have enabled the Group to transform to a client centric digitally enabled organization, supporting our ability to deliver value to multiple stakeholders.

Manufactured Capital Inputs

State-of-the art,
LEED certified warehousing facility

Rs. 1.27 Bn
Property, Plant & Equipment

Digital infrastructure
including IT systems

Value Transformation

- Investment in CAPEX: Rs. 43.76 Mn
- Focus on improving efficiency levels through automation and process improvements

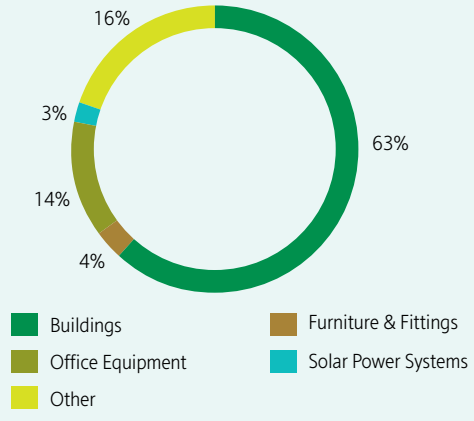
Outputs

19%
Growth in revenue from Warehouse

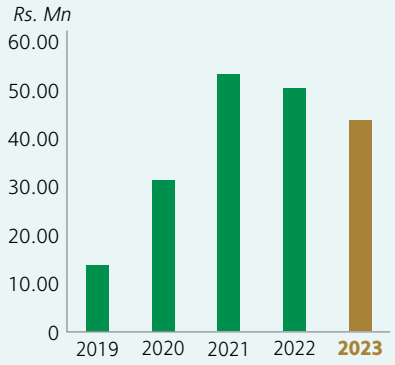
Capacity Utilization rate at Warehouse:
86%

PPE/ Turnover Ratio
1.02

Property, Plant & Equipment



Capital Expenditure on PPE



Highlights

Manufactured Capital comprising mainly of Property, Plant and Equipment accounted for 31.57% of the Group's total Assets as at 31st March 2023. During the year, capital expenditure amounted to Rs. 43.76 Mn, primarily consisting of investments made in enhancing storage systems and warehousing facilities.

Our Warehousing Facility

ASC's warehousing facility consists of two units and is one of the largest in Sri Lanka, offering a total storage space of 197,500 square feet. The facility is equipped with the latest technology and is designed to add value, than being merely a storage facility.

The Group's warehousing facility has been a key driver of its diversification strategy allowing ASC to somewhat counter the decline in broking operations through new revenue sources. Through its warehousing operations, ASC has been able to attract and cater to clientele from diverse industries, thereby reducing capacity dependance on tea through diversified use of space. This augured well for the Group during the year. Total revenue from warehousing operations amounted to Rs. 332.65 Mn and accounted for 25% of the Group's consolidated revenue.

The warehousing facility incorporates a range of environmentally friendly design elements and practices in a bid to promote a sustainable value chain. It is among very few tea centres in the World and the country's first, to obtain the prestigious Leadership in Energy and Environmental Design (LEED) Certification (Silver) from the United States Green Building Council.

Digital Infrastructure

The Group continued to invest in digital infrastructure including hardware and software upgrades, which in turn has supported increased efficiency, accuracy, and quality of decision-making. ASC also enhanced its cybersecurity frameworks, in order to ensure uninterrupted services to all stakeholder groups.

Outlook

The Group will continue to strengthen its manufactured capital through continuous investments in physical and digital infrastructure, in order to diversify its offering and drive future growth.

Management Discussion and Analysis contd.

Human Capital



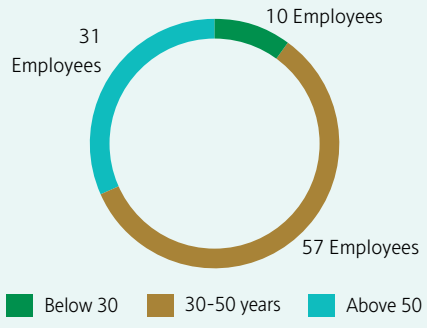
The knowledge, attitude and experience of our team of 98 employees have been pivotal to driving resilience and the sustainability of our business in this period of extreme volatility. In turn, we motivate and develop our team through a holistic value proposition, which aligns both personal and organizational goals.

Human Capital Inputs	Value Transformation	Outputs
98 Employees	» Employee payments were were paid in full: Rs. 266.41 Mn » Investment in Training and Development: Rs. 0.49 Mn » Uplifting employee wellbeing, particularly during the economic crisis » Performance appraisals for 100% of employees » Zero layoffs or retrenchments	Motivated and Satisfied Team
9% Female Representation		5 promotions
Multi-skilled team		96% Retention Rate
		Revenue per Employee: Rs. 13.18 Mn
		Profit per Employee: Rs. 2.58 Mn

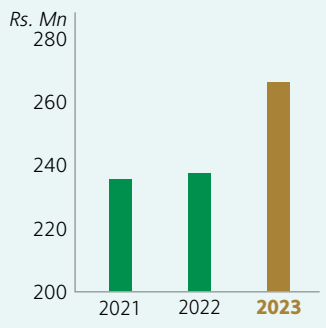
Our Team Profile

The skill profile of our team has changed to include employees who are tech-savvy, along with the switch to the online auction system from the outcry system that prevailed pre-pandemic.

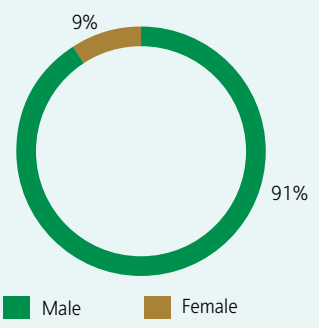
Employee Age Distribution



Employee Payments



Male: Female Ratio



Highlights

Management Approach

Management of human capital is underpinned by a comprehensive suite of Human Resource (HR) policies and procedures which are compliant with regulatory requirements and benchmarked against industry best practices. The HR Policy Framework seeks to facilitate a thriving work environment which promotes diversity, inclusivity and equal opportunity for all employees.

Movements in Our Team

We have earned a reputation among people as a preferred employer and are able to attract promising talent for positions within the company. We have a formal recruitment process that ensures talented individuals with the requisite skills and experience are identified and recruited. During the year there were 8 new recruits and 5 promotions.

We continued to maintain a relatively high retention rate of 96%, during the year which is a testament to our unique employee value proposition, which centres on ensuring job security, opportunities for growth, and creating a conducive organisational culture.

Uplifting Employee Morale

Despite the extremely challenging economic conditions that prevailed in the country, the Group retained all of its permanent staff, thereby safeguarding the financial security of our team and uplifting employee morale.

Emphasis was also placed on ensuring financial security for all employees through various relief measures, given the broad-based impacts on the standard of living of the people. Key initiatives include the following.

- Employees were remunerated in full with salaries adjusted to compensate for the high levels of inflation.
- Special compensation for employees who had to incur additional expenses to travel to work.
- Facilitated work from home arrangements during the fuel crisis
- Distribution of cash and vouchers for dry ration packs

Opportunities for Training & Development

Providing opportunities for developing the skills and knowledge of our employees is a key aspect of our employee value proposition. We continued to upskill our talent pool with the aim of equipping employees with the right skills to drive organizational success. Rs. 0.49 Mn was invested in training and development during the year, with employees undergoing training in technical, digital and soft skills.

Outlook

We will continue our comprehensive value proposition to employees in order to build a team that is skilled, motivated and well equipped to drive our growth plans. We will also continue to ensure our employees are well looked after amidst the current economic conditions and the resultant hardships faced by the people.

Management Discussion and Analysis contd.

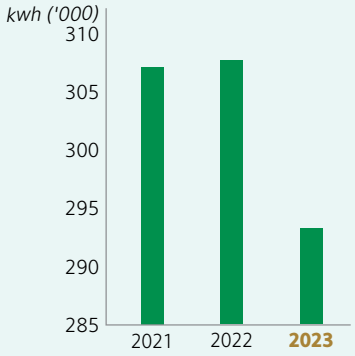
Natural Capital



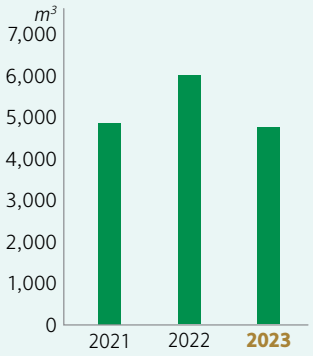
As a service organization, ASC does not heavily rely on the use of natural resources to carry out its operations. However, as a responsible entity, the Group is committed to minimizing its environmental footprint and generating positive impacts through efficient allocation of resources and innovative processes. The Group also plays a critical role in propagating good environmental practices in partnership with industry stakeholders, given its prominent position in the tea value chain.

Natural Capital Inputs	Value Transformation	Outputs
Energy Consumption: **293,288 kwh**	» Generation of renewable energy through investments in solar power » Automation and Digitalization » Propagating environmental sustainability	**247,576 kwh** Renewable Energy Generated
Water Consumption **4,730 m3**		Emission of Carbon Footprint
		Waste Generation

Energy Consumption



Water Consumption



Highlights

ASC is committed to reducing its impact on the environment, as implications of climate change intensify. Sri Lanka has been identified as one of the most vulnerable countries to climate change in the world, with direct implications on the sustainability of the country's agriculture and plantations sectors.

Against this backdrop, we are cognisant of the importance of engaging in sustainable agricultural methods and continue to support our clients and other industry stakeholders by propagating good agricultural practices across our supply chain through advisory services, while making progress in our journey of becoming a carbon neutral tea broker.

The Group's environmental impacts mainly arise from the consumption of energy in its warehousing and office operations.

Managing Energy

The Group's energy requirements are primarily fulfilled through electricity sourced from the National Grid. ASC has continued to drive concerted efforts towards reducing energy consumption through the use of energy efficient equipment.

The Group's warehouse is the only green certified logistics centre in Sri Lanka and is designed to drive energy efficiency and optimize energy usage through the use of natural light and air flows. The warehouse is also installed with solar panels having the capacity to generate 247,576 Kw of renewable energy, which is exported to the National Grid.

Automation of Processes

The Group's investments in the latest technology contributed towards creating a green atmosphere within the organization. Various processes have been automated, resulting in considerable paper savings within the organization.

Outlook

We will continue to drive sustainable practices across the tea value chain while seeking to become more responsible in our consumption of energy.

Management Discussion and Analysis contd.

Intellectual Capital



The strength of our intellectual capital underpins our capacity for innovation and responsiveness, fostering the trust and confidence of our stakeholders. The Group's intellectual capital has been nurtured by the extensive industry experience of the Board and management team, which has contributed to differentiating ASC from its competitors and sustaining a competitive edge.

Intellectual Capital Inputs

- Organizational Tacit Knowledge
- **541** years of Collective Experience
- Robust Systems and Processes
- The Asia Siyaka Brand

Value Transformation

- Investment in Training and Development: Rs. 0.49 Mn
- 50 Research Publications
- Use of technology to enhance efficiencies
- Increasing our brand visibility

Outputs

Maintained Market Share in:
Low Grown: **15.96%**
High Grown: **10.21%**

04 Awards and Certifications

Ceylon Tea Roadmap- A National Initiative

In 2019, the Sri Lankan tea industry began planning for a transformation with the announcement of the Ceylon Tea Road Map 2030. Led by the Colombo Tea Traders Association, the plan aims to more than double tea export revenues to $3 billion within ten years. The roadmap focusses on the entire tea value chain- from the growers- with benefits to communities, preserving the environment and generating profits on a sustainable basis.

Asia Siyaka Commodities is actively involved in this National initiative and engages with various stakeholder groups to drive favourable policies and steer the performance of the industry.

Highlights

Knowledge and Expertise of Our Leadership Team

The knowledge and expertise of our leadership team has enabled us to gain a competitive edge, while also contributing to driving Sri Lanka's tea industry forward. At a time the Country's tea industry was faced with consecutive challenges including wage hikes and the ban on chemical fertilizer, the Group's leadership team collaborated with industry stakeholders and international buyers to preserve the global competitiveness and market position of Sri Lankan tea.

Members of our senior management also take part in various industry bodies to share their expertise for the benefit of the sustainability of the industry.

Organizational Tacit Knowledge

The collective experience and the tacit knowledge of our team underpin every aspect of our operation.

Ongoing efforts are in place to nurture a culture of learning and knowledge sharing and continued investments in learning propositions, thereby building tacit knowledge within the Group.

Systems and Processes

Ongoing investments to enhance and strengthen the systems and processes in place have enabled the Group to achieve optimum efficiency and productivity levels. Automation of processes provides access to real-time data which has led to more informed decision making.

Driving Innovation in the Tea Value Chain

ASC plays a vital role in propagating market insights and best practice across the tea supply chain. This has enabled tea factories to produce the varieties and qualities of tea that are in high demand in the global market. 50 research reports were published by the Group during the year.

Industry Collaborations

ASC collaborates with manufacturers and other industry stakeholders to manage the environmental footprint of the entire tea value chain. Particular emphasis is placed on reducing emissions and the use of chemical fertilizer.

Outlook

We will continue to strengthen our intellectual capital base as it is key to driving our value creation process.

Management Discussion and Analysis contd.

Social and Relationship Capital



We nurture meaningful and long-term relationships with customers, tea factories, small holders, tea exporters as well as other industry stakeholders and the community. These relationships have played a vital role in supporting the commercial and social sustainability of our operations in these unprecedented and challenging times.

Social and Relationship Capital Inputs

330
Customers

98
Suppliers

Community Relationships

Industry Stakeholders

Value Transformation

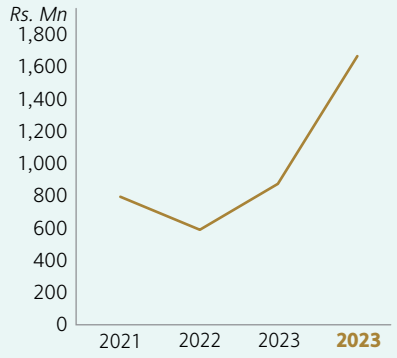
- Investment in Training and Development: Rs. 0.49 Mn
- 50 Research Publications
- Use of technology to enhance efficiencies
- Increasing our brand visibility

Outputs

05
New Clients Acquired

Preservation of Market Share

Client Advances



Highlights

Nurturing Client Relationships

ASC Group has a diverse client base comprising of regional plantation companies and private tea factories that process teas purchased from small holders. We are committed to nurturing long-lasting relationships by actively engaging with our clients, to understand and effectively respond to their evolving needs. Our value proposition to clients includes services such as warehousing facilities, financial support and advisory, among others.

Diversifying the client Base

The persistently challenging operating landscape over the last few years, led by the fertilizer shortage impacted the volume of tea produced. Against this backdrop, the Group has made a strategic decision to reduce its exposure to tea by diversifying its client base beyond the tea sector, particularly in pursuing clients for its warehousing operations. The Group was able to secure several customers in the export and large FMCG sectors through the diversified use of warehouse space, thereby driving higher occupancy levels.

Supporting Tea Manufacturers

ASC continued to support tea factories and manufacturers, with client advances amounting to Rs. 1.67 Bn during the year. The industry knowledge and experience we have accumulated over 25 years have enabled us to build a unique base of knowledge. We actively share our knowledge with tea manufacturers in order to make their products more competitive and attractive, which will in turn contribute to the growth and development of the tea industry.

Relationships with Suppliers

As a service organization, our primary inputs are stationary and IT equipment. We continue to source our inputs locally, with payments to suppliers amounting to Rs. 52 Bn during the year.

Strengthening ties with the Community

We aim to build impactful relationships with the community through engagement and development initiatives. Our efforts in this regard include:

- Donation towards education purposes
- Donation towards religious activities

Corporate Governance

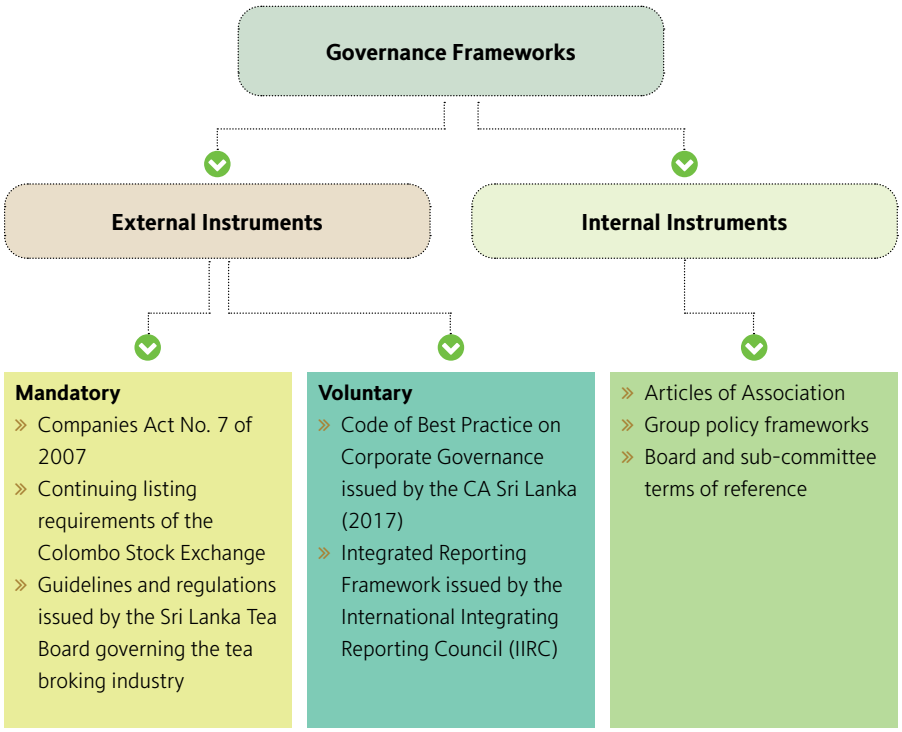
Good governance is integral for sustainable economic growth and corporate success. The Board is responsible for establishing sound corporate governance practices, frameworks, and processes, which signify the way companies are directed and controlled. This ensures that the interests of the Company's many stakeholders are balanced, in order to deliver mutually beneficial returns for all.

Our Approach to Governance

The Board of Directors of Asia Siyaka Commodities PLC is committed to maintaining high standards of integrity, accountability, transparency and business ethics in the governance of the Group, having recognized the crucial importance of maintaining good governance in all aspects of business operations of Asia Siyaka Commodities PLC and its fully owned subsidiaries, Asia Siyaka Warehousing (Private) Limited and Siyaka Produce Brokers (Private) Limited, collectively referred to as "the Group".

The Board is fully committed to discharge its statutory and fiduciary duties as defined in the Companies Act No. 07 of 2007 and all other applicable laws and regulations, while also adopting international good governance practices in the operational and internal control aspects of the Company.

Clearly defined processes and policies ensure compliance with laws and regulations, while there is an established line of authority for decision making and accountability, with well defined reporting channels. The Company is bound by the license issued by the Sri Lanka Tea Board and guidelines and regulations that govern the tea broking industry, Companies Act. No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange.



Governance in 2022/23

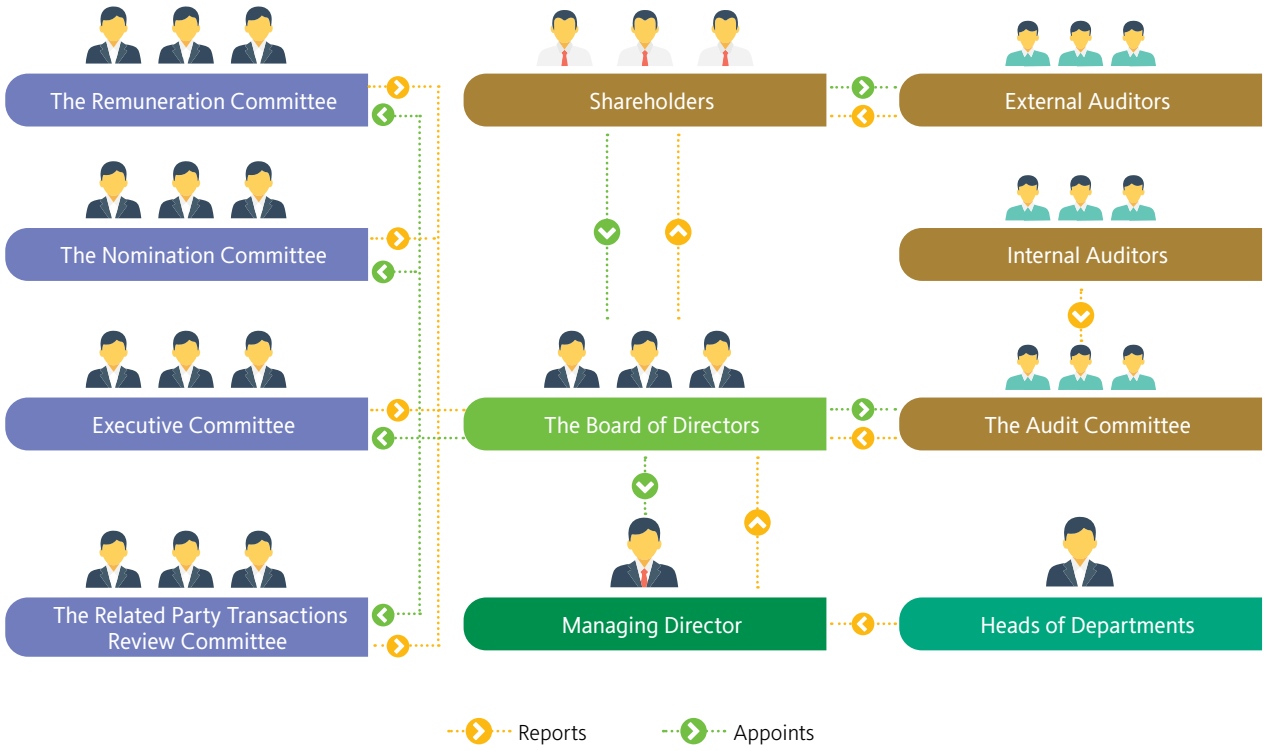
The Board continued its effective oversight and leadership during the year, maintaining enhanced scrutiny amidst economic and political uncertainty, while continuing to improve and build on the Company's Corporate Governance practices. The Board was well supported by the Board sub-committees in facing challenges, managing risks and exploiting opportunities.

The Company remained committed to all good corporate governance practices, complying with applicable regulations, adopting best practices and ensuring that its obligations to all its stakeholders are understood and met, while upholding the highest standards of business integrity, ethical values, professionalism and transparency.

Governance Highlights

Resignation of the CEO	Mr. Anil Cooke stepped down as the Chief Executive Officer of the Company with effect from 1st June 2022. He will continue to serve as the Managing Director of the Company.
Appintment of a new CEO	Mr. Yashojith Kuruneru was appointed as the Chief Executive Officer of Asia Siyaka Commodities PLC with effect from 1st June 2022. He will continue to serve on the Board as an Executive Director.
Demise of a Director	Mr. Sohan Shewantha Samaranayake, who served as Executive Director/ Chief Operating Officer of Asia Siyaka Commodities PLC passed away on the 28th of November 2022.
Appointment of a new Chairman (after the reporting period)	The existing Chairman, Mr. Someswaran resigned on the 1st of June 2023 (after the reporting period) and the new Chairman, Mr. Chandana de Silva was appointed on the 23rd of June 2023

Governance Structure



Corporate Governance contd.

Board Composition

The composition of the Board plays an important role in achieving the strategic objectives of the group. The Group is led by a well-balanced Board of Directors with relevant expertise and knowledge to provide guidance and leadership to formulate the strategic direction of the Group. In line with best corporate practice, the Board of Directors has been vested with the powers to direct, lead and control the Company in an effective manner that reflects the best interests of the Company.

As at the end of the financial year 2022/23, the Board comprised of 11 members, of whom 6 are Non-executive Directors and 5 serve as Executive Directors.

Role of the Chairman and Managing Director

In conformity with best practice, we have segregated the roles of the Chairman and the Managing Director with a clear distinction of responsibilities, which ensures a balance of power and authority.

Independence of Directors

Independence of the Directors is determined by the Board based on the annual declarations submitted by the Non-Executive Directors in accordance with the Listing Rules of the Colombo Stock Exchange. Based on the declarations submitted, the Board has determined that Mr. T. Someswaran and Mr. A. Vaithylingam are 'Independent' as per the criteria set out in the Listing Rules of the Colombo Stock Exchange.

The Board was also of the view that the directorship of Mr. M.R. Morris in Lanka Commodity Brokers Limited does not compromise his independence and objectivity in discharging his functions as a Director and has determined that the said Director shall nevertheless be "independent" as per the Listing Rules.

Board Meetings

Board meetings are scheduled once every quarter and whenever necessary, to ensure regular reporting and oversight. The Board met 04 times during the financial year. Attendance at the scheduled meetings is as follows.

	Name of Director	Office Held	Attendance at Board Meetings
1.	Mr. T. Someswaran	Chairman / Independent Director (Resigned w.e.f. 01.06.2023)	3/4
2.	Mr. A.R. Cooke	Managing Director	4/4
3.	Mr. D.J. Wedande	Executive Director	4/4
4.	Mr. S.G. Amarasuriya	Executive Director	4/4
5.	Mr. Y. Kuruneru	Executive Director	4/4
6.	Mr. S.T. Gunatilleke	Non-Executive Director	4/4
7.	Mr. H.R.V. Caldera	Non-Executive Director	3/4
8.	Mr. J.N. Dambawinne	Non-Executive Director	4/4
9.	Mr. R.C. Dissanayake	Executive Director	4/4
10.	Mr. S.S. Samaranayake	Executive Director (Ceased w.e.f. 28.11.2022)	2/2
11.	Mr. A. Vaithylingam	Independent Director	4/4
12.	Mr. M.R. Morris	Independent Director	4/4

Board Sub Committees

The Board has appointed Sub Committees for assistance in discharging its duties more effectively and efficiently, in line with the mandatory requirements of the Listing Rules of the Colombo Stock Exchange and the voluntary requirements of the Code of Best Practices on Corporate Governance issued by the Institute of Chartered of Accountants of Sri Lanka.

Each Committee so appointed reports to the Board and is accountable for its responsibilities. The Committees are the Audit Committee, Remuneration Committee, Nominations Committee and Related Party Transactions Review Committee and the composition of each is as follows.

Audit Committee	**(Refer Page 77 for Audit Committee Report)**
The Committee has met 5 times during the year. The meetings are attended by the Managing Director. Senior Vice President – Finance by invitation & other Directors and Executives when required.	
Mr. S.T. Gunatilleke	Chairman (Appointed w.e.f. 23rd June 2023)
Mr. T. Someswaran	Chairman (Ceased w.e.f. 1st June 2023)
Mr. C.L. de Silva	Member (Appointed w.e.f. 23rd June 2023)
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

Remuneration Committee	**(Refer Page 78 for Remuneration Committee Report)**
The Committee has met 3 times during the year and regularly reviews the remuneration policy to ensure that the remuneration structures are in line with industrial standards. The main responsibility of the Remuneration Committee is to make recommendations to the Board on the Company's framework of Executive Directors' remuneration and its cost and to determine on behalf of the Board specific remuneration packages of executive directors. The aggregate remuneration paid to executive and non-executive directors is given on page 126.	
Mr. C.L. de Silva	Chairman (Appointed w.e.f. 23rd June 2023)
Mr. T. Someswaran	Chairman (Ceased w.e.f. 1st June 2023)
Mr. S.T. Gunatilleke	Member
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

Related Party Transactions Review Committee	**(Refer Page 76 for Related Party Transactions Review Committee Report)**
The Related Party Transactions Review Committee was appointed by the Board on 06th November 2015. The names of the Directors who serve on the said Committe is as follows:	
Mr. A. Vaithylingam	Chairman
Mr. C.L. de Silva	Member (Appointed w.e.f. 11th August 2023)
Mr. T. Someswaran	Member (Ceased w.e.f. 1st June 2023)
Mr. M.R. Morris	Member

Nominations Committee	
The Nominations Committee was appointed by the Board on 06th November 2015. The names of the Directors who serve on the said Committee is as follows:	
Mr. C.L. de Silva	Chairman (Appointed w.e.f. 23rd June 2023)
Mr. T. Someswaran	Chairman (Ceased w.e.f. 1st June 2023)
Mr. S.T. Gunatilleke	Member
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

Corporate Governance contd.

Levels of Compliance with the CSE's Listing Rules – Section 7.10. Rules on Corporate Governance

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
7.10 Compliance			
(a) – (c)	Compliance with Corporate Governance Rules The Company is compliant with the Corporate Governance Rules and any deviations are explained where applicable	Compliant	Corporate Governance
7.10.1 Non – Executive Director (NED)			
(a) – (c)	At least 02 members or 1/3 of the Board, whichever is higher should be NED.	Compliant	As at the conclusion of the last AGM there were 6 Non-Executive Directors
7.10.2 Independent Directors (ID)			
(a)	Two or 1/3 of NEDs whichever is higher should be Independent.	Compliant	Of the 6 Non – Executive Directors, 3 are independent.
(b)	Each NED to submit a signed and dated declaration of his/her independence or non-independence in the prescribed format	Compliant	Please refer page 48 of the Corporate Governance Report
7.10.3 Disclosures Relating to Directors			
(a)	The Board shall annually make a determination as to the independence or otherwise of the NED and names of Independent Directors should be disclosed in the Annual Report	Compliant	Please refer page 48 of the Corporate Governance Report
(b)	The basis of the Board to determine a Director is Independent, if criteria specified for independence is not met	Not Applicable	The Board was of the view that the directorship of Mr. M.R. Morris in Lanka Commodity Brokers Limited does not compromise his independence and objectivity in discharging his functions as a Director and therefore based on declarations submitted by the said Director, has determined that he shall nevertheless be "independent" as per the Listing Rules.
(c)	A brief resume of each Director should be included in the Annual Report and should include the areas of expertise	Compliant	Please refer page 16
(d)	Forthwith provide a brief resume of new Directors appointed to the Board with details specified in 7.10.3(a), (b) and (c) to the exchange	Compliant	Provided to the CSE
7.10.4 Criteria for Defining Independence			
(a) – (h)	Requirements for meeting criteria to be an Independent Director	Compliant	All Independent Directors, except for Mr. M.R. Morris meet with the criteria. The Board has determined that Mr. M.R. Morris shall nevertheless be determined an Independent Director

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
7.10.5 Remuneration Committee – Listed Company shall have a Remuneration Committee			
(a)	Composition of the Remuneration Committee shall compromise of Non- Executive Directors a majority of whom will be independent	Compliant	Please refer page 78
(b)	Functions of Remuneration Committee – The Remuneration Committee shall recommend the remuneration of the Chief Executive Officer and other Executive Directors	Compliant	Please refer to the Remuneration Committee Report on page 78
(c)	Disclosures in the Annual Report relating to the Remuneration Committee on Remuneration Policy, Names of the Directors of the Committee and aggregated remuneration paid to executive and non-executive directors	Compliant	Please refer Remuneration Committee Report on page 78 and Financial Report Note no. 32.2 on page 126
7.10.6 Audit Committee – The Company shall have an Audit Committee			
(a)	Composition of Audit Committee – I –Shall comprise of Non- Executive Directors a majority of whom should be independent	Compliant	Please refer page 77 of the Audit Committee Report
	II - A Non-Executive Director shall be the Chairman of the Committee	Compliant	Chairman of the Audit Committee is a Non- Executive Director
	III –Chairman of the Audit Committee or one member should be a member of Professional Body	Compliant	Chairman of the Audit Committee is a Fellow member of the Institute of Chartered Accountants of Sri Lanka
	IV - CEO and CFO shall attend the Committee Meetings	Compliant	MD & Senior Vice President - Finance attended Audit Committee meetings by invitation
(b)	Audit Committee Functions, Functions shall include: I – Overseeing the preparation, presentation and disclosures in the Financial Statements are in accordance with the Sri Lanka Accounting Standards.	Compliant	Please refer the Audit Committee Report on page 77
	II – Overseeing the compliance of the reporting requirements, information requirements of the Company's Act and other relevant financial reporting related regulations and requirements.	Compliant	

Corporate Governance contd.

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
	III - Overseeing the process to ensure that the internal control and risk management are adequate to meet the requirements of Sri Lanka Auditing Standards.	Compliant	
	IV – Assessment of the independence and the performance of the External Auditors	Compliant	
	V – Make recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors and approve the remuneration and terms of the engagement of the External Auditors	Compliant	
(c)	Disclosures in the Annual Report relating to Audit Committee. I - Names of Directors comprising the Audit Committee.	Compliant	Please refer to the Audit Committee Report on page 77
	II - The Audit Committee shall make a determination of the independence of the Auditors and disclose the basis of such determination.	Compliant	
	III - The Annual Report shall contain a report of the Audit Committee setting of the manner of compliance with their functions	Compliant	

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

Reference	Principle	Adoption Status	Section in Annual Report
A DIRECTORS			
A.1 THE BOARD			
A.1	Effective Board	Adopted	Corporate Governance
A.1.1	Regular Meetings at least once in every quarter	Adopted	Corporate Governance
A.1.2	➔ Ensure the formulation and implementation of sound business strategy ➔ Ensure that the Chief Executive Officer (CEO) and management team possess the skills, experience and knowledge to implement the strategy ➔ Ensure effective CEO and senior management succession strategy ➔ Approving budgets and major capital expenditure ➔ Determining the matters expressly reserved to the board and those delegated to the management including limits of authority and financial delegation ➔ Ensure effective systems to secure integrity of information, internal controls and risk management ➔ Ensure compliance with laws, regulations and ethical standards ➔ Ensure all stakeholder interests are considered in corporate decisions ➔ Recognizing sustainable business development in Corporate Strategy, decisions and activities and consider the need for adopting “integrated reporting” ➔ Ensure that the company’s values and standards are set with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations ➔ Establish a process of monitoring and evaluation of progress on strategy implementation, budgets, plans and related risks ➔ Ensuring that a process is established for corporate reporting on annual and quarterly basis or more regularly as relevant to the Company ➔ Fulfill such other Board functions as are vital, given the scale, nature and complexity of the business concerned	Adopted	Corporate Governance & Statement of Directors Responsibility

Corporate Governance contd.

Reference	Principle	Adoption Status	Section in Annual Report
A.1.3	Act in accordance with laws relevant to the organization and procedure for Directors to obtain independent professional advice	Adopted	Corporate Governance
A.1.4	Access to advise and services of Company Secretary	Adopted	Corporate Governance
A.1.5	Independent judgment	Adopted	Corporate Governance
A.1.6	Dedicate adequate time and effort to matters of the Board and the Company	Adopted	Corporate Governance
A.1.7	Resolution to be presented to the Board	Adopted	Corporate Governance
A.1.8	Appropriate Training	Adopted	Corporate Governance
A.2 CHAIRMAN AND CHIEF EXECUTIVE OFFICER (CEO)			
A.2	Separating the activities of the Board from the executive responsibilities of the Company	Adopted	Corporate Governance
A.3 CHAIRMAN'S ROLE			
A.3	Chairman's role in preserving good corporate governance. Conduct Board meetings in a proper manner.	Adopted	Corporate Governance
A.4 FINANCIAL ACUMEN			
A.4	Availability of financial acumen and knowledge to offer guidance on matters of finance	Adopted	Corporate Governance
A.5 BOARD BALANCE			
A.5.1 and A.5.2	Non-Executive Directors of sufficient caliber and number	Adopted	Corporate Governance
A.5.3	Independence of Non-Executive Directors	Adopted	Corporate Governance
A.5.4	Annual declarations of independence from Directors	Adopted	Corporate Governance
A.5.5	Determination of independence of the Directors	Adopted	Corporate Governance
A.5.6	Appointment of an alternate Director	N/A	N/A
A.5.7	Senior Independent Director (SID)	N/A	N/A
A.5.8	SID to meet with other Directors	N/A	N/A
A.5.9	Chairman to hold meetings with Non-Executive Directors, without Executive Directors being present	Adopted	Corporate Governance
A.5.10	Recording of Directors' concerns in Board Minutes	Adopted	N/A
A.6 SUPPLY OF INFORMATION			
A.6.1	Management's obligation to provide appropriate and timely information to the Board	Adopted	Corporate Governance
A.6.2	Board papers and agenda to be circulated 7 days prior to meetings	Adopted	Corporate Governance

Reference	Principle	Adoption Status	Section in Annual Report
A.7 APPOINTMENTS TO THE BOARD			
A.7.1	Formal and transparent procedure for new appointments through an established Nominations Committee	Adopted	Corporate Governance
A.7.2	Annually assess Board composition	Adopted	Corporate Governance
A.7.3	Disclosure of information to shareholders upon appointment of new directors	Adopted	Announcement made to CSE
A.8 RE-ELECTION			
A.8.1 and A.8.2	➔ All Non-Executive Directors should be appointed for specified terms subject to re-election ➔ All Directors including the Chairman to be subject to election at first opportunity after appointment and re-election at least every 3 years thereafter	Adopted	Corporate Governance / Notice of Meeting
A.8.3	➔ Resignation of a Director prior to completion of his appointed term, the Director should provide a written communication to the Board of his reasons for resignation.	Adopted	Corporate Governance
A.9 APPRAISAL OF BOARD PERFORMANCE			
A.9.1 & A.9.2	Annual Performance Evaluation of the Board and its Sub Committees	Working towards compliance	N/A
A.9.3	Review the performance of the Directors at the time of re-election	Working towards compliance	N/A
A.9.4	Disclosure of Performance evaluation criteria	Working towards compliance	N/A
A.10 DISCLOSURE OF INFORMATION IN RESPECT OF DIRECTORS			
A.10.1	Annual Report to disclose specified information regarding directors	Adopted	Board of Directors / Corporate Governance
A.11 APPRAISAL OF CHIEF EXECUTIVE OFFICER/MANAGING DIRECTOR			
A.11.1	Set reasonable financial and non-financial targets to be met by the CEO	Adopted	Corporate Governance
A.11.2	Evaluate performance of the CEO with reference to targets	Adopted	Corporate Governance
B. DIRECTOR'S REMUNERATION			
B.1 REMUNERATION PROCEDURE			
B.1.1	Remuneration Committee	Adopted	Corporate Governance
B.1.2	Composition of Remuneration Committee	Adopted	Corporate Governance
B.1.3	Disclosure of members of Remuneration Committee	Adopted	Corporate Governance
B.1.4	Remuneration for Non- Executive Directors	Adopted	Corporate Governance

Corporate Governance contd.

Reference	Principle	Adoption Status	Section in Annual Report
B.1.5	Consultation of the Chairman and access to professional advice	Adopted	Corporate Governance
B.2 LEVEL AND MAKEUP OF REMUNERATION			
B.2.1	Remuneration for Executive Directors should attract, retain and motivate	Adopted	Corporate Governance
B.2.2	Design of the remuneration packages of Executive Directors to promote long term success	Adopted	Corporate Governance
B.2.3	Comparison of remuneration with other Companies	Adopted	Corporate Governance
B.2.4	Comparison of remuneration with other Companies in the Group	Adopted	Corporate Governance
B.2.5	Performance related elements of remuneration of Executive Directors	N/A	N/A
B.2.6	Executive Share Options scheme	N/A	N/A
B.2.7	Executive Directors' remuneration	Adopted	Corporate Governance
B.2.8	Compensation commitments	N/A	N/A
B.2.9	Remuneration Committees should, within legal constraints, tailor their approach in early termination cases to the relevant circumstances.	N/A	N/A
B.2.10	Levels of remuneration for Non-Executive Directors	Adopted	Corporate Governance
B.3 DISCLOSURE OF REMUNERATION			
B.3.1	Composition of Remuneration Committee, Remuneration Policy and disclosure of aggregate remuneration paid to directors	Adopted	Remuneration Committee Report / Financial Statements – Note No 32
C. RELATIONS WITH SHAREHOLDERS			
C.1 CONSTRUCTIVE USE AND CONDUCT OF ANNUAL GENERAL MEETING			
C.1.1	Notice of the AGM and Related Documents	Adopted	Notice of Meeting
C.1.2	Separate resolution for all separate issues at the AGM	Adopted	Notice of Meeting
C.1.3	Use of Proxy Votes	Adopted	Notice of Meeting
C.1.4	Availability of Board Sub-Committee Chairmen at AGM	Adopted	Notice of Meeting
C.1.5	Summary of procedures governing voting at the AGM	Adopted	Notice of Meeting

Reference	Principle	Adoption Status	Section in Annual Report
C.2 COMMUNICATION WITH SHAREHOLDERS			
C.2.1 - C.2.7	➔ Channel to reach all shareholders ➔ Policy and methodology for communication with shareholders ➔ How the above policy & methodology is implemented ➔ Contact person for shareholder matters ➔ Process to make all Directors aware of major issues and concerns of shareholders ➔ Person to contact in relation to Shareholder matters ➔ Process of responding to shareholder matters	Adopted	Corporate Governance
C.3 MAJOR AND MATERIAL TRANSACTIONS			
C.3.1	Disclosure of major and material transactions	Adopted	Notes to Financial Statements
C.3.2	Compliance with the disclosure requirements and the shareholder approval by special resolution	Adopted	Notes to Financial Statements
D. ACCOUNTABILITY & AUDIT			
D.1 FINANCIAL AND BUSINESS REPORTING			
D.1.1	Present a balanced and understandable assessment of the Company's financial position, performance and prospects, Interim reports, price-sensitive public reports, regulatory reports and statutory information requirements	Adopted	Chairman's and MD's Review / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.2	The Board's responsibility in presenting balanced and understandable information	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.3	Declaration from the Chief Executive Officer and Chief Financial Officer	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.4	Directors' Report in the Annual Report	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.5	Responsibilities of the Board for the preparation and presentation of Financial Statements and statement by the Auditors about their reporting responsibilities	Adopted	Statement of Directors' Responsibility / Auditors' Report
D.1.6	Include a Management Discussion & Analysis	Adopted	Please refer the Management Discussion and Analysis on page 28 to 32

Corporate Governance contd.

Reference	Principle	Adoption Status	Section in Annual Report
D.1.7	Notify shareholders in case net assets of the company fall below 50% of the value of the Company's shareholders funds	N/A	N/A
D.1.8	Disclosure of Related Party transactions	Adopted	Notes to the Financial Statements Note No. 32
D.2 RISK MANAGEMENT AND INTERNAL CONTROL			
D.2.1	Directors to review on Risk management and Internal Controls	Adopted	Report of the Audit Committee
D.2.2	Disclosures in the Annual Report on Risk Management and Internal Controls	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.2.3	Internal Audit Function	Adopted	Corporate Governance
D.2.4	Review of effectiveness of the risk management and internal controls	Adopted	Audit Committee / Enterprise Risk Management / Statement of Directors' Responsibility
D.2.5	Responsibilities of Directors in maintaining a sound system of internal control	Adopted	Statement of Directors' responsibility
D.3 AUDIT COMMITTEE			
D.3.1	Composition of the Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.3.2	Duties of the Audit Committee and Terms of Reference for Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.3.3	Disclosures regarding Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.4 RELATED PARTY TRANSACTIONS REVIEW COMMITTEE			
D.4.1	A related party and related party transactions	Adopted	Financial Statements / Report of the Related Party Transactions Review Committee
D.4.2	Related Party Transactions Review Committee (RPTRC)	Adopted	Report of the Related Party Transactions Review Committee
D.4.3	Terms of Reference of the Related Party Transactions Review Committee (RPTRC)	Adopted	Report of the Related Party Transactions Review Committee

Reference	Principle	Adoption Status	Section in Annual Report
D.5 CODE OF BUSINESS CONDUCT AND ETHICS			
D.5.1	Disclosure of Code of Business Conduct & Ethics	Adopted	Corporate Governance
D.5.2	Process to ensure that material and price sensitive information is promptly identified and reported.	Adopted	Corporate Governance
D.5.3	Policy and process to ensure for monitoring and disclosure of shares purchased by any Director, Key Management Personnel or any other employee involved in financial reporting	Adopted	Corporate Governance
D.5.4	Affirmation Statement by Chairman	Adopted	Chairman's Report
D.6 CORPORATE GOVERNANCE DISCLOSURES			
D.5.6	Corporate Governance Report	Adopted	Corporate Governance
E. SHAREHOLDERS			
E.1 INSTITUTIONAL INVESTORS			
E.1.1	Encourage voting at AGM Regular structured dialogues with institutional investors	Adopted	Corporate Governance
E.2 EVALUATION OF GOVERNANCE DISCLOSURES			
E.2	Encourage institutional investors to give due weight to relevant governance arrangements	Adopted	Corporate Governance
F. OTHER INVESTORS			
F.1 INVESTING/DIVESTING DECISION			
F.1	Individual shareholders are encouraged to do their own analysis or seek independent advice	Adopted	Corporate Governance
F.2 SHAREHOLDER VOTING			
F.2	Encourage shareholders to participate and vote at the General meetings	Adopted	Corporate Governance
G. INTERNET OF THINGS AND CYBER SECURITY			
G.1 – G.1.5	Internet of Things and Cyber Security	Adopted	Enterprise Risk Management
H. ENVIRONMENT, SOCIETY AND GOVERNANCE			
H.1-H.1.5	Environment, Society and Governance	Adopted	Integrated Reporting Framework/ Management Discussion & Analysis/ Corporate Governance/Enterprise Risk Management

Corporate Governance contd.

Level of Compliance to the continuing listing requirements section 9 on Related Party Transactions issued by the Colombo Stock Exchange (CSE)

Reference	Principle/Rule	Compliance	Section in Annual Report
9.2	**RELATED PARTY TRANSACTIONS REVIEW COMMITTEE**		
9.2.2	Composition	Compliant	Corporate Governance
9.2.4	Committee meetings	Compliant	Report of Related Party Transaction Review Committee
9.3	**DISCLOSURES**		
9.3.2	Disclosures in the Annual Report		
(a)	Non-recurrent Related Party Transactions	Compliant	Annual Report of the Board of Directors
(b)	Recurrent Related Party Transactions	Compliant	Financial Statements Note No. 32
(c)	Report of the Related Party Transactions Review Committee	Compliant	Report of Related Party Transaction Review Committee
(d)	A declaration by the Board of Directors	Compliant	Annual Report of the Board of Directors

Risk Management

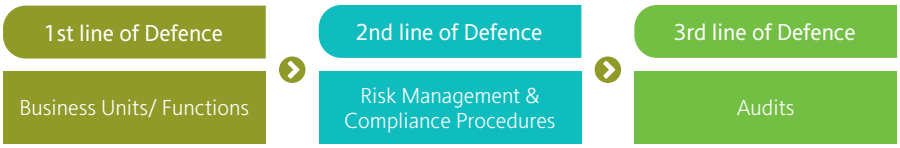
Risk management is an ongoing process facilitating constant review of external and internal developments and their impact on operations in the short, medium and long term. In the current volatile business environment, it is imperative that the Group anticipates future challenges and addresses its risks strategically, through a robust risk management framework.

Our Approach to Risk Management

The Group adopts a structured and proactive approach to risk management that facilitates the identification of risks as well as opportunities for growth, service excellence and differentiation at a broader ecological, political and socio-economic frame, with inbuilt and flexible response mechanisms. As a business that is exposed to both domestic and global influences, the Group also closely monitors emerging global trends that could potentially disrupt the company's strategic plans through changes in the commodity market.

The Board is cognizant of the importance of effective risk management to safeguard shareholder assets and to facilitate long-term wealth creation for all stakeholders. The overall risk management process is continuously evaluated to reflect the rapidly changing nature of the operating landscape and to ensure attainment of strategic objectives.

The company has developed an effective Risk Management Framework (RMF) based on the Three Lines of Defense model. The Three Lines of Defense model, which is an international standard, enables the company to harness different perspectives in defining risks and their impacts, while allowing to draw upon a wide range of skills for managing risks. The RMF is a continuous safeguard which is always active and operational in the day-to-day operations of the company as it permeates the width and breadth of the organization.



Risk Governance

A strong risk governance system allows oversight of and accountability for risk at all levels and across all risk types. The Group's risk governance framework facilitates segregation of responsibilities, objective oversight by the Board and high levels of risk awareness by business owners, ensuring that the Group effectively identifies, measures and monitors risks across the organization.

As the highest decision-making body of the company, the Board of Directors is the final authority for determining the nature and extent of the significant risks the Company is willing to take and ensuring that these risks are managed effectively. The Board is assisted in the discharge of duties by the Audit Committee, which reviews the effectiveness of the Company's risk management and internal control systems on an annual basis.

Regular risk reporting to the Board ensures that risks are monitored on an ongoing basis. For clarity and transparency within the risk management process, the company has adopted a formal board approved, documented risk management process, which stipulates the procedures for identification, analysis, evaluation, treatment, management and communication of the material risks.

Risk Appetite

The Group has a formal risk appetite statement that defines the level of risk the Board is willing to accept, in achieving its strategic objectives. It provides oversight and consistency in the level of risk taken by the Group as a whole and ensures that risk return dynamics are appropriately managed at all times. Risk appetites are regularly reviewed and refined in line with strategic cost-benefit objectives and the ability to absorb risk.

The Risk Management Process

The risk management process encompasses continuously monitoring the systematic and unsystematic risk landscape, identifying and prioritising risks based on a weighted scoring system, developing risk responses and executing the risk management strategy. The overall risk management framework is strengthened through the utilization of the 3-Lines of Defence model, as the risk response and monitoring of risk receives close attention from specific risk owner groups.

Risk Management contd.

Risk Identification → Risk Assessment & Analysis → Plan Action → Implementation of Strategy → Control & Monitor

1. Risk Identification

Regular and continuous consultations between the CEO and key management personnel from different functional units ensure comprehensive coverage of the risk landscape. Identified risk elements are reviewed by the Senior Management Team and the Audit Committee against the Group's strategic and tactical targets and stakeholder expectations.

2. Assessment and Analysis

Existing and emerging identified risks are mapped and rated based on the likelihood and potential level of impact as depicted below.

Likelihood	Impact: Insignificant				Impact: Severe
Almost Certain					7
			5, 6	8, 9 , 21	
	19, 20	1, 2	3, 4, 22		
	16, 23, 24	10			
Rare		11, 12, 13, 14, 15, 17, 18, 25			

Low | Moderate | High | Extreme

3. Response Planning and Execution

Developing a practical response to the risk, in line with the decision made on how the risk is to be handled. Responsibility for managing each identified risk lies with the respective risk owners, while the Group will ensure there is sufficient flexibility to respond to risks and adequate resources to mitigate risks.

It is recognized that risks can be most effectively managed if a risk culture is nurtured within the Group. The internal controls for risk management will be scrutinized by internal and external audit functions but these can only minimize the consequences of occurrence based on impact and likelihood but the risk itself will not be eliminated.

Group Policies will ensure that fundamental risks in their department are identified, assessed and monitored and incorporated in the Risk Register. Emerging risks will be added as required, and actions and controls put in place to mitigate them and provide assurance to the Board.

4. Control and Monitor

Monitoring risk exposure is the collective responsibility of the respective risk owners and the senior management team. The Internal Audit function is responsible for aspects of the annual review of the effectiveness of the internal control system within the organization, while the external audit function provides feedback to the Audit Committee on the operation of the adequacy and effectiveness of the internal control system within the organization. Assurance on the effectiveness of the Group's overall risk management framework and internal controls is provided by the Statement of Internal Controls.

5. Risk Reporting

Tracking the Group's risk exposures and ensuring that risk management strategies and internal controls are adequate in design and implementation through well-defined reporting structures and monitoring mechanisms.

Risk Universe

The Group's key risks can be categorized as follows.

Market Risk → Political & Economic Risks → Operational Risk → HR Risks → IT Risks → Health & Safety Risks → Other Risks

In an increasingly challenging business landscape, we constantly monitor, manage and mitigate both current and emerging risks to ensure the sustainability of our business. The table below provides a summary of the potential impacts, mitigation mechanisms and risk scorings for the year under review.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
Market Risk							
1.	Changes in commodity prices – Cyclical price changes globally and locally.	Direct Impact on Revenue, Vulnerable to credit exposure of Clients.	• Consistently monitoring market trends. • Achieving differentiation by focusing on quality of service.	Low	Low	Extreme	Extreme
2.	Competition and potential loss of clients - Increasing competitive pressures.	Loss of Market share, Impact on profitability, Negative impact on cash flows.	• Long term investment in business diversification. • Nurturing long-term relationships with clients based on sustainable value creation. • Developing a broad client portfolio. • Close monitoring of competitor behaviour and trend of client movement. • Continuous engagement with the CBA to ensure all brokers adhere to by-laws. • Strong team presence to survive in competitive environment. • Increase of data analytics in industry.	Low	Moderate	Moderate	Moderate
3.	Closure of Client Factories.	Impact on profitability, Increased bad debt provisions, Negative impact on cash flows.	• Proactive monitoring and tight control over client advances. • Monitoring of green leaf intakes to the factories, and catalogued quantities. • Monitoring factory compliance with SLTB regulations.	Moderate	Low	Moderate	Moderate

Risk Management contd.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
4.	Trends in Tea/Rubber/ Other Commodity Industries – Emerging Global Trends that have an impact on the business. More countries experiencing a higher inflation.	Impact on profitability.	➔ Continual market research and sharing knowledge with producer clients. ➔ Diversified Income streams apart from broking industry.	Moderate	Moderate	Low	Low
5.	Interest Rate Risk- Increasing interest rates Shortage of liquidity in banking sector.	Impact on profitability through rising funding costs.	➔ Timely review of lending rates and proactive negotiations with financial institutions. ➔ Strong treasury management to ensure borrowing costs are minimized. ➔ Adherence to CBA regulations on avoidance of rate-based competition on lending. ➔ Building Reserves in the company.	High	Moderate	Low	Low
6.	Exchange Rate Risk	Impact on profitability Price volatility which will result in unsecured borrowings leading to potential default.	➔ Proactive monitoring of the exchange rate	High	High	Moderate	Moderate
Political and Economic Risks							
7.	Government Policy Change Risk – Political instability, Sudden changes to fiscal and monetary policies by the government. Political decisions with unfavourable outcomes.	Impact on profitability, Affects budgets and targets.	➔ Seeking advice from professional bodies/ consultancy firms ➔ Discussions with relevant authorities for exemptions/ rulings with the support of CBA	Extreme	Extreme	High	Moderate

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
8.	Geopolitical Risk - Disruptions to trade caused by sanctions on key tea importing countries.	Loss of markets impacting profitability and Going Concern Issues	➔ Reviewing global and national drivers/ factors to provide marketing and product advice to clients, enabling them to respond to the world market. ➔ National promotion of Ceylon Tea in new markets ➔ Leadership to national initiatives	High	High	High	Moderate
Operational Risk							
9.	Default Risk - Potential loss of earnings and cash flow of clients to fulfil their financial obligations to the Group due to increased cost of debt.	Impact on profitability, Increased bad debt provisions and Going Concern Issues.	➔ Close monitoring through credit committee and automated processes for evaluation. ➔ Act within the legal framework to ensure assurance of recoverability of client advance portfolio. ➔ Maintaining close relationships with clients with continual inspection and monitoring ➔ Communication channel through CBA to improve unity among all brokers to prevent defaulting by borrowers	High	High	Moderate	Moderate
10.	Liquidity, Leverage and increased Credit exposure risk of the Company	Claims by fund providers, Disruption to the client advancing operation	➔ Maintaining an optimal Debt/ Equity ratio as per company policy ➔ Effective Cash management with regular review ➔ Building Company Reserves ➔ Ability to raise funds due to availability of collateral	Low	High	Low	Low

Risk Management contd.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
11.	Fraud risk - Potential financial and reputational losses arising from frauds within the organisation.	Impact on Profitability	➔ Continual review and strengthening of Internal Controls ➔ Compilation of procedure manual with all the internal controls over quantitative and qualitative measurements. Introducing delegation of authorities, segregation of duties and access levels etc	Low	Low	Low	Low
12.	Compliance related risks - Regulatory and reputational risks arising from non-compliance with regulatory requirements	Impact on reputation, Going Concern, Possible fines and Charges	➔ Periodic review of compliance through internal audit and implementation of ISO Audit ➔ Appointing Compliance officer to maintain independent supervisory functions. ➔ Continuous engagement with Sri Lanka Tea Board (SLTB) ensuring compliance with other regulatory Bodies' requirements. ➔ Including the CTTA and CBA and ensuring the company and the clientele are operating within the legal environment. ➔ Professionals and specialists are consulted to provide guidance and direction to ensure compliance in various transactions entered. ➔ Effective Corporate Governance structure	Low	Low	Low	Low

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
13.	Manual Documents Related data breaches / Sabotage / Burglary and theft	Loss of Sensitive Information, Loss of Security documents, Impact on Profitability	➔ Storing sensitive data on secured locations (Safes/ Lockers) ➔ Access limited to authorised personnel. ➔ Additional backups as soft copies on cloud/other backup solutions ➔ Security personnel on duty 24/7 ➔ CCTV surveillance	Low	Low	Low	Low
14.	Public Liability	Loss of reputation	➔ Health and Safety policies ➔ Suitable and comprehensive Insurance covers ➔ Maintaining high industry reputation ➔ Effective Corporate Governance structure	Low	Low	Low	Low
Human Resources (HR) Risk							
15.	People related risk - Risks arising from inability to retain staff, shortage of skilled personnel, lack of adequate training and inadequate standards of performance. Migration of labour overseas.	Loss of Market share, Loss of Industry reputation	➔ Continual investment in training and development initiatives to equip employees with the required skills to respond to dynamics in the environment. ➔ Competitive remuneration schemes ➔ Structured and comprehensive HR policies and frameworks ➔ Cross functional training for talent development	Low	Low	Low	Low
16.	Unawareness of HR Policies & Procedures - Lack of knowledge in HR Policies and procedures, User Level authorisation for time and attendance system	Disciplinary issues	➔ Conducting programmes to educate employees about their duties & responsibilities. ➔ Member of The Employers' Federation of Ceylon (EFC), through which management practices & governance are established ➔ HR Training programs	Low	Low	Low	Low

Risk Management contd.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
17.	Lack of succession planning framework	Going Concern Issues	➔ Have a proper succession plan in place ➔ Career advancement opportunities	Low	Low	Low	Low
Information Technology (IT) Risks							
18.	Data integrity and IT related risks – Data Access / Modification by unauthorized persons / loss of data/ data entry errors and sampling errors.	Loss of reputation, Loss of sensitive data, Loss of clients, Compliance issues	➔ Robust data security and back-up systems in place ➔ Outsourcing of key IT functions to specialists in order to ensure high level of competence in this dynamic business environment. ➔ Introduction of multiple platforms for delivering of data to clients ➔ The company conducts periodic Information system audits by engaging professionals in the industry. ➔ Departmental cross checking ➔ Upgrade ERPs to current versions ➔ The e platform for the auction has enabled data to be mirrored and stored in a different location ➔ Migration from local servers to cloud platform.	Low	Low	Low	Low
19.	Computer Hardware / Software / Communication / Connectivity failures	Loss of reputation, Loss of client's trust, Compliance Issues, Timely reporting issues	➔ Data Recovery plan in place ➔ Keeping up to date with modern technology ➔ Investments in ICT Hardware and Software to ensure an uninterrupted auction process and operations. ➔ Constant bug fixes	Low	Low	Moderate	Moderate

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
Health and Safety Risk							
20.	Global Pandemic – Risk of new variants.	Protection of Employees and the business continuity, Pressure on the business which will erode margins and profits.	➔ Weekly e-auctions and Digital Communication ➔ Following guidelines issued by the Health Ministry, Health Authorities & Infections Control Unit on the pandemic to safeguard staff. ➔ Business Continuity Plan ➔ Work from home to reduce the use of public transport	Low	Low	Moderate	Moderate
Other Risks							
21.	Risks of Climate Change- Rising temperatures, erratic weather patterns and soil degradation have also affected the quality and quantity of tea produced. Shortage of agro chemicals have resulted in tea and rubber plants being more vulnerable to climate related challenges.	Impact on profitability	➔ Diversification of Business Portfolio (Other Commodities & 3PL Warehousing) ➔ Advisory services provided to RPCs and smallholders on sustainable agricultural practices. ➔ Maintaining a clientele representing all three elevations to reduce the risk of low production. ➔ Contribute to Industry Policy Institutions ➔ Represented in diversified economic regions	High	High	Moderate	Moderate
22.	Natural and man-made disasters- Disasters due to human error/ negligence and natural disasters like floods, landslides, forest fires etc. affecting both the Company and Clients.	Impact on profitability, Loss of Goods	➔ Business Continuity Plan ➔ Training and regulations ➔ Comprehensive insurance cover extending to weekly evaluation of tea stock. ➔ Action plans and instructions in place for potential environmental changes ➔ Security systems, Fire Drills, Fire detectors to avoid man-made disasters. ➔ HACCP ➔ CCTV surveillance	Moderate	Moderate	Moderate	Moderate

Risk Management contd.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2022/23	2021/22	2020/21	2019/20
23.	Miscommunication of buyer/ seller orders	Loss of Reputation, Loss of Clients, Impact on Profitability	➔ Use of new technology for Auction ➔ Introduction of digital platforms for processing ➔ Having proper checking mechanism in departments. ➔ Crosschecking with catalogues of marketing officers ➔ Continual improvement of systems ➔ Automation of identified manual processes ➔ Group to resolve discrepancies in the auction process	Low	Low	Low	Low
24.	Loss of viable opportunity	Loss of potential profit	➔ Constant lookout for new opportunities ➔ Track trades ➔ Membership in Ceylon Chamber of Commerce ➔ Attending of International Events ➔ Canvassing for referrals.	Low	Low	Moderate	Moderate
25.	Business in Single Geographical Location	Adverse economic effects on the operating geographical location	➔ Constant lookout for foreign opportunities ➔ Company representation in off shore events ➔ Head office and Warehouse in two geographical locations ➔ Explore offshore activities. ➔ Diversified Client distribution	Low	Moderate	Moderate	Moderate

Annual Report of the Board of Directors on the Affairs of the Company

The Directors of Asia Siyaka Commodities PLC have pleasure in presenting their Annual Report together with the Audited Financial Statements of the Company and the Consolidated Financial Statements of the Company and its subsidiaries for the year ended 31st March 2023.

General

Asia Siyaka Commodities PLC is a public limited liability company which was incorporated under the Companies Act No. 17 of 1982 as a private limited company on 16th February 1998. The Company was re-registered under the Companies Act. No. 07 of 2007 on 30th April 2008 and was subsequently converted to a public limited liability company on 28th March 2012 and listed on the Colombo Stock Exchange on 12th September 2012. The registration number of the Company is PV3562PB/PQ.

Principal activities of the Company and review of performance during the year

The principal activities of the Company are carrying on the business of Tea Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents.

The business of the subsidiary company, Asia Siyaka Warehousing (Private) Limited is providing warehousing facilities for clients of the parent and other selected third parties. Siyaka Produce Brokers (Private) Limited a fully owned subsidiary of the Company did not engage in any business activities during the year.

A review of the business of the Company and its subsidiaries performance during the year with comments on financial results, future strategies and prospects are contained in the Managing Director's Review on pages 14 and 15 which form an integral part of this Report.

This Report together with the Financial Statements, reflect the state of affairs of the Company and its subsidiary Companies.

Financial Statements

The complete Financial Statements of the Company and the Consolidated Financial Statements of the Company and its subsidiaries, duly signed by two Directors on behalf of the Board are given on pages 86 to 129.

Auditors' Report

The Report of the Independent Auditors on the Financial Statements of the Company and its subsidiaries is given on page 82.

Accounting Policies

The Financial Statements of the Company and the Consolidated Financial Statements have been prepared in accordance with the Sri Lanka Financial Reporting Standards (SLFRS / LKAS) and the policies adopted thereof are given on pages 92 to 129 Figures pertaining to the previous periods have been re-stated where necessary to conform to the current year's presentation.

Directors

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on pages 16 to 18.

Name of Director	
Executive Directors	
Mr. A.R. Cooke	Managing Director
Mr. D.J. Wedande	Director
Mr. S.G. Amarasuriya	Director
Mr. Y. Kuruneru	Director/Chief Executive Officer
Mr. R.C. Dissanayake	Director/Chief Operations Officer
Mr. S.S. Samaranayake	Director (Deceased 28.11.2022)
Non-Executive Directors	
Mr. C.L. de Silva*	Chairman (Appointed w.e.f. 23.06.2023)
Mr. T. Someswaran*	Chairman (Resigned w.e.f. 01.06.2023)
Mr. S.T. Gunatilleke	Director
Mr. H.R.V. Caldera	Director
Mr. J.N. Dambawinne	Director
Mr. A. Vaithylingam*	Director
Mr. M.R. Morris*	Director

* Independent Non-Executive Directors as per the Listing Rules of the Colombo Stock Exchange.

Mr. A. Vaithyalingam retires by rotation at the conclusion of the Annual General Meeting in terms of Article 87(i) of the Articles of Association and being eligible is recommended by the Directors for re-election.

The Directors have recommended the re-appointment of Mr. H.R.V. Caldera who is 78 years of age and Mr. Tissa Gunatilleke Someswaran who is 72 years of age as Directors of the Company; and accordingly

Annual Report of the Board of Directors on the Affairs of the Company

a resolution will be placed before the shareholders in terms of Section 211 of the Companies Act in regard to the said re-appointments.

Directors of subsidiary Companies

Asia Siyaka Warehousing (Private) Limited

Mr. C.L. de Silva (Chairman - Appointed w.e.f. 31.07.2023)
Mr. A.R. Cooke
Mr. D.J. Wedande
Mr. Y. Kuruneru
Mr. A. Vaithylingam
Mr. R.C. Dissanayake
Mr. M.R. Morris
Mr. E.D. Diaz

Siyaka Produce Brokers (Private) Limited

Mr. D.J. Wedande
Mr. A.R. Cooke
Mr. S.G. Amarasuriya
Mr. V.L.T. Perera

Composition of the Board

The Board of Asia Siyaka Commodities PLC comprises twelve members of whom six are Non -Executive Directors. Six members of the Board serve as Executive Directors.

Interest Register

The Company maintains an interests register in terms of the Companies Act, No. 7 of 2007, which is deemed to form part and parcel of this annual report and available for inspection upon request.

The relevant interests of Directors in the shares of the Company as at 31st March 2023 as recorded in the interests register are given in this report under Directors' shareholding.

Related Parties' Transactions with the Company

All related party transactions which encompasses the transactions of Directors who were directly or indirectly interested in a contract or a related party transaction with the Company during the accounting period are recorded in the interests register in due compliance with the applicable rules and regulations of the relevant regulatory authorities.

Transactions of related parties (as defined in LKAS 24 - Related Parties Disclosure) with the Company are set out in Note 32 to the financial statements.

The Directors declare that the Company is in compliance with Rule 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the year ended 31st March 2023.

Directors' Remuneration

The Directors' remuneration is disclosed under key management personnel compensation in Note 32 to the Financial Statements on page 126.

Directors' responsibility for Financial Reporting

The Directors are responsible for the preparation of Financial Statements of the Company and the Group to reflect a true and fair view of the state of its affairs. A further statement in this regard is included on page 75.

Auditors

Messrs Ernst & Young, Chartered Accountants served as the Auditors during the year under review and also provided non audit/ consultancy services. They do not have any interest in the Company other than that of Auditor and provider of tax related services.

A total amount of Rs. 1,077,869 is payable by the Company to the Auditors for the year under review comprising Rs. 795,157 as audit fees and Rs. 282,712 for non-audit services.

The Auditors have expressed their willingness to continue in office. The Audit Committee at a meeting held on 31st August 2023 recommended that they be re-appointed as Auditors. A resolution to re-appoint the Auditors and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting.

Details of payments to Auditors of Subsidiary companies on account of audit fees and for permitted non-audit services are set out in Note 23 to the Financial Statements on page 119.

Stated Capital

The Stated Capital of the Company as at 31st March 2023 was Rs.100,000,000/- represented by 260,000,000 ordinary shares. There were no changes in the Stated Capital of the Company during the year.

Directors' Shareholding

The relevant interests of Directors in the shares of the Company as at 31st March 2023 and 31st March 2022 are as follows.

	Shareholding as at 31/03/2023	Shareholding as at 31/03/2022
Mr. C.L. de Silva	-	-
Mr. A.R. Cooke	9,747,143	9,747,143
Mr. D.J. Wedande	8,353,067	8,353,067
Mr. S.G. Amarasuriya**	-	-
Mr. Y. Kuruneru	2,499,063	2,499,063
Mr. S.T. Gunatilleke*	-	130,000
Mr. H.R.V. Caldera	-	-
Mr. J.N. Dambawinne**	-	-
Mr. R.C. Dissanayake	1,279,808	1,279,808
Mr. S.S. Samaranayake (Deceased w.e.f. 28.11.2022)	265,735	265,734
Mr. A. Vaithylingam	-	-
Mr. M.R. Morris**	-	-

*Mr. S T Gunatilleke is the Chairman of Lanka Commodity Brokers Limited, which holds 132,678,464 shares constituting 51.03% of the issued shares of the Company.

**Messrs. J. N. Dambawinne, S.G. Amarasuriya and M.R. Morris serve as Directors of Lanka Commodity Brokers Limited.

Shareholders

There were 2,133 shareholders registered as at 31st March 2023. The details of distribution are given on page 131 of this Report.

Major Shareholders, Distribution Schedule and other information

Information on the distribution of shareholding, analysis of shareholders, market values per share, earnings, dividends, net assets per share, twenty largest shareholders of the Company, public holding as per the Listing Rules of the Colombo Stock Exchange are given on pages 130 and 131 under Share Information and the ten year summary of the Company

Reserves

The reserves of the Company with the movements during the year are given in the Statement of Changes in Equity on page 89.

Land holdings

The Company does not own any freehold land or buildings.

The leasehold interest in the immovable property, held by Asia Siyaka Warehousing (Private) Limited, the subsidiary company was revalued as at 31st March 2023 by an Independent Valuer and it is recorded at market values as set out in Note 3.7 to the Financial Statements.

Property, Plant & Equipment

Details and movements of property, plant and equipment are given under Note 3 to the Financial Statements on page 103.

Investments

Details of the Company's quoted and unquoted investments as at 31st March 2023 are given in Note 5 to the Financial Statements on page 107.

Donations

The Company made donations amounting to Rs. 5,415,123 in total, during the year under review.

Dividends

The Company paid a Second Interim dividend of Thirty Five Cents (Cents 35) per share for the year ended 31st March 2023 on 30th June 2023.

An Interim dividend of Thirty Five Cents (Cents 35) per share for the year ending 31st March 2023 was declared and paid on 22nd September 2022.

Risk Management

An ongoing process is in place to identify and manage the risks that are associated with the business and operations of the Company. The Directors review this process through the Audit Committee.

Specific steps taken by the Company in managing the risks are detailed in the section on Risk Management on pages 61 to 70.

There were no material issues pertaining to employees and industrial relations of the Company during the year.

Annual Report of the Board of Directors on the Affairs of the Company

Statutory Payments

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of employees of the Company and all other known statutory dues as were due and payable by the Company as at the Reporting date have been paid or, where relevant provided for, except for certain assessments where appeals have been lodged.

Contingent Liabilities

Except as disclosed in Note 29 to the Financial Statements on page 124, there were no material Contingent Liabilities as at the Reporting date.

Events occurring after the Reporting date

Except for the matters disclosed in Note 31 to the Financial Statements on page 125 there are no material events as at the date of the Financial Statements which require adjustment tom, in the Financial Statements.

Corporate Governance

The Board of Directors confirm that the Company is compliant with Section 7.10 of the Listing Rules of the CSE.

The corporate governance of the Company is reflected in its strong belief in protecting and enhancing stakeholder value in a sustainable manner, supported by a sound system of policies and practices. Prudent internal controls ensure professionalism, integrity and commitment of the Board of Directors, Management and employees.

The Corporate Governance Statement on pages 40 to 60 explains the measures adopted by the Company during the year.

An Audit Committee, Remuneration Committee, Nominations Committee and Related Party Transaction Review Committee function as Board sub committees, with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows.

Audit Committee

Mr. S.T. Gunatilleke	Chairman (Appointed w.e.f. 23rd June 2023)
Mr. T. Someswaran	Chairman (Ceased w.e.f. 1st June 2023)
Mr. C.L. de Silva	Member (Appointed w.e.f. 23rd June 2023)
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

Remuneration Committee

Mr. C.L. de Silva	Chairman (Appointed w.e.f. 23rd June 2023)
Mr. T. Someswaran	Chairman (Ceased w.e.f. 1st June 2023)
Mr. S.T. Gunatilleke	Member
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

Nominations Committee

Mr. C.L. de Silva	Chairman (Appointed w.e.f. 23rd June 2023)
Mr. T. Someswaran	Chairman (Ceased w.e.f. 1st June 2023)
Mr. S.T. Gunatilleke	Member
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

Related Party Transaction Review Committee

Mr. A. Vaithylingam	Chairman
Mr. C.L. de Silva	Member (Appointed w.e.f. 11.08.2023)
Mr. T. Someswaran	Member (Ceased w.e.f. 1st June 2023)
Mr. M.R. Morris	Member

Annual General Meeting

The Notice of the Annual General Meeting appears on page 135.

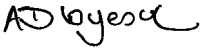
This Annual Report is signed for and on behalf of the Board of Directors by



C.L. de Silva
Chairman



A.R. Cooke
Managing Director



P W Corporate Secretarial (Pvt) Ltd
Secretaries

31 August 2023

Statement of Directors' Responsibilities

The Directors are responsible for preparing the Annual Report and the Consolidated Financial Statements in accordance with the Companies Act, No.7 of 2007 and Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and are required to prepare Financial Statements for each financial year, which give a true and fair view of the state of affairs of the Company and its subsidiaries as at the reporting date and the income and expenditure of the Company for the accounting year ending on that reporting date.

The Directors are also responsible in ensuring that the Financial Statements comply with any regulations made under the Companies Act, which specifies the form and content of Financial Statements and any other requirements which apply to the Company's Financial Statements under any other law.

The Directors have ensured that the Financial Statements presented in this Annual Report have been prepared using appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments' and estimates and in compliance with the Sri Lanka Financial Reporting Standards, Companies Act, No.7 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The Directors are responsible for keeping sufficient accounting records, which disclose with reasonable accuracy the financial position of the Company and its subsidiaries, which will enable them to have the Financial Statements prepared and presented as aforesaid.

They are also responsible for taking measures to safeguard the assets of the Company and its subsidiaries and in that context to have proper regard to the establishment of appropriate systems of internal control with a view to prevention and detection of fraud and other irregularities.

The Directors are also confident that the Company and the group have adequate resources to continue in operation and have applied the going concern basis in preparing the financial statements.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board
ASIA SIYAKA COMMODITIES PLC

P W Corporate Secretarial (Pvt) Ltd
Secretaries

31 August 2023

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee (RPTRC) of the Company was established in November 2015 in accordance with Section 9 of the Listing Rules of the Colombo Stock Exchange to ensure compliance with the Rules in place for independent review, approval and oversight of Related Party Transactions of the Company and with particular emphasis relating to the interests of both major and minor stakeholders alike.

Composition of the Committee

The members of the Committee during the year were:

Mr. A. Vaithylingam	Chairman
Mr. R. Morris	Member (Appointed w.e.f. 16.06.2022)
Mr. T. Someswaran	Member (Ceased w.e.f. 01.06.2023)
Mr. H.R.V. Caldera	Member (Ceased w.e.f. 16.06.2022)

On 11th August 2023, the Board resolved to appoint Mr. C.L. de Silva as a Member of the Committee.

PW Corporate Secretarial (Pvt) Ltd, the Company Secretaries of the Company functions as the Secretary to the Committee.

The Managing Director and the Senior Vice President Finance attend meetings by invitation.

Meetings

The Committee met four times during the year under review and the attendance of the Directors at the said meetings is given below.

Name of Director	Total Meetings attended
Mr. A. Vaithylingam	4/4
Mr. T. Someswaran	4/4
Mr. R. Morris	2/3
Mr. H.R.V. Caldera	0/1

Charter of the Related Party Transaction Review Committee

The Charter of the Related Party Transaction Review Committee clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently, the Committee has been authorised to:

a) Receive regular reports from the management, and be provided with any information it requests relating to its responsibilities

b) Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions

c) Review and evaluate the terms, conditions, and the advisability of, any related party transaction

d) Determine whether the relevant related party transaction is fair, and in the best interest of the Company and its shareholders as a whole

e) Recommend to the Board what action, if any, should be taken by the Board with respect to any related party transaction

f) Obtain advice and assistance from legal, technical, financial and other advisors from within or outside the Company as deemed necessary by the Committee in order to carry out its duties

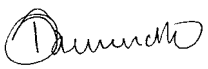
Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the financial year 2022/23 and has communicated its comments and observations to the Board. It was observed that all related party transactions entered during the year were of a recurrent, trading nature and were necessary for the day-to-day operations of the Company.

In the opinion of the Committee, the terms of these transactions were not more favourable to the related parties than those generally available to the public. The details of related party transactions entered into during the year are given in Note 32 to the Financial Statements, on pages 125 and 126 of this Annual Report.

Declaration

A declaration by the Board of Directors on compliance with the rules pertaining to related party transactions appears on the report of the Board of Directors on pages 71 to 74 of this Annual Report.



A. Vaithylingam
Chairman - Related Party Transactions Review Committee

31 August 2023

The Report of the Audit Committee

Asia Siyaka Commodities PLC Management is responsible for it's internal control and financial reporting including the preparation of consolidated financial statements. Independent Accountants are responsible for auditing annual consolidated financial statements in accordance with generally accepted auditing standards and ensuring that the financial statements truly and fairly present the results of operations and are financial position of the company. The Independent Auditors are also responsible for issuing a report on those financial statements. The Audit Committee monitors and oversees these processes. The Audit Committee annually recommends to the Board, for its approval on, an independent accounting firm to be appointed as the Company's independent auditors.

To fulfill its obligations the Audit Committee carried out the following activities.

- Reviewed and discussed with the Company's Management and the Independent Auditors, the consolidated financial statements for the accounting year ended 31st March 2023. Reviewed the Management's representations to ensure that the consolidated financial statements are prepared in accordance with generally accepted accounting principles and truly and fairly present the results of operations and financial position of the Company.
- Recommended that the Board select ERNST & YOUNG, Chartered Accountants as Independent Auditors to audit and report on the annual consolidated financial statements of the Company and to forward copies of the Annual Report to the Colombo Stock Exchange prior to the Annual General Meeting.
- Based on the declaration provided by Messrs. Ernst & Young, Chartered Accountants and to the extent that the Directors are aware, the Auditors do not have any relationship with (other than that of the Auditors) or interest in, the Company, which in the opinion of the Board, may reasonably be considered to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by The Institute of Chartered Accountants of Sri Lanka as at the Reporting Date.
- Reviewed the procedures for identifying business risk and the management of its impact on the Group. Reviewed the policies, procedures and internal controls for detecting and preventing fraud.
- Reviewed the operational effectiveness and internal controls of the policies, systems and procedures.
- Reviewed and discussed with the Management, the annual and the quarterly financial statements prior to their release, including the extent of compliance with the Sri Lanka Accounting Standards and the Companies Act, No.7 of 2007.
- Reviewed the procedures established by Management for compliance with the requirements of regulatory bodies.

Composition of the Committee

The members of the Committee during the year were:

Mr. T. Someswaran	Chairman (Ceased w.e.f. 01.06.2023)
Mr. S.T. Gunatilleke	Member
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

On 23rd June 2023, the Board resolved to appoint Mr. C.L. de Silva as a Member of the Committee.

On 23rd June 2023, the Board resolved to appoint Mr. S.T. Gunatilleke as the Chairman of the Committee.

Meetings

The Committee met five times during the year under review and the attendance of the Directors at the said meetings is given below.

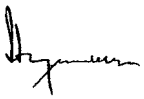
Name of Director	Total Meetings attended
Mr. T. Someswaran	4/5
Mr. S.T. Gunatilleke	5/5
Mr. A. Vaithylingam	4/5
Mr. M.R. Morris	4/5

Conclusion

The Committee is of the view that adequate controls and procedures are in place to provide reasonable assurance that the Company's assets are safeguarded and the financial position of the company is well monitored. The Audit Committee concurs that the adoption of the going concern premise in the preparation of the Financial Statement is appropriate. The Audit Committee recommends to the Board of Directors that the financial statements as submitted be approved.

Audit Committee wishes to express its appreciation of the services rendered by Group Auditors, Messrs. ERNST & YOUNG, Chartered Accountants who have assisted the Audit Committee in discharging its duties and responsibilities.

On behalf of the Audit Committee;



S.T. Gunatilleke
Chairman - Audit Committe

31 August 2023

Report of the Remuneration Committee

The Remuneration Committee is responsible to the Board for recommending remuneration of the Executive Directors including the Managing Director/Chief Executive Officer, and setting the broad parameters of remuneration for Senior Management across the Group.

Composition

The Committee consists of four Non-Executive Directors namely

Mr. T. Someswaran	Chairman (Ceased w.e.f. 01.06.2023)
Mr. S. T. Gunatilleke	Member
Mr. A. Vaithylingam	Member
Mr. M.R. Morris	Member

On 23rd June 2023 the Board resolved to appoint Mr. C.L. de Silva as the Chairman of the Committee.

P W Corporate Secretarial (Pvt) Ltd acts as the Secretaries to the Remuneration Committee.

Remuneration Policy

The remuneration policy aims to attract and retain management with the appropriate professional, managerial and operational expertise necessary to achieve the Group's objectives and create value for our shareholders. A significant portion of executives' total potential remuneration is performance related in order to drive the right behavior to optimize Group performance. The remuneration packages which are linked to individual performances are aligned with the Group's short-term and long-term strategy. Remuneration levels are reviewed annually by the Remuneration Committee through a process that considers individual, business unit and overall performance of the Group and market practices. The Committee continues to provide analysis and advice to ensure key management personnel remuneration is competitive in the market place. The Committee has the authority to seek external independent professional advice on matters within its purview.

Meetings

The Committee met thrice during the year under review and the attendance of the Directors at the said meetings is given below.

Name of Director	Total Meetings attended
Mr. T. Someswaran	3/3
Mr. S.T. Gunatilleke	3/3
Mr. A. Vaithylingam	3/3
Mr. M.R. Morris	3/3

The Directors emoluments are disclosed on Note 32 to the financial statements.

On behalf of the Remuneration Committee;



C.L. de Silva
Chairman – Remuneration Committee

31 August 2023



GEARING UP FOR THE FUTURE

Financial Information

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Independent Auditors' Report / **82**
Statement of Financial Position / **86**
Statement of Profit or Loss and Other Comprehensive Income / **88**
Statement of Changes in Equity / **89**
Statement of Cash Flows / **90**
Notes to the Financial Statements / **92**

Financial Calendar	2022/23	2021/22
1st Quarter	09th August 2022	11th August 2021
2nd Quarter	14th November 2022	12th November 2021
3rd Quarter	10th February 2023	07th February 2022
4th Quarter	31st May 2023	31th May 2022

ANNUAL GENERAL MEETINGS	
2012/13	Annual Report Published on 30th August 2013 and 01st Annual General Meeting held on 23rd September 2013
2013/14	Annual Report Published on 22nd August 2014 and 02nd Annual General Meeting held on 15th September 2014
2014/15	Annual Report Published on 28th July 2015 and 03rd Annual General Meeting held on 24th August 2015
2015/16	Annual Report Published on 04th July 2016 and 04th Annual General Meeting held on 28th July 2016
2016/17	Annual Report Published on 21st July 2017 and 05th Annual General Meeting held on 14th August 2017
2017/18	Annual Report Published on 31st August 2018 and 06th Annual General Meeting held on 28th September 2018
2018/19	Annual Report Published on 29th August 2019 and 07th Annual General Meeting held on 23rd September 2019
2019/20	Annual Report Published on 06th Oct 2020 and 08th Annual General Meeting held on 28th October 2020
2020/21	Annual Report Published on 07th Sept 2021 and 09th Annual General Meeting held on 30th September 2021
2021/22	Annual Report Published on 06th Sept 2022 and 10th Annual General Meeting held on 30th September 2022

Independent Auditors' Report

Ernst & Young
Chartered Accountants
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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ASIA SIYAKA COMMODITIES PLC

Report on the audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Siyaka Commodities PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2023, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements section of our report*. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's responsibilities for the audit of the financial statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. K R M Fernando FCA ACMA, Ms. P V K N Sajeewani FCA, A A J R Perera ACA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

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Key Audit Matter	How our audit addressed the key audit matter
Provision for Impairment of Loans & Advances As at 31 March 2023, loans and advances given to Tea clients, as detailed in note 12 amounted to Rs 1,662 Mn net of an impairment provision of Rs 175 Mn. This represents 41% of total assets of the Group. Provision for impairment of loans and advances given to tea clients was a key audit matter due to: ➔ Materiality of the loans and advance balance. ➔ The degree of assumptions, judgements and estimates associated with evaluating the recoverability of the aforesaid loans and advances. The key area of significant judgements, estimates and assumptions included the following: ➔ The risk over collection of loans and recovery of advances.	**Our audit procedures included the following:** ➔ Understood the Group's process of assessing impairment of loans and advances given to tea clients. ➔ Checked whether the credit limit assessment has been performed in accordance with the standard operating procedures for granting loans to tea clients. ➔ Checked the completeness and accuracy of the relevant key data to underline accounting records and checked relevant calculations. ➔ Assessed the reasonableness of assumptions and judgements associated with evaluating the probability of recoverability by comparing forecast amounts with actual recoveries. Our testing included assessing the availability of collateral. We also assessed the adequacy of disclosures in notes 2.3.11 (e), 12.1 and 12.2 in the financial statements regarding impairment for loans and advances given to tea clients.
Assessment of fair value of Buildings and Storage System As at 31 March 2023, Property, Plant and Equipment includes buildings and storage system carried at fair value amounting to Rs.926.4 Mn and Rs.235.1Mn respectively. This represents 29% of total assets of the Group. The fair values of buildings and storage system were determined mainly using an independent external valuer engaged by the Group. The valuation of buildings and storage system was considered a key audit matter due to: ➔ Materiality of the reported fair value of buildings and storage system balances. ➔ The degree of assumptions, judgements and estimation uncertainties associated with fair valuation of buildings and storage system. Key areas of significant judgments, estimates and assumptions used in assessing the fair value of buildings and storage system as disclosed in notes 3.7, 3.8 and 3.9 included judgements involved in ascertaining the appropriate valuation techniques and estimates such as: ➔ value per square foot ➔ per pallet location price	**Our audit procedures included the following;** ➔ Evaluated the competence, capability and objectivity of the external valuer engaged by the Group. ➔ Read the external valuer's report and understood the key estimates made and the approach taken by the valuer in determining the valuation of buildings and storage system. ➔ Assessed the appropriateness of the valuation techniques used and reasonableness of the significant judgements, estimates and assumptions such as value per square foot and per pallet location price used by the valuer. We have also assessed the adequacy of the disclosures made in notes 3.7,3.8 and 3.9 in the financial statements regarding revaluation of buildings and storage system.

Independent Auditors' Report contd.

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Other information included in the Group's 2023 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by

Building a better working world

management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1864.

Ernst & Young

31 August 2023
Colombo

Statement of Financial Position

As at 31 March 2023		Group		Company	
ASSETS	**Note**	**2023**	**2022**	**2023**	**2022**
		Rs.	**Rs.**	**Rs.**	**Rs.**
Non-Current Assets					
Property, Plant and Equipment	3	1,265,345,876	989,907,798	3,067,164	3,293,556
Rights of Use Asset	6	26,749,036	35,906,282	11,176,747	11,609,090
Intangible Assets	4	78,699	90,700	78,699	90,700
Investments	5	-	-	190,250,000	190,250,000
Investment Property	7	755,727	755,727	755,727	755,727
Other Non-Current Financial Assets	8	9,888,974	-	9,888,974	-
Deferred Tax Asset	25	49,815,413	26,092,076	46,930,496	24,155,088
		1,352,633,725	1,052,752,583	262,147,807	230,154,161
Current Assets					
Inventory	10	3,559,577	4,533,024	3,453,916	4,439,513
Trade Receivables	11	805,245,513	758,353,030	741,709,319	718,524,176
Loans and Advances	12	1,668,946,771	862,293,083	1,668,946,771	862,293,083
Other Current Financial Assets	8	1,760,937	190,189	1,568,169	62,763
Other Receivables, Prepayments and Advances	9	19,427,522	24,099,736	15,828,989	13,169,831
Income Tax Receivable		-	6,573,995	-	6,573,995
Short Term Investments		33,283,946	33,009,245	33,283,946	33,009,245
Cash and Cash Equivalents	13	122,878,987	105,591,799	114,966,937	103,241,570
		2,655,103,253	1,794,644,101	2,579,758,047	1,741,314,176
Total Assets		4,007,736,978	2,847,396,684	2,841,905,854	1,971,468,337
Equity and Liabilities					
Capital and Reserves					
Stated Capital	14	100,000,000	100,000,000	100,000,000	100,000,000
Revaluation Reserves		622,313,935	425,679,440	-	-
Revenue Reserves		539,151,841	414,843,317	424,626,540	238,459,775
Total Equity		1,261,465,776	940,522,757	524,626,540	338,459,775
Non Current Liabilities					
Retirement Benefit Obligation	15	59,329,464	61,911,306	50,330,931	54,494,939
Lease Liabilities	6	-	2,058,216	7,700,299	2,058,216
Deferred Tax Liability	25	304,773,756	170,228,258	287,704	314,227
Long Term Interest Bearing Borrowings	16	10,714,292	75,000,006	-	-
		374,817,512	309,197,786	58,318,934	56,867,382

As at 31 March 2023		Group		Company	
ASSETS	**Note**	**2023**	**2022**	**2023**	**2022**
		Rs.	**Rs.**	**Rs.**	**Rs.**
Current Liabilities					
Trade Payables	17	985,050,333	875,156,228	999,111,287	943,976,285
Income Tax Payable		38,664,559	1,395,719	32,452,431	-
Interest Bearing Borrowings on Client Financing	18	990,000,000	593,000,000	990,000,000	593,000,000
Interest Bearing Borrowings	16	64,285,710	64,285,710	-	-
Lease Liabilities	6	2,117,667	10,717,967	4,029,071	12,374,358
Sundry Creditors including Accrued Expenses		107,383,658	50,789,429	49,415,828	24,459,449
Bank Overdrafts	13	183,951,763	2,331,088	183,951,763	2,331,088
		2,371,453,690	1,597,676,141	2,258,960,380	1,576,141,180
Total Liabilities		2,746,271,202	1,906,873,927	2,317,279,314	1,633,008,562
Total Equity and Liabilities		4,007,736,978	2,847,396,684	2,841,905,854	1,971,468,337

These Financial Statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Senior Vice President - Finance

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by;

Director *Director*

The Accounting Policies and Notes on pages 92 through 129 form an integral part of these Financial Statements.

31 August 2023
Colombo

Statement of Profit or Loss and Other Comprehensive Income

		Group		Company	
Year ended 31 March 2023	**Note**	**2023 Rs.**	**2022 Rs.**	**2023 Rs.**	**2022 Rs.**
Revenue	19	1,292,102,761	711,612,834	967,372,427	434,537,911
Cost of Sales		(1,953,286)	(1,966,828)	(1,953,286)	(1,966,828)
Net Revenue		1,290,149,475	709,646,006	965,419,141	432,571,083
Other Income and Gains	20	15,777,423	31,105,564	114,089,050	54,446,592
Distribution Expenses		(112,387,225)	(47,539,124)	(102,845,195)	(35,067,819)
Administrative Expenses		(541,747,050)	(453,093,669)	(319,936,653)	(253,131,645)
Operating Profit		651,792,623	240,118,777	656,726,343	198,818,211
Finance Cost	21	(269,985,423)	(73,033,676)	(258,719,004)	(65,528,064)
Finance Income	22	15,903,441	3,677,427	15,888,481	3,668,121
Net Finance Cost		(254,081,982)	(69,356,249)	(242,830,523)	(61,859,943)
Profit / (Loss) Before Tax	23	397,710,641	170,762,528	413,895,820	136,958,268
Income Tax Expense	24	(144,574,725)	(51,592,988)	(99,206,579)	(31,809,205)
Profit / (Loss) for the year		253,135,916	119,169,540	314,689,241	105,149,063
Other Comprehensive Income for the year, net of tax					
Items that will not be Reclassified Subsequently to Statement of Profit or Loss					
Actuarial Gain / (Loss) for the year	15	(5,753,417)	19,091,293	(5,317,823)	16,765,749
Tax Effect on Actuarial Gain and Loss	25	1,726,025	(4,581,911)	1,595,347	(4,023,780)
		(4,027,392)	14,509,382	(3,722,476)	12,741,969
Revaluation Surplus		309,996,930	-	-	-
Income Tax Effect	25	(113,362,435)	(45,591,589)	-	-
		196,634,495	(45,591,589)	-	-
Other Comprehensive Income/(Loss) for the year, net of tax		192,607,103	(31,082,207)	(3,722,476)	12,741,969
Total Comprehensive Income/(Loss) for the year, net of tax		445,743,019	88,087,333	310,966,765	117,891,032
Basic/Diluted Earnings/ (Loss) Per Share	26	0.97	0.46	1.21	0.40
Dividend Per Share	27	0.48	0.10	0.48	0.10

The Accounting Policies and Notes on pages 92 through 129 form an integral part of these Financial Statements.

Statement of Changes in Equity

Year ended 31 March 2023 Group	Note	Stated Capital Rs.	Revaluation Reserve Rs.	Revenue Reserves Rs.	Total Rs.
Balance as at 1 April 2021		100,000,000	471,271,029	307,164,394	878,435,423
Net Profit for the Year		-	-	119,169,540	119,169,540
Other Comprehensive Income		-	(45,591,589)	14,509,383	(31,082,206)
Total Comprehensive Income		-	(45,591,589)	133,678,923	88,087,334
Dividend Paid		-	-	(26,000,000)	(26,000,000)
Balance as at 01 April 2022		100,000,000	425,679,440	414,843,317	940,522,757
Net Profit for the Year		-	-	253,135,916	253,135,916
Other Comprehensive Income		-	196,634,495	(4,027,392)	192,607,103
Total Comprehensive Income		-	196,634,495	249,108,524	445,743,019
Dividend Paid		-	-	(124,800,000)	(124,800,000)
As at 31 March 2023	14	100,000,000	622,313,935	539,151,841	1,261,465,776

Company	Note	Stated Capital Rs.	Revenue Reserves Rs.	Total Rs.
Balance as at 1 April 2021		100,000,000	146,568,743	246,568,743
Net Profit for the Year		-	105,149,063	105,149,063
Other Comprehensive Income		-	12,741,969	12,741,969
Total Comprehensive Income		-	117,891,032	117,891,032
Dividend Paid		-	(26,000,000)	(26,000,000)
Balance as at 01 April 2022		100,000,000	238,459,775	338,459,775
Net Profit for the Year		-	314,689,241	314,689,241
Other Comprehensive Income		-	(3,722,476)	(3,722,476)
Total Comprehensive Income		-	310,966,765	310,966,765
Dividend Paid		-	(124,800,000)	(124,800,000)
As at 31 March 2023	14	100,000,000	424,626,540	524,626,540

The Accounting Policies and Notes on pages 92 through 129 form an integral part of these Financial Statements.

Statement of Cash Flows

		Group		Company	
Year ended 31 March 2023	**Note**	**2023 Rs.**	**2022 Rs.**	**2023 Rs.**	**2022 Rs.**
Cash Flows From Operating Activities					
Profit/(Loss) before Income Tax Expense		397,710,641	170,762,528	413,895,820	136,958,268
Adjustment for					
Depreciation and Amortization	3.3, 3.11 & 4	77,767,463	76,273,234	1,529,193	1,679,505
Finance Cost	21	269,985,423	73,033,676	258,719,004	65,528,064
Finance Income	22	(15,903,441)	(3,677,427)	(15,888,481)	(3,668,121)
Gratuity Charge	15.1	13,212,907	10,080,134	11,277,979	8,657,252
(Gain) / Loss on sale of Property, Plant and Equipment	20	(1,064,081)	(536,550)	-	-
Provision for Impairment of Loans and Advances		59,623,505	17,503,739	59,623,505	17,503,739
Provision for Impairment of Trade Receivables		2,524,041	(1,062,882)	2,560,600	(989,786)
Bad Debts Written Off		6,586,904	479,914	6,451,577	385,808
Inventory Written Off		-	100,697	-	100,697
Impairment of Subsidiary Investment	5.2	-	-	-	56,046
Dividend Income Received		-	-	(105,940,790)	(30,478,997)
Amortization of Right of Use Assets	6	9,236,143	9,173,026	10,914,339	10,868,643
Operating Profit before Working Capital Changes		819,679,505	352,130,089	643,142,746	206,601,118
Decrease / (Increase) in Inventories		973,447	(146,393)	985,597	(135,193)
Decrease / (Increase) in Trade Receivables		(49,592,124)	(200,402,923)	(25,807,542)	(183,153,790)
Decrease / (Increase) in Other Financial Assets		(11,459,722)	(22,939)	(11,394,380)	4,992
Decrease / (Increase) in Loans and Advances		(872,688,496)	(299,051,929)	(872,688,496)	(298,957,823)
Decrease / (Increase) in Other Receivables, Prepayments and Advances		2,074,018	2,432,605	(2,659,158)	2,272,471
Increase / (Decrease) in Trade and Other Payables		166,488,337	236,158,852	80,091,380	207,902,175
Increase / (Decrease) in Interest Bearing Borrowings on Client Financing		397,000,000	112,000,000	397,000,000	112,000,000
		452,474,965	203,097,362	208,670,147	46,533,950
Income Tax Paid		(98,947,943)	(9,442,917)	(81,365,211)	-
Defined Benefit Plan Costs Paid	15.1	(21,548,166)	(4,367,299)	(20,759,810)	(3,536,245)
Finance Cost Paid	21	(268,898,429)	(70,655,568)	(256,236,102)	(62,713,069)
Net Cash Flows Generated from / (Used in) Operating Activities		63,080,427	118,631,578	(149,690,976)	(19,715,364)

		Group		Company	
Year ended 31 March 2023	**Note**	**2023 Rs.**	**2022 Rs.**	**2023 Rs.**	**2022 Rs.**
Cash Flows From Investing Activities					
Acquisition of Property, Plant and Equipment and Intangible Assets	3.1, 3.11 & 4	(43,757,935)	(50,250,690)	(1,290,800)	(1,292,972)
Sales Proceeds from Fixed Asset Disposals		1,625,400	547,599	-	-
Additions to Short Term Investments		(274,701)	(1,571,868)	(274,701)	(1,571,868)
Dividend Income Received		-	-	105,940,790	30,478,997
Finance Income Received	22	15,903,441	3,677,427	15,888,481	3,668,121
Net Cash Flows (Used in) / Generated From Investing Activities		(26,503,795)	(47,597,532)	120,263,770	31,282,278
Cash Flows From Financing Activities					
Repayments under Lease Liabilities		(11,824,405)	(11,786,219)	(15,668,102)	(15,227,459)
Dividend Paid		(124,800,000)	(26,000,000)	(124,800,000)	(26,000,000)
Loans Repaid		(64,285,714)	(64,285,714)	-	-
Net Cash Flows Used in Financing Activities		(200,910,119)	(102,071,933)	(140,468,102)	(41,227,459)
Net Decrease in Cash and Cash Equivalents		(164,333,487)	(31,037,887)	(169,895,308)	(29,660,545)
Cash and Cash Equivalents at the Beginning of the Year	13	103,260,711	134,298,598	100,910,482	130,571,027
Cash and Cash Equivalents at the End of the Year	13	(61,072,776)	103,260,711	(68,984,826)	100,910,482

The Accounting Policies and Notes on pages 92 through 129 form an integral part of these Financial Statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 Reporting Entity

Asia Siyaka Commodities PLC is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office and the principal place of business is situated at 1st Floor, 'Deutsche House', No. 320, T. B. Jayah Mawatha, Colombo 10.

1.2 Consolidated Financial Statements

The financial statements for the year ended 31 March 2023, comprise "the Company" referring to Asia Siyaka Commodities PLC as the holding company and "the Group" referring to the companies whose accounts have been consolidated herein.

1.3 Principal Activities and Nature of Operations

Holding company

The principal activities and the nature of operations are to carry on business of Tea Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents.

Subsidiaries

The companies within the Group and their business activities are disclosed in Note 2.1.4

1.4 Parent Entity and Ultimate Parent Entity

The Company's parent entity and the ultimate parent entity is Lanka Commodity Brokers Ltd, a company incorporated in Sri Lanka.

1.5 Date of Authorization for Issue

The financial statements of Asia Siyaka Commodities PLC for the year ended 31 March 2023 were authorized for issue in accordance with a resolution of the Board of Directors on 31 August 2023.

2. GENERAL ACCOUNTING POLICIES

2.1 BASIS OF PREPRERATION

The financial statements of the Company and the Group have been prepared on an accrual basis and under the historical cost convention, except for, buildings on leasehold lands and storage system that have been measured at fair value.

The financial statements are presented in Sri Lankan Rupees (Rs).

2.1.1 Statement of Compliance

The financial statements of the Company and the Group have been prepared in accordance with Sri Lanka Accounting Standards comprising SLFRS and LKAS (hereafter "SLFRS"), as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the requirements of the Companies Act No. 07 of 2007.

2.1.2 Going concern

The Board of Directors has made an assessment of the Company's ability to continue as a going concern in the foreseeable future and they do not intend either to liquidate or to cease trading.

2.1.3 Comparative Information

Presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of current year.

2.1.4 Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 March 2023. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee.
- The ability to use its power over the investee to affect its returns

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of Other Comprehensive Income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

The financial statements of the subsidiaries are prepared for the same reporting year using uniform Accounting Policies for transactions, in similar circumstances and are applied consistently.

All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognises the related assets, liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

Subsidiaries

The details of Subsidiaries are as follows:

Company Name	Asia Siyaka Warehousing (Pvt) Ltd	Siyaka Produce Brokers (Pvt) Ltd
Nature of Operations	The principal activities and the nature of operations are to carry on business of providing warehousing facilities for clients of parent and other selected third parties.	The principal activities and the nature of operations are to carry on business of Rubber Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents. On 18 April 2017, the Company transferred its Rubber Broking Licence to Asia Siyaka Commodities PLC its parent company and since then the Company has not carried out any business activity. The Company is in the process of closing down by way of striking off in the ensuing year. Under these circumstances, the Board of Directors intends to liquidate the Company within foreseeable future.
Year of Ownership/ Incorporation	18.01.1999	15.02.2008
Ownership Percentage	100%	100%

2.2 SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the financial statements of the Group require the management to make judgments, estimates and assumptions, which may affect the amounts of income, expenditure, assets, liabilities and the disclosure of contingent liabilities, at the end of the reporting period. In the process of applying the Group's accounting policies, the key assumptions made relating to the future and the sources of estimation at the reporting date together with the related judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year have been discussed in the individual notes of the related financial statement line items.

The line items which have most significant effect on accounting, judgements, estimate and assumptions are as follows;

a) Revaluation of property, plant and equipment

The Group measures buildings in leasehold lands and storage system at revalued amounts where changes in fair value being recognised in the statement of other comprehensive income. The Group engages independent, qualified valuation specialists to determine fair value. Such valuer uses assumptions and valuation techniques to determine the fair value. Please refer Note 3 for Revaluation of Property, Plant and Equipment.

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b) Employee benefit liability

The employee benefit liability of the Group is based on the actuarial valuation carried out by independent actuarial specialist. The actuarial valuations involve making assumptions about discount rates, salary increment rate, staff turnover rate, mortality rate and retirement age. The complexity of the valuation, the underlying assumptions and its long-term nature, the retirement benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used in the estimates are contained in Note 15.4.

c) Provision for expected credit losses of loans and advances

Details of the Group's policy relating to the Provision for expected credit losses of Loans and Advances are contained in Note 2.3.11 (e).

d) Income tax and Deferred tax rates

As per the new Inland Revenue (Amendment) Act No. 45 of 2022, which was implemented with effect from 1 October 2022, the tax rate of the company has increased to 30% from 24%. Accordingly, the deferred tax and income tax have been recognized considering this amended rate.

2.3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.3.1 Foreign Currency Translation

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional and presentation currency. Transactions in foreign currencies are initially recorded at the functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange at the reporting date. All differences arising from settlement or translation of monetary items are taken to the statement of profit or loss and other comprehensive income. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

2.3.2 Taxation

(a) Income Tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date which is currently the Inland Revenue Act No. 24 of 2017 effective from 1st April 2018 and subsequent amendments thereon.

Current income tax relating to items recognized directly in equity is recognized under other comprehensive income and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act.

(b) Deferred Tax

Deferred income tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except:

- Where the deferred income tax liability arises from initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred income tax asset relating to the deductible temporary difference arises from initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries, deferred income tax assets are recognised only to the extent that it is probable that the

temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised. Unrecognised deferred income tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on the tax rates and tax laws that have been enacted or subsequently enacted as at the reporting date.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred income taxes relates to the same taxable entity and the same taxation authority.

2.3.3 Inventories

Inventories are valued at lower of cost and net realizable value, after making due allowances for obsolete and slow moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale. The cost incurred in bringing its inventories to present location and condition is accounted at purchase cost on weighted average basis.

2.3.4 Current versus Non-Current Classification

The Group presents assets and liabilities in statement of financial position based on current or non-current classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period

or

- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

The Group classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period

or

- It does not have a right at the reporting date to defer settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

2.3.5 Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its Value In Use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

2.3.6 Property, Plant and Equipment

(a) Initial Recognition

All items of property, plant and equipment are initially recorded at cost.

The cost of property, plant and equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use and capitalised borrowing cost. Subsequent to the initial recognition as an asset at cost, revalued assets are carried at revalued amounts less any subsequent depreciation and impairment

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losses thereon. All other property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any. Depreciation is provided for, on the bases specified in (c) below.

Where an item of property, plant and equipment comprises major components having different useful lives, they are accounted for as separate items of property, plant and equipment.

(b) Subsequent Expenditure
Expenditure incurred to replace a component of an item of property, plant and equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. Other subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the item of property, plant and equipment.
All other expenditure incurred on repairs or maintenance of property, plant and equipment in order to restore or maintain the future economic benefits expected from the originally assessed standard of performance, is recognised as an expense when incurred.

(c) Depreciation
Depreciation is calculated by using a straight-line basis on all property, plant and equipment over the estimated economic life of such assets.

The estimated useful life of assets is as follows:

Assets	Years
Buildings on Leasehold Land	Lower of 10-30 years or lease term
Land Development Cost	Over the lease term
Furniture and Fittings	6.67
Storage System	15
Solar Power System	10
Office Equipment	4 - 6.67
Computer Equipment	5
Motor Vehicle	4-5

The residual values, useful lives and depreciation method are reviewed at each reporting date and adjusted prospectively when appropriate.

(d) Revaluation
Buildings on leasehold land and storage systems are measured at fair value at the date of revaluation less accumulated depreciation and impairment losses recognised after the date of the revaluation. Valuations are performed with sufficient frequency to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

The Group engages independent, qualified valuation specialists to determine fair value. Such valuer uses assumptions and valuation techniques to determine the fair value. Please refer Note 3 for Revaluation of Property, Plant and Equipment.

Any revaluation surplus is recognised in other comprehensive income and accumulated in equity in the revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the statement of profit or loss, in which case the increase is recognised in the statement of profit or loss. A revaluation deficit is recognised in the statement of profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the revaluation reserve.

Cost of repairs and maintenance are charged to the statement of profit or loss and other comprehensive income during the period in which they are incurred.

(e) De-recognition
An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit or loss and other comprehensive income in the year the asset is derecognised.

2.3.7 Leases

Lease Rentals Paid in Advance
Asia Siyaka Warehousing (Pvt) Ltd has entered into a 50-year Lease Agreement commencing from 22 June 1999 with the Sri Lanka Land Reclamation and Development Corporation to lease a land in Muthurajawela for a total lease rent of Rs. 47,000, 000/-.

Lease rentals paid in advance to acquire 'land use rights' are amortized over the lease term in accordance with the pattern of benefits provided.

The Company / Group as a lessee
The Entity applies a single recognition and measurement approach for all leases. The Entity recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

(a) Right-of-use assets
The Entity recognizes right-of-use assets at the commencement date of the lease (i.e.,

the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date (Lease Rentals Paid in Advance) less any lease incentives received.

Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

Head Office Premises	6 years
Sample Room	4- 6 years
Motor Vehicle	5 years
Lease Rentals Paid in Advance to acquire Lease Hold Land Rights	30 Years

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. Refer to the accounting policies in section 2.3.5- Impairment of non-financial assets.

(b) Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset. (Refer Note 06).

2.3.8 Investment Properties

Investment properties are measured initially at cost, including transaction costs. Subsequent to the initial recognition investment properties are stated at cost less accumulated impairment losses, if any.

2.3.9 Intangible Assets

Basis of Recognition

An intangible asset is recognised if it is probable that the future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Basis of Measurement

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised, and expenditure is charged against statement of profit or loss and other comprehensive income in the year in which the expenditure is incurred.

Useful Economic Lives, Amortization and Impairment

The useful lives of intangible assets are assessed as either finite or indefinite lives. Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end and such changes are treated as accounting estimate changes. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss and other comprehensive income. Intangible assets with indefinite useful lives are not amortized but tested for impairment annually, or more frequently when an indication of impairment exists either individually or at the cash generating unit level. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from

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indefinite to finite is made on a prospective basis.

The estimated useful life of asset is as follows:

Asset	Years
Software	2

Disposal Gains and Losses
Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss and other comprehensive income when the asset is derecognised.

2.3.10 Investment in Subsidiaries

Investment in Subsidiaries are initially recognised at cost in the Financial Statements of the Company. Following initial recognition, investment in subsidiaries are carried at cost less any accumulated impairment losses.

2.3.11 Financial Instruments – Initial Recognition and Subsequent Measurement

Financial Assets

a) Initial recognition and measurement
Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under SLFRS 15.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

b) Subsequent measurement
For purposes of subsequent measurement, financial assets are classified in four categories;

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

c) Financial assets at amortised cost (debt instruments)
This category is the most relevant to the Group. The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Group's financial assets at amortised cost includes trade receivables, loans and advances, short term investments and cash and cash equivalents included under other financial assets.

d) Derecognition

Financial asset is derecognised when:

- The rights to receive cash flows from the asset have expired.
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

(a) the Group has transferred substantially all the risks and rewards of the asset, or

(b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognised to the extent of the Group's continuing involvement in it.

e) Impairment of Financial Assets

The Group recognises an allowance for Expected Credit Losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12 month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For Loans and advances collectively assessed for impairment, the Group applies a simplified approach in calculating ECLs. Therefore, the Group do not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions are expected to deteriorate over the next year which can lead to an increased number of defaults, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Group's loans and advances is disclosed in Note 12.

Financial Liabilities

a) Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

b) Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Loans and borrowings

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an

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integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit or Loss. This category generally applies to interest bearing loans and borrowings.

c) Derecognition
A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired.

d) Offsetting of financial instruments
Financial assets and financial liabilities are offset and the net amount is reported in the Consolidated Statement of Financial Position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

Fair value of financial instruments
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible by the company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:
Level 1 - Quoted (un-adjusted) market prices in active markets for identical assets or liabilities
Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the company determines whether transfers have occurred between levels in the hierarchy by reassessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period. The company determines the policies and procedures for both recurring fair value measurement, such as buildings on lease hold lands and storage systems and for non-recurring measurement. External valuers are involved for valuation of significant assets, such as buildings on leasehold lands and storage systems. Selection criteria for external valuers include market knowledge, reputation, independence and whether professional standards are maintained.

2.3.12 Trade and Other Receivables
Trade debtors, including amounts owing by subsidiaries, deposits and other debtors (excluding non-financial assets classified under deposits and other receivables which are measured at cost) classified and accounted for as loans and receivables.

2.3.13 Cash and Cash Equivalents
Cash and cash equivalents are cash at bank and in hand, demand deposits and short term highly liquid investments readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of statement of cash flows, cash and cash equivalents consist of cash in hand, cash at bank, deposits in banks net of outstanding bank overdrafts. Investments with short maturities (i.e. three months or less from date of acquisition) are also treated as cash equivalents.

2.3.14 Provisions
Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only

when the reimbursement is virtually certain. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any reimbursement.

If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

2.3.15 Retirement Benefit Obligations

(a) Defined Benefit Plan – Gratuity
A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The defined benefit is calculated by independent actuaries using Projected Unit Credit (PUC) method as recommended by LKAS 19 – "Employee benefits". The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. However, under the Payment of Gratuity Act No.12 of 1983, the liability to an employee arises only on completion of 5 years of continued service.

The present value of the defined benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions about discount rate, staff turnover rate, future salary increment rate and mortality rates. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date. Details of the key assumptions used in the estimates are contained in Note 15.4.

Accordingly, the employee benefit liability is based on the actuarial valuation as of 31 March 2023, carried out by Messrs. Actuarial and Management Consultants (Private) Limited, actuaries.

Funding Arrangements
The Gratuity liability is not externally funded.

(b) Defined Contribution Plans-
Employees are eligible for Provident Fund Contributions and Trust Fund Contributions in line with respective statutes and regulations. These are recognized as an expense in the statement of profit or loss and other comprehensive income as incurred.

The Group contributes 12% of gross emoluments of the employees to Employees' Provident Fund, Estate Supplier's Provident Society, Ceylon Planters' Provident Society and 3% of gross emoluments of the employees to Employees' Trust Fund.

2.3.16 Revenue Recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

In determining the transaction price for the revenue contracts, the Group considers the effects of variable consideration, the existence of significant financing components, non-cash consideration, and consideration to the customer (if any).

2.3.16.1 Principal versus agent considerations
In determining whether the Group is the principal or the agent pertaining to certain revenue contracts the Group has evaluated who has control over the goods before transferring it to the customer;

The following factors were also considered;

- The primary responsibility for fulfilling the promise to provide the specified goods or the service.
- Inventory risk before or after the specified goods has been transferred to the customer
- The discretion in establishing the price for the specified good or service

Based on the above factors the Group concluded that it does not have the control over the goods or services on broking before transferring it to the customer, it will recognise revenue on the contract on net basis.

a) Brokerage Income
Brokerage income is recognised on net basis on the date of the auction (after placing hammer). The settlement terms are generally within 7 days.

b) Warehousing Income
Handling income is recognised on net basis as an agent on the date of the auction and the handling income from third parties is recognised on net basis. Settlement terms are generally within 7 - 60 days.

c) Interest Income
For all financial instruments measured at amortised cost and interest bearing financial assets classified as available for sale, interest income or expense is recorded using the Effective Interest Rate (EIR), which is the

Notes to the Financial Statements contd.

rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

Interest income is included in revenue and finance income in the statement of profit or loss and other comprehensive income. Advance settlement terms are generally within 4 weeks.

d) Rent Income
Rent income is recognised on accrual basis.

e) Others
Other income is recognised on accrual basis.

Net gains and losses of a revenue nature resulting from the disposal of property, plant & equipment have been accounted for in the statement of profit or loss.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a group of similar transactions are not material, are aggregated, reported and presented on net basis.

f) Dividend Income
Dividend income is recognised when the Group's right to receive the payment is established.

g) Solar Power Income

2.3.17 Segment Information

2.3.17.1 Reporting segments
The group's internal organisation and management is structured based on individual products and services which are similar in nature and process and where the risk and return are similar. The primary segments represent this business structure. Since the individual segments are located close to each other and operate in the same industry environment, catering to clientele from the same geographical location, the need for geographical segmentation does not arise.

2.3.17.2 Segment information
Segment information has been prepared in conformity with the accounting policies adopted for preparing and presenting the consolidated financial statements of the group. An individual segment manger is determined for each operating segment and the results are regularly reviewed by the Board of Directors. The Board of Directors monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which in certain respects, as explained in the operating segments information, is measured differently from operating profit or loss in the consolidated financial statements.

2.4 STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following Sri Lanka Accounting Standards and interpretations have been issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31st March 2023.

- SLFRS 17 : Insurance Contracts
- Amendment to LKAS 1 : Classification of liabilities as Current or Non-current
- Amendment to LKAS 1 : Disclosure of Accounting Policies
- Amendment to LKAS 8 : Definition of Accounting Estimates
- Amendment to LKAS 12 : Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The Group will not be significantly affected by these amendments as at the reporting date. Further, the amended standards and interpretations are not expected to have a significant impact on Group's Financial Statements.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Balance As at 01.04.2022 Rs.	Additions Rs.	Revaluation Rs.	Disposals/ Transfers Rs.	Balance As at 31.03.2023 Rs.
3.1 Gross Carrying Amounts					
At Cost /Valuation					
Buildings	794,505,007	3,770,987	128,124,006	-	926,400,000
Furniture and Fittings	48,974,943	228,200	-	-	49,203,143
Office Equipment	182,606,584	24,736,249	-	(8,899,200)	198,443,633
Storage System	138,882,420	29,206,281	67,011,299	-	235,100,000
Solar Power System	34,055,629	-	-	-	34,055,629
Computer and Accessories	17,609,139	1,231,000	-	-	18,840,139
Motor Vehicle	38,502,995	-	-	-	38,502,995
	1,255,136,717	59,172,717	195,135,305	(8,899,200)	1,500,545,539
Assets on Lease Hold Land					
Land Development Cost	46,525,289	-	-	-	46,525,289
	46,525,289	-	-	-	46,525,289
Total Value of Depreciable Assets	1,301,662,006	59,172,717	195,135,305	(8,899,200)	1,547,070,828
3.2 In the Course of Construction					
Capital Work In Progress	15,450,787	15,814,236	-	(31,265,023)	-
	15,450,787	15,814,236	-	(31,265,023)	-

3.3 Depreciation	Balance As at 01.04.2022 Rs.	Charge for the year Rs.	Revaluation Rs.	Disposals/ Transfers Rs.	Balance As at 31.03.2023 Rs.
At Cost /Valuation					
Buildings	57,963,126	29,408,602	(87,371,728)	-	-
Furniture and Fittings	38,748,568	5,192,860	-	-	43,941,428
Office Equipment	150,354,468	21,246,423	-	(8,337,881)	163,263,010
Storage System	16,608,498	10,881,399	(27,489,897)	-	-
Solar Power System	5,108,344	3,405,563	-	-	8,513,907
Computer and Accessories	15,310,897	959,194	-	-	16,270,091
Motor Vehicle	31,454,871	5,278,089	-	-	36,732,960
	315,548,772	76,372,130	(114,861,625)	(8,337,881)	268,721,396
Assets on Lease Hold Land					
Land Development Cost	11,656,223	1,347,333	-	-	13,003,556
	11,656,223	1,347,333	-	-	13,003,556
	327,204,995	77,719,463	(114,861,625)	(8,337,881)	281,724,952

Notes to the Financial Statements contd.

3.4 Net Book Values

	2023 Rs.	2022 Rs.
At Cost /Valuation		
Buildings	926,400,000	736,541,881
Furniture and Fittings	5,261,715	10,226,375
Office Equipment	35,180,623	32,252,116
Storage System	235,100,000	122,273,922
Solar Power System	25,541,722	28,947,285
Computer and Accessories	2,570,048	2,298,242
Motor Vehicle	1,770,035	7,048,124
	1,231,824,143	939,587,945
Assets on Lease Hold Land		
Land Development Cost	33,521,733	34,869,066
	33,521,733	34,869,066
In the Course of Construction		
Capital Work In Progress	-	15,450,787
	-	15,450,787
Total Carrying Amount of Property, Plant and Equipment	1,265,345,876	989,907,798

3.5 During the financial period, the Group acquired Property, Plant and Equipment to the aggregate value of Rs. 43,721,930/- (2022 - Rs. 50,227,847/-) cash payment amounting to Rs. 43,721,930/- (2022 - Rs. 50,227,847/-).

3.6 Property, Plant and Equipment includes fully depreciated assets still in use having a gross carrying amount of Rs. 121,368,157/- (2022 - Rs. 117,063,237/-).

3.7 Non-Financial Assets Fair Value Hierarchy

Group

As at 31 March		Fair value measurement using		
Assets Measured at Fair Value	**Valuation Date**	**Quoted Prices in active market (level 1)**	**Significant observable inputs (Level 2)**	**Significant unobservable inputs (Level 3)**
Buildings on Leasehold Land	3/31/2023	-	-	926,400,000
Storage System	3/31/2023	-	-	235,100,000

3.8 In determining the fair value, highest and best use of the property has been considered including the current condition of the properties, future usability and associated redevelopment requirements have been considered. Also the valuers have made reference to market evidence of the transaction prices for similar properties, with appropriate adjustments for the size and location.

The fair value of the Group's Buildings on Leasehold Land and Storage System were determined by means of a revaluation during the financial year 2022/2023 by Mr. A.R. Ajith Fernando, an independent valuer based on depreciated replacement cost. The results of such revaluation were incorporated in these Financial Statements from its effective date which is 31 March 2023. The surplus arising from the revaluation was transferred to a revaluation reserve.

There have been no transfers between Level 1 and Level 2 during the year.

3.9 Details of Group's Building on Leasehold Lands and Storage System stated at Valuation are indicated below;

Non Financial Assets	Valuation Technique	Property Valuer	Significant Unobservable Inputs	Estimates for Unobservable Inputs	Level of Fair Value Hierarchy	Sensitivity of Fair Value to Unobservable Inputs
Buildings on Leasehold Land	Depreciated Replacement Cost	"A.R. Ajith Fernando MRICS Chartered Valuation Surveyor"	Price per Sq.ft	Rs. 750/- to Rs. 9,000/- per Sq.ft @ Dep. Rate of 3.33%	Level - 03	Positively Correlated Sensitivity
Storage System	Depreciated Replacement Cost	"A.R. Ajith Fernando MRICS Chartered Valuation Surveyor"	Pallet Locations	Rs. 4,850/- to Rs. 7,650/- per Pallet Location @ Dep. Rate of 6.67%	Level - 03	Positively Correlated Sensitivity

3.10 The carrying amount of revalued assets that would have been included in the Financial Statements had the assets been carried at cost less depreciation is as follows:

Class of Asset	Cost	Cumulative Depreciation if Assets were carried at cost	Net Carrying Amount 2023	Net Carrying Amount 2022
Buildings on Leasehold Land	500,879,196	142,076,163	358,803,033	369,281,483
Storage System	150,619,296	63,756,260	86,863,036	67,085,381
	651,498,492	205,832,423	445,666,069	436,366,864

3.11 Gross Carrying Amounts

At Cost	Balance As at 01.04.2022 Rs.	Additions Rs.	Disposals Rs.	Balance As at 31.03.2023 Rs.
Furniture and Fittings	16,031,116	86,300	-	16,117,416
Office Equipment	11,012,304	-	-	11,012,304
Computer and Accessories	12,853,197	1,168,500	-	14,021,697
Motor Vehicle	2,219,138	-	-	2,219,138
Total Value of Depreciable Assets	42,115,755	1,254,800	-	43,370,555

Notes to the Financial Statements contd.

3.12 Depreciation

At Cost	Balance As at 01.04.2022 Rs.	Charge for the year Rs.	Disposals	Balance As at 31.03.2023 Rs.
Furniture and Fittings	15,490,930	378,519	-	15,869,449
Office Equipment	10,216,274	253,826	-	10,470,100
Computer and Accessories	11,077,315	720,759	-	11,798,074
Motor Vehicle	2,037,680	128,088	-	2,165,768
Total Depreciation	38,822,199	1,481,192	-	40,303,391

3.13 Net Book Values

At Cost	2023 Rs.	2022 Rs.
Furniture and Fittings	247,967	540,186
Office Equipment	542,204	796,030
Computer and Accessories	2,223,623	1,775,882
Motor Vehicle	53,370	181,458
Total Carrying Amount of Property, Plant and Equipment	3,067,164	3,293,556

3.14 During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 1,254,800/- (2022 - Rs. 1,270,154/-) cash payment amounting to Rs. 1,254,800/- (2022 - Rs. 1,270,154/-) were made during the period for purchase of Property, Plant and Equipment.

3.15 Property, Plant and Equipment include fully depreciated assets having a gross carrying amount of Rs. 42,268,748/- (2022 - Rs. 33,032,184/-).

4. INTANGIBLE ASSETS

	Group/ Company Computer Software	
	2023 Rs.	2022 Rs.
Cost		
Balance as at the Beginning of the year	12,924,005	12,901,167
Additions/Transfer	36,000	22,838
Balance as at the End of the year	12,960,005	12,924,005
Amortization		
Balance as at the Beginning of the year	12,833,305	12,749,441
Charge for the year	48,001	83,864
Balance as at the End of the year	12,881,306	12,833,305
Carrying Value	78,699	90,700

4.1 During the financial year, the Company / Group acquired intangible assets to the aggregate value of Rs. 36,000/- (2022 - Rs. 22,838/-).

5. INVESTMENTS

	Company	
	2023 Rs.	2022 Rs.
Investment in Subsidiaries (5.1)	190,250,000	190,250,000
	190,250,000	190,250,000

5.1 Non-Current Investments

	2023 Rs.	2022 Rs.
Investment in Subsidiaries		
Asia Siyaka Warehousing (Pvt) Ltd	190,250,000	190,250,000
Siyaka Produce Brokers (Pvt) Ltd	-	-
	190,250,000	190,250,000

	Holding %	
	2023	2022
Asia Siyaka Warehousing (Pvt) Ltd	100%	100%
Siyaka Produce Brokers (Pvt) Ltd	100%	100%

Notes to the Financial Statements contd.

5.2 The Company currently holds 100% ownership of Siyaka Produce Brokers (Pvt) Ltd (the Subsidiary), which transferred its Rubber Broking License to Asia Siyaka Commodities PLC on 18 April 2017. Due to such transfer the Subsidiary lost its revenue generation from rubber brokering which was the main revenue source. In 2022, Company has fully impaired the Subsidiary and the Board of Directors intends to close down the Subsidiary in the impending future.

6. APPLICATION OF SLFRS 16 - LEASES

At inception of a contract, the Entity assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Entity assesses whether:

- the contract involves the use of an identified asset
- the Entity has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Entity has the right to direct the use of the asset

The Entity recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use assets of the Group consist of Buildings, Motor Vehicles and Lease Hold Land taken on rent.

6.1 Rights Of Use Asset

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the Group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The movement of Right of Use Lease assets of the Company is as follows;

6.1.1 Amounts recognised in the statement of financial position and income statement

	Group			
Right of Use Assets	**Lease Hold Land Rs.**	**Buildings Rs.**	**Motor Vehicles Rs.**	**Total Rs.**
Right of Use Assets - Lease hold properties				
Cost				
Recognized as at 1/4/2022	28,435,000	31,990,292	3,900,119	64,325,411
Reassessment	-	78,897	-	78,897
Balance as at 31/3/2023	28,435,000	32,069,189	3,900,119	64,404,308
Accumulated amortisation and impairment				
Balance as at 1/4/2022	(2,820,000)	(22,846,104)	(2,753,025)	(28,419,129)
Amortisation	(940,000)	(7,361,809)	(934,334)	(9,236,143)
Balance as at 31/3/2023	(3,760,000)	(30,207,913)	(3,687,359)	(37,655,272)
Net carrying amounts				
Balance as at 31 March 2022	25,615,000	9,144,188	1,147,094	35,906,282
Balance as at 31 March 2023	24,675,000	1,861,276	212,760	26,749,036

6.1.2 Asia Siyaka Warehousing (Pvt) Ltd has entered into a 50 year Lease Agreement commencing from 22 June 1999 with the Sri Lanka Land Reclamation and Development Corporation to lease a land in Muthurajawela for a total lease rent of Rs. 47,000,000/-.

	Company		
Right of Use Assets	**Buildings**	**Motor Vehicles**	**Total**
	Rs.	**Rs.**	**Rs.**
Right of Use Assets - Lease hold properties			
Cost			
Recognized as at 1/4/2022	41,214,951	3,900,119	45,115,070
Additions	10,403,099	-	10,403,099
Disposals	(9,224,659)	-	(9,224,659)
Reassessment	58,073	20,824	78,897
Balance as at 31/3/2023	42,451,464	3,920,943	46,372,407
Accumulated amortisation and impairment			
Balance as at 1/4/2022	(30,752,955)	(2,753,025)	(33,505,980)
Amortisation	(9,980,005)	(934,334)	(10,914,339)
Disposals	9,224,659		9,224,659
Balance as at 31/3/2023	(31,508,301)	(3,687,359)	(35,195,660)
Net carrying amounts			
Balance as at 31 March 2022	10,461,996	1,147,094	11,609,090
Balance as at 31 March 2023	10,943,163	233,584	11,176,747

6.2 Lease Liability

The lease liability is initially measured at the present value of the lease payments, discounted using the interest rate implicit in the lease or, if that rate can not be readily determined, the Group's incremental borrowing rate. The movement of Lease creditor for the period is as follows;

6.2.1 Amounts recognised in the statement of financial position and income statement

Lease Liability	**Group**		**Company**	
	2023	**2022**	**2023**	**2022**
	Rs.	**Rs.**	**Rs.**	**Rs.**
Balance as at 1 April 2022	12,776,183	22,872,586	14,432,574	27,533,308
Additions	-	-	10,403,099	-
Reassessment	78,897	(688,270)	78,897	(688,270)
Interest Expense Recognised in Profit or Loss	1,086,994	2,378,086	2,482,902	2,814,995
Realization of Liability	(11,824,405)	(11,786,219)	(15,668,102)	(15,227,459)
Balance as at 31 March 2023	2,117,669	12,776,183	11,729,370	14,432,574
Lease Liability/Lease Creditor				
Amount repayable within 1 year	2,117,667	10,717,967	4,029,071	12,374,358
Amount repayable after 1 year	-	2,058,216	7,700,299	2,058,216

Notes to the Financial Statements contd.

6.2.1.1 The maturity analysis of Lease Liabilities are disclosed in Note 33.

6.2.1.2 The Group and the Company had total cash outflows for leases of Rs. 11,824,405/- and Rs. 15,668,102/- respectively in 2022/23.

6.3 The amounts recognized in Profit or Loss

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Amortization Expense of Right of Use Assets	9,236,143	9,173,026	10,914,339	10,868,643
Interest Expense Recognised in Profit or Loss	1,086,994	2,378,086	2,482,902	2,814,995

7. INVESTMENT PROPERTY

	Acre. of Land		Group / Company	
	2023 Acre.	2022 Acre.	2023 Rs.	2022 Rs.
Deniyaya Land	5.542	5.542	755,727	755,727

7.1 In 2018, the Kolonna Divisional Secretariat acquired a land extent of 38.458 acres for a consideration of Rs. 17,649,975/-. The portion of land which remained with the Company of 5.542 acres is reflected at the proportionate cost as Investment Property.

7.2 The fair value of Investment Property is deemed to be Rs. 2,543,458/-, which is based on the price determined by Kolonna Divisional Secretariat and Valuation Department for acquisition of the adjoining property.

8. OTHER FINANCIAL ASSETS

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Balance at the the Beginning of the Year	190,189	167,251	62,763	67,755
Loan Granted During the Year	12,252,363	413,112	11,946,209	175,509
Less : Repayments	(792,641)	(390,174)	(551,829)	(180,501)
Balance at the the End of the Year	11,649,911	190,189	11,457,143	62,763
Loans to Company Employees - Non Current	9,888,974	-	9,888,974	-
Loans to Company Employees - Current	1,760,937	190,189	1,568,169	62,763
	11,649,911	190,189	11,457,143	62,763

9. OTHER RECEIVABLES, PREPAYMENTS AND ADVANCES

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Refundable Deposits	1,403,891	1,343,891	1,403,891	1,343,891
Prepayments	5,633,560	4,484,255	2,591,772	1,902,303
Medical Recoverable	1,852,514	67,006	1,852,514	67,006
Capital Advances	3,179,160	6,487,513	2,864,160	1,902,524
Other Receivable	7,358,397	11,717,071	7,116,652	7,954,107
	19,427,522	24,099,736	15,828,989	13,169,831

10. INVENTORY

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Packing Material	753,889	1,764,036	753,889	1,764,036
Stationery	160,294	353,495	160,294	353,495
Other Consumables	2,645,394	2,415,493	2,539,733	2,321,982
	3,559,577	4,533,024	3,453,916	4,439,513

11. TRADE RECEIVABLES

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Trade Receivables - Others	818,007,503	769,165,376	755,209,932	729,517,389
Less: Provision for Impairment of Trade Receivables - Others (11.2)	(14,242,679)	(11,718,638)	(13,624,823)	(11,064,223)
	803,764,824	757,446,738	741,585,109	718,453,166
Trade Receivables - Related Parties (11.1)	1,480,689	906,292	124,210	71,010
	805,245,513	758,353,030	741,709,319	718,524,176

Notes to the Financial Statements contd.

11.1 Trade Receivables - Related Parties

		Group		Company	
	Relationship	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Lanka Commodity Brokers Ltd	Ultimate Parent	1,480,689	906,292	-	-
Siyaka Produce Brokers (Pvt) Ltd	Subsidiary	-	-	124,210	71,010
		1,480,689	906,292	124,210	71,010

11.2 Provision for Impairment of Trade Receivables

As at 31 March 2023, Trade Receivables of an initial value of Rs. 13,624,823/- (2022 - Rs. 11,064,223/-) were impaired in the Company and Rs. 14,242,679/- (2022 - Rs. 11,718,638/-) were impaired in the Group.

	Group 2023 Rs.	Company 2023 Rs.
Balance at the Beginning of the year	(11,718,638)	(11,064,223)
Amount (Charged)/Reversal During the year	(2,524,041)	(2,560,600)
Balance at the End of the year	(14,242,679)	(13,624,823)

11.3 Trade Receivables are Non-Interest bearing and on 7 days credit terms. As at 31 March, the Ageing analysis of Trade Receivables is as follows:

	2023			2022		
Group	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.
Trade Receivables - Others	818,007,503	726,170,203	91,837,300	769,165,376	691,267,543	77,897,833
Trade Receivables - Related Parties (11.1)	1,480,689	818,975	661,714	906,292	906,292	-
	819,488,192	726,989,178	92,499,014	770,071,668	692,173,835	77,897,833

	2023			2022		
Company	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.
Trade Receivables - Others	755,209,932	702,880,478	52,329,454	729,517,389	678,636,214	50,881,175
Trade Receivables - Related Parties (11.1)	124,210	124,210	-	71,010	71,010	-
	755,334,142	703,004,688	52,329,454	729,588,399	678,707,224	50,881,175

12. LOANS AND ADVANCES

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Short Term Loans to Clients	113,935,204	144,709,275	113,935,204	144,709,275
Advances to Tea Clients	1,723,467,431	805,551,309	1,723,467,431	805,551,309
Less : Provision for Impairment of Loans and Advances (12.1)	(174,793,985)	(115,170,480)	(174,793,985)	(115,170,480)
Loans and Advances to Rubber and Spices Clients	6,338,121	27,202,979	6,338,121	27,202,979
	1,668,946,771	862,293,083	1,668,946,771	862,293,083

12.1 Provision for Impairment of Loans and Advances

As at 31 March 2023, Loans and Advances of an initial value of Rs. 174,793,985/- (2022 - Rs. 115,170,480/-) were impaired in the Company and Group. The movement of the provision for expected credit losses on Loans and Advances are given below.

	Group/Company	
	2023 Rs.	2022 Rs.
Balance at the Beginning of the year	(115,170,480)	(97,666,741)
Impairment Provision of the year	(70,780,558)	(17,503,739)
Provision Revearsals - Related to Written Off	11,157,053	-
Balance at the End of the year	(174,793,985)	(115,170,480)

12.2 As at 31 March, the Aging analysis of Loans and Advances is as follows:

	2023			2022		
	Total Rs.	Neither past due nor Impaired Rs.	Past due 28 to 90 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 28 to 90 days Rs.
Group						
Loans and Advances	1,843,740,756	1,185,527,806	658,212,950	977,463,563	612,070,021	365,393,542
	1,843,740,756	1,185,527,806	658,212,950	977,463,563	612,070,021	365,393,542
Company						
Loans and Advances	1,843,740,756	1,185,527,806	658,212,950	977,463,563	612,070,021	365,393,542
	1,843,740,756	1,185,527,806	658,212,950	977,463,563	612,070,021	365,393,542

Notes to the Financial Statements contd.

13. CASH AND CASH EQUIVALENTS

	Group		Company	
Components of Cash and Cash Equivalents	**2023 Rs.**	**2022 Rs.**	**2023 Rs.**	**2022 Rs.**
Favorable Cash and Cash Equivalent balance				
Cash and Bank balances	122,878,987	105,591,799	114,966,937	103,241,570
	122,878,987	105,591,799	114,966,937	103,241,570
Unfavorable Cash and Cash Equivalent balance	(183,951,763)	(2,331,088)	(183,951,763)	(2,331,088)
Total Cash and Cash Equivalent balance for the purpose of Statement of Cash Flows	(61,072,776)	103,260,711	(68,984,826)	100,910,482

14. STATED CAPITAL

	2023		2022	
	Number	**Rs.**	**Number**	**Rs.**
Fully Paid Ordinary Shares	260,000,000	100,000,000	260,000,000	100,000,000

15. RETIREMENT BENEFIT OBLIGATION

	Group		Company	
	2023 Rs.	**2022 Rs.**	**2023 Rs.**	**2022 Rs.**
15.1 Retirement Benefits Obligation-Gratuity				
At the Beginning of the Year	61,911,306	75,289,764	54,494,939	66,139,681
Charge for the Year	13,212,907	10,080,134	11,277,979	8,657,252
Actuarial Loss /(Gain) for the Year	5,753,417	(19,091,293)	5,317,823	(16,765,749)
Benefits Paid	(21,548,166)	(4,367,299)	(20,759,810)	(3,536,245)
At the End of the Year	59,329,464	61,911,306	50,330,931	54,494,939

15.2 Retirement Benefit Obligation costs recognized under Administrative Expenses in the Statement of Profit or Loss

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Current Service Cost	3,492,832	3,755,794	2,722,274	3,101,519
Interest Cost	9,720,075	6,324,340	8,555,705	5,555,733
	13,212,907	10,080,134	11,277,979	8,657,252

15.3 Messrs. Actuarial & Management Consultants (Private) Limited Actuaries, carried out an actuarial valuation of the defined benefit plan gratuity using the Projected Unit Credit (PUC) method as at 31 March 2023 and 31 March 2022. Appropriate and compatible assumptions were used in determining the cost of Retirement Benefits Obligation.

15.4 The Principal Assumptions used are as follows:

	Group		Company	
	2023	2022	2023	2022
Discount Rate per annum	16.3%	15.7%	16.3%	15.7%
Salary Increment Rate per annum	5% - 6%	5% - 6%	5% - 6%	5% - 6%
Staff Turnover Rate per annum	13% - 14%	6% - 15%	14%	6%
Expected Remaining Service Life years	5.3-5.41	5.11-9.21	5.41	9.21
Retirement Age years	55-60	55-60	55-60	55-60

15.5 Sensitivity of Assumptions employed in Actuarial Valuation

The following table demonstrate the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the Retirement Benefit Obligation measurement.

The effect of per unit changes in Discount Rate, Salary Increment Rate and Staff Turnover Rate on Statement of Other Comprehensive Income and Statement of Financial Position -Retirement Benefit Obligation is as follows.

2023						
			Group		Company	
Increase/ (Decrease) in Discount Rate	Increase (Decrease) in Salary Increment Rate	Increase/ (Decrease) in Staff Turn Over Rate	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.
1%	*	*	1,223,127	(1,223,127)	928,228	(928,228)
-1%	*	*	(1,299,488)	1,299,488	(982,369)	982,369
**	1%	*	(1,600,627)	1,600,627	(1,213,545)	1,213,545
**	-1%	*	1,525,677	(1,525,677)	1,161,950	(1,161,950)
**	*	1%	(525,625)	525,625	(348,934)	348,934
**	*	-1%	557,066	(557,066)	370,325	(370,325)

* Salary Increment Rate 5% - 6% for the Company and Group
** Discount Rate 16.3% for Company and Group
*** Staff Turnover Rate 14% for the Company and 13% - 14% for the Group

Notes to the Financial Statements contd.

15. RETIREMENT BENEFIT OBLIGATION (Contd...)

15.5 Sensitivity of Assumptions employed in Actuarial Valuation (Contd...)

2022						
			Group		Company	
Increase/ (Decrease) in Discount Rate	Increase (Decrease) in Salary Increment Rate	Increase/ (Decrease) in Staff Turn Over Rate	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.
1%	*	*	1,415,232	(1,415,232)	1,178,077	(1,178,077)
-1%	*	*	(1,517,840)	1,517,840	(1,263,273)	1,263,273
**	1%	*	(1,811,059)	1,811,059	(1,500,709)	1,500,709
**	-1%	*	1,708,253	(1,708,253)	1,415,910	(1,415,910)
**	*	1%	(752,590)	752,590	(623,523)	623,523
**	*	-1%	803,773	(803,773)	666,850	(666,850)

* Salary Increment Rate 5% - 6% for the Company and Group
** Discount Rate 15.7% for Company and Group
*** Staff Turnover Rate 6% for the Company and 6% - 15% for the Group

15.6 Distribution of Post Employment Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of future working lifetime of the Post Employment Benefit Obligation (Undiscounted) as at the reporting date.

	Group		Company	
Future Working Life Time	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Within the next 12 months	35,046,654	34,416,272	33,019,107	32,811,810
Between 1-2 years	7,810,983	12,080,056	4,749,706	9,313,119
Between 2-5 years	10,069,033	8,306,528	8,621,758	6,915,540
Between 5-10 years	5,077,101	4,448,593	3,016,644	3,151,710
Beyond 10 years	1,325,693	2,659,857	923,716	2,302,760
Total	59,329,464	61,911,306	50,330,931	54,494,939

16. INTEREST BEARING BORROWINGS - GROUP

Bank	Amount	Interest Rate	Maturity	2023 Rs.	2022 Rs.
Commercial Bank	Rs. 450 Mn	AWPLR + 1.5% p.a	March 2024	75,000,002	139,285,716
				75,000,002	139,285,716

As at 31 March 2023	Amount repayable within 1 year Rs.	Amount repayable after 1 year Rs.	Total Rs.
Bank Loans- Commercial Bank	64,285,710	10,714,292	75,000,002
	64,285,710	10,714,292	75,000,002
As at 31 March 2022			
Bank Loans- Commercial Bank	64,285,710	75,000,006	139,285,716
	64,285,710	75,000,006	139,285,716

Bank Loans	As at 01.04.2022 Rs.	Loans Obtained Rs.	Repayment Rs.	As at 31.03.2023 Rs.
Commercial Bank	139,285,716	-	(64,285,714)	75,000,002
	139,285,716	-	(64,285,714)	75,000,002

17. TRADE PAYABLES

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Trade Payables - Others	985,050,333	875,156,228	985,050,333	875,156,228
Trade Payables - Related Parties (17.1)	-	-	14,060,954	68,820,057
	985,050,333	875,156,228	999,111,287	943,976,285

17.1 Amount payable to Related Parties

		Group		Company	
Amount payable to Related Parties	**Relationship**	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Asia Siyaka Warehousing (Pvt) Ltd	Subsidiary	-	-	14,060,954	68,820,057
		-	-	14,060,954	68,820,057

The amount due to Asia Siyaka Warehousing (Pvt) Ltd is subject to an annual average interest rate of 26.75% (2022: 7.45%).

Notes to the Financial Statements contd.

18. INTEREST BEARING BORROWINGS ON CLIENT FINANCING

	Group / Company	
	2023 Rs.	2022 Rs.
Short Term Loans	990,000,000	593,000,000
	990,000,000	593,000,000

The Group has pledged its assets as security for the Interest Bearing Loans and Borrowings obtained as stated in Note 30.

19. REVENUE FROM CONTRACTS WITH THE CUSTOMERS

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Revenue from Contracts with Customers				
Brokerage Income	523,545,195	275,732,718	523,545,195	275,732,718
Packing Material Operations	3,432,883	2,398,882	3,432,883	2,398,882
Warehousing Income	297,716,396	266,293,664	2,196,734	2,780,445
Others	71,991,255	33,904,260	42,780,583	20,342,556
Total Revenue from Contracts with Customers	896,685,729	578,329,524	571,955,395	301,254,601
Interest on Loans and Client Advances	395,417,032	133,283,310	395,417,032	133,283,310
Total Revenue	1,292,102,761	711,612,834	967,372,427	434,537,911

20. OTHER INCOME AND GAINS

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Dividend Income	-	-	105,940,790	30,478,997
Profit / (Loss) on Sale of Property Plant and Equipment	1,064,081	536,550	-	-
Security Insurance	1,664,472	1,721,360	1,629,865	1,721,360
Consultancy Income	-	2,908,813	-	2,908,813
Commission Income	-	-	630,207	668,041
Cash Receipts from Write-off Loans and Advances	5,393,790	15,884,756	5,393,790	15,884,756
Solar Power Income	6,004,262	7,023,940	-	-
Exchange Gain/ (Loss)	491,898	2,107,941	491,898	2,107,941
Other Income - 3PL	967,699	-	-	-
Others	191,221	922,204	2,500	676,684
	15,777,423	31,105,564	114,089,050	54,446,592

21. FINANCE COST

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Bank Charges	1,518,833	1,173,688	1,489,286	1,147,038
Interest on Overdraft	466,519	70,137	466,019	69,637
Interest on Borrowings	266,786,348	69,411,766	244,267,599	54,806,384
Interest on Intercompany Advances	-	-	9,886,469	6,690,010
Interest Expense on Amortization of Lease Creditor	1,086,994	2,378,085	2,482,902	2,814,995
Ammortaization of Finance Cost-Staff	126,729	-	126,729	-
	269,985,423	73,033,676	258,719,004	65,528,064

22. FINANCE INCOME

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Interest on Savings Accounts	6,492,996	2,197,916	6,492,996	2,197,916
Interest on REPO Investment	-	75,731	-	75,731
Interest Income on Penalties	9,198,857	1,384,927	9,198,857	1,384,927
Other Interest	211,588	18,853	196,628	9,547
	15,903,441	3,677,427	15,888,481	3,668,121

23. PROFIT BEFORE TAX

	Group		Company	
Stated after Charging	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Employee Benefits including the following	148,606,196	137,768,278	107,977,660	99,686,163
Defined Contribution Plan Costs	17,664,900	16,654,975	12,613,002	11,873,336
Retirement Benefit Obligation - Gratuity	13,212,907	10,080,134	11,277,979	8,657,252
Depreciation and Amortization	87,003,606	85,446,260	12,443,532	12,548,148
Provision for Impairment of Loans & Advances	59,623,505	17,129,658	59,623,505	17,129,658
Provision/(Reversal) for Impairment of Trade Receivables	2,524,041	(594,696)	2,560,600	(615,706)
Bad Debt Written Off	6,586,904	385,808	6,451,577	385,808
External Audit Fees	1,082,991	916,485	795,157	646,234
Internal Audit Fees	798,000	648,000	798,000	648,000

Notes to the Financial Statements contd.

24. INCOME TAX EXPENSE

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Current Income Tax				
Current Income Tax Charge	144,751,412	40,463,552	120,412,623	23,019,068
Over/(Under) Provision of Tax Expense in respect of Prior years	637,562	100,346	540	-
	145,388,974	40,563,898	120,413,163	23,019,068
Deferred Income Tax				
Relating Origination and Reversal of Temporary Differences (Note 25)	(814,249)	11,029,090	(21,206,584)	8,790,137
	144,574,725	51,592,988	99,206,579	31,809,205

24.1 Reconciliation between Accounting Profit and Taxable Income

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Accounting Profit (Profit before Taxation)	397,710,641	170,762,528	413,895,820	136,958,268
Dividend Income from Group Companies	105,940,790	30,478,997	-	-
Other Consolidation Adjustments	105,770,383	30,791,665	-	-
Profit After Adjustments	609,421,814	232,033,190	413,895,820	136,958,268
Non-Deductible Items	213,585,963	134,619,058	135,369,712	56,347,793
Deductible Items	(295,162,869)	(173,954,657)	(173,967,186)	(62,497,204)
Statutory Income from Business	527,844,908	192,697,591	375,298,346	130,808,857
Investment Income	137,588,550	47,869,011	121,682,859	34,145,753
Tax Losses Utilized during the Year	-	(57,454,679)		(57,454,679)
Total Statutory Income	665,433,458	183,111,923	496,981,205	107,499,931
Total Taxable Income	665,433,458	183,111,923	496,981,205	107,499,931
Statutory Tax Rates				
-Income Tax on Profits (Up to 30/09/2022)	24%	24%	24%	24%
-Income Tax on Profits (From 01/10/2022)	30%	30%	30%	30%
Income Tax on Profit at 14%	27,886,262	20,728,192	14,831,711	4,267,060
Income Tax on Profit at 24%	57,368,491	19,735,360	46,924,850	18,752,008
Income Tax on Profit at 30%	59,496,659	-	58,656,062	-
Current Income Tax Charge	144,751,412	40,463,552	120,412,623	23,019,068
24.2 Effective Tax Rate	36%	24%	29%	17%

25. DEFERRED TAX

25.1 Deferred Tax Charge/(Reversal) Recognised through;

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Statement of Profit or Loss				
Charge/ (Reversal) Arising on During the Year Movement	1,824,683	11,029,089	18,606,917)	8,790,137
Charge/ (Reversal) Due to Change in Tax Rates	(2,638,932)	-	(2,599,667)	-
	(814,249)	11,029,089	(21,206,584)	8,790,137
Other Comprehensive Income				
Charge/ (Reversal) Arising on During the Year Movement	89,213,629	50,173,500	(1,595,347)	4,023,780
Charge/ (Reversal) Due to Change in Tax Rates	22,422,781	-	-	-
	111,636,410	50,173,500	(1,595,347)	4,023,780

25.2 Deferred Tax - Group

	Statement of Financial Position		Profit or Loss		Other Comprehensive Income	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Deferred Tax Liability						
Accelerated depreciation for Tax Purposes	90,023,576	68,840,513	21,183,063	2,238,343	-	-
Revaluation of PPE	214,750,180	101,387,745	-	-	113,362,435	45,591,589
	304,773,756	170,228,258	21,183,063	2,238,343	113,362,435	45,591,589
Deferred Tax Assets						
Defined Benefit Plans	(17,798,839)	(14,858,713)	(1,214,101)	(1,371,081)	(1,726,025)	4,581,911
Unused Tax Losses	-	-	-	13,789,123	-	-
Bad and Doubtful Debts	(31,850,786)	(10,555,726)	(21,295,060)	(3,997,808)	-	-
Unclaimed ROUA	(165,788)	(677,637)	511,849	370,512	-	-
	(49,815,413)	(26,092,076)	(21,997,312)	8,790,746	(1,726,025)	4,581,911
Deferred Income Tax Charge			(814,249)	11,029,089	111,636,410	50,173,500
Net Deferred Tax Liability	254,958,343	144,136,182				

Notes to the Financial Statements contd.

25.3 Deferred Tax - Company

	Statement of Financial Position		Profit or Loss		Other Comprehensive Income	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Deferred Tax Liability						
Accelerated depreciation for Tax Purposes	287,704	314,227	(26,523)	(125,105)	-	-
	287,704	314,227	(26,523)	(125,105)	-	-
Deferred Tax Assets						
Defined Benefit Plans	(15,099,279)	(13,078,785)	(425,147)	(1,229,042)	(1,595,347)	4,023,780
Provision for Bad and Doubtful Debts	(31,665,429)	(10,398,666)	(21,266,763)	(4,015,351)	-	-
Tax Loss	-	-	-	13,789,123	-	-
Unclaimed ROUA	(165,788)	(677,637)	511,849	370,512	-	-
	(46,930,496)	(24,155,088)	(21,180,061)	8,915,242	(1,595,347)	4,023,780
Deferred Income Tax Charge			(21,206,584)	8,790,137	(1,595,347)	4,023,780
Net Deferred Tax Liability	(46,642,792)	(23,840,861)				

26. EARNINGS PER SHARE

26.1 Basic Earnings Per Share is calculated by dividing the net profit for the year attributable to ordinary shareholders of the company, by the weighted average number of ordinary shares outstanding during the year.

26.2 The following reflects the income and share data used in the Basic Earnings Per Share computation.

	Group		Company	
Amount Used as the Numerator:	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Net Profit for the year	253,135,916	119,169,540	314,689,241	105,149,063
Number of Ordinary Shares Used as the Denominator:				
Weighted Average number of Ordinary Shares in issue applicable to Basic Earnings Per Share	260,000,000	260,000,000	260,000,000	260,000,000
Basic Earning Per Share	0.97	0.46	1.21	0.40

26.3 There were no potentially Dilutive Ordinary Shares outstanding at any time during the year.

27. DIVIDEND PER SHARE

	Group		Company	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Total Gross Dividends	124,800,000	26,000,000	124,800,000	26,000,000
Number of Shares	260,000,000	260,000,000	260,000,000	260,000,000
Dividend Per Share	0.48	0.10	0.48	0.10
27.1 Dividend Pay Out Ratio	49%	22%	40%	25%

28. SEGMENTAL INFORMATION AND REVENUE

Primary Reporting Format - Business Segments

As at 31 March 2023, the qualifying segments under business segment reporting are as follows;

- Commodity Brokering
- Warehousing

The following tables present revenue and profit and certain asset and liability information regarding the Group's Business Segments:

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss and is measured consistently with operating profit or loss in the consolidated financial statements.

	Commodity Brokering		Warehousing		Elimination of Inter Segment		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Revenue								
Revenue from Contracts with Customers	598,969,333	312,035,860	297,716,396	266,293,664	-	-	896,685,729	578,329,524
Interest on Loans and Client Advances	395,417,032	133,283,310	-	-	-	-	395,417,032	133,283,310
Total Revenue	994,386,365	445,319,170	297,716,396	266,293,664	-	-	1,292,102,761	711,612,834
Results								
Finance Costs	(258,719,004)	(65,528,064)	(22,548,796)	(14,632,532)	11,282,377	7,126,920	(269,985,423)	(73,033,676)
Finance Income	15,888,481	3,668,121	9,901,429	6,699,316	(9,886,469)	(6,690,010)	15,903,441	3,677,427
Depreciation & Amortization	(1,529,193)	(1,679,505)	(76,238,270)	(71,319,984)	-	-	(77,767,463)	(72,999,489)
Amortization of Right of Use Assets	(10,914,339)	(10,868,643)	(940,000)	(940,000)	2,618,196	2,635,617	(9,236,143)	(9,173,026)
Gratuity Expense	(11,277,979)	(8,657,252)	(1,934,928)	(1,422,882)	-	-	(13,212,907)	(10,080,134)
Profit before Income Tax	413,842,618	136,949,158	89,638,406	64,604,982	(105,770,383)	(30,791,611)	397,710,641	170,762,529
Assets and Liabilities								
Segment Assets	2,842,059,101	1,971,621,584	1,379,215,751	1,136,233,971	(213,537,874)	(260,458,871)	4,007,736,978	2,847,396,684
Segment Liabilities	2,317,522,523	1,633,198,574	452,545,544	346,456,082	(23,796,865)	(72,780,729)	2,746,271,202	1,906,873,927

Elimination of inter-segment transactions includes dividend income received from Asia Siyaka Warehousing (Private) Limited of Rs. 105,940,790/- (2022- Rs. 30,478,997/-), vehicle hire charges of Rs. 8,169,231/- (2022 - Rs. 7,380,000/-) and warehousing income of Rs. 3,843,697/- (2022 - Rs. 3,441,240/-).

Notes to the Financial Statements contd.

29. COMMITMENTS AND CONTINGENCIES

29.1 Capital Commitments

The Group/ Company has purchase and construction commitments on Property, Plant and Equipment incidental to the ordinary course of business as at 31 March, as follows:

	Group		Company	
	2023 LKR	2022 LKR	2023 LKR	2022 LKR
Authorised by the Board, but not Contracted for	-	17,400,000	-	-
	-	17,400,000	-	-

29.2 Contingencies

Asia Siyaka Warehousing (Pvt) Ltd issue Corporate Guarantees to banks on behalf of the parent company, at the reporting date corporate guarantees issued were amounted to Rs. 1,950 Mn (2022 - Rs. 1,400 Mn).

There have been no other significant contingencies as at the end of the reporting period that require adjustments to or disclosure in the financial statements.

30. ASSETS PLEDGED

30.1 Details of Assets Pledged together with the related banking facilities are as follows - Company

Bank	Nature of Facility	Facility Limit	Interest	Security/Assets pledged
NDB Bank	Short term loans	Rs. 150 Mn	Variable	Mortgage over book debts of Rs. 150 Mn and Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 150 Mn.
Commercial Bank	Short term loans	Rs. 400 Mn	Variable	Mortgage over book debts for Rs. 400 Mn and Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 400 Mn.
Hatton National Bank	Short term loans	Rs. 700 Mn	Variable	Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 700 Mn.
Seylan Bank	Short term loans	Rs. 400 Mn	Variable	Corporate Guarantee for Rs. 400 Mn from Asia Siyaka Warehousing (Pvt) Ltd.
Amana Bank	Short term loans	Rs. 300 Mn	Variable	Corporate Guarantee for Rs. 300 Mn from Asia Siyaka Warehousing (Pvt) Ltd.

30.2 Details of Assets Pledged together with the related banking facilities are as follows - Subsidiary

Bank	Nature of Facility	Amount	Interest	Security/Assets pledged
Commercial Bank	Long Term Loan	Rs. 450 Mn	AWPLR + 1.5% p.a	Mortgage the leasehold rights of the Muthurajawela land

31. EVENTS AFTER THE REPORTING PERIOD

There have been no material events occurring after the reporting period that require adjustments to the financial statements.
The board of directors of the company has declared an interim payment of Dividend of Rs. 0.35(35 Cents) per share on 30th May 2023 for the year ending 31st March 2023. This would result in a total cash outflow of Rs. 91,000,000/-.

32. RELATED PARTY DISCLOSURES

32.1 Details of significant related party disclosures are as follows;

	Group	
Nature of Relationship	**Lanka Commodity Brokers Ltd Parent**	**Total Rs.**
Nature of Transaction		
As at 01 April 2022	906,292	906,292
Sale of Goods and Rendering of Services	11,726,216	11,726,216
Payments Made	(11,151,819)	(11,151,819)
As at 31 March 2023	1,480,689	1,480,689

	Company		
Nature of Relationship	**Siyaka Produce Brokers (Pvt) Ltd Rs. Subsidiary**	**Asia Siyaka Warehousing (Pvt) Ltd Rs. Subsidiary**	**Total Rs.**
Nature of Transaction			
As at 01 April 2022	71,010	(68,820,057)	(68,749,047)
Sale of Goods and Services	-	(26,308,148)	(26,308,148)
Interest Cost on Loans	-	(9,886,469)	(9,886,469)
Fund Received/(Transferred)	-	(54,478,807)	(54,478,807)
Payments Made	-	135,349,373	135,349,373
Expenses Paid/ (Incurred)	53,200	10,083,154	10,136,354
As at 31 March 2023	124,210	(14,060,954)	(13,936,744)

The sales to and purchases from related parties are made at terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and subject to an average interest of 26.75% per annum except for balances from parent. The guarantees received from Asia Siyaka Warehousing (Private) Ltd is amounting to Rs. 1,950 Mn (2022 - Rs. 1,400 Mn). For the year ended 31 March 2023, the Company has not recorded any impairment of receivables relating to amounts owed by related parties (2022 - Nil). This assessment is undertaken in each financial year by examining the financial position of the related party and the market in which the related party operates.

Notes to the Financial Statements contd.

32.1.1 Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31st March 2023 audited financial statements, which required additional disclosure in the 2022/2023 Annual Report under Colombo Stock Exchange listing rule 9.3.2 and Code of Best Practice on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13 (c) of the Securities and Exchange Commission Act.

32.1.2 Non Recurrent related party transactions

There were no non -recurrent related party transactions which in aggregate value exceeds 10% of equity or 5% of total assets whichever is lower of the Company as per 31st March 2023 audited financial statements, which required additional disclosure in the 2022/2023 Annual Report under Colombo Stock Exchange listing rule 9.3.2 and Code of Best Practice on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13 (c) of the Securities and Exchange Commission Act.

32.2 Transactions with Key Management Personnel (KMP) of the Group

Related parties include KMPs defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Company and it's Subsidiaries. Such KMPs include the Board of Directors, Chief Executive Officer and Other Senior Management Executives of the Group who meet the criteria described above.

	Group	
	2023 Rs.	2022 Rs.
Salaries and Other Short Term Benefits	93,544,127	89,835,812
Post Employment Benefits	24,036,856	6,526,199
Loans to Employees	11,751,672	-
Contribution to Employees	5,000,000	-
	134,332,655	96,362,011

32.3 Following Directors are also Directors of the Related Entities

(i) Mr. S.T. Gunatilleke who is a Director of the Company is also the Chairman of Lanka Commodity Brokers Ltd.

(ii) Mr. A.R. Cooke, Mr. D.J. Wedande, Mr. Y. Kuruneru, Mr. R.C. Dissanayake, Mr. A. Vaithylingam and Mr. M.R. Morris who are Directors of the Company are also Directors of Asia Siyaka Warehousing (Pvt) Ltd which is a fully owned subsidiaries of the Company.

(iii) Mr. A.R. Cooke, Mr. D.J. Wedande and Mr. S.G. Amarasuriya who are Directors of the Company are also Directors of Siyaka Produce Brokers (Pvt) Ltd. which is a fully owned subsidiaries of the Company.

(iv) Mr. S.G. Amarasuriya, Mr. J.N. Dambawinne and Mr. M.R. Morris who are Directors of the Company are also Directors of Lanka Commodity Brokers Ltd

(v) Mr. H. R. V. Caldera who is a Director of the Company is also the Proprietor of VC Associates which provides consultancy services to the company. During the year the Company paid Rs. 5,379,753/- as consultancy fees to VC Associates.

(vi) Mr. D.J. Wedande who is a Director of the Company provides consultancy services to the company. During the year the Company paid Rs. 9,032,412/- as consultancy fees.

33. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group's principal financial liabilities comprise interest bearing loans and borrowings and trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations. The Group has trade and other receivables, and cash and short-term deposits that arrive directly from its operations.

The Group is exposed to market risk, credit risk and liquidity risk.

The senior management of the Group oversees the management of these risks. The senior management of the Group determine on financial risks and the appropriate financial risk governance framework for the Group. The financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with Group policies and risk appetite.

The Board of Directors reviews and agrees policies for managing each of these risks which are summarized below.

Market risk

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long term debt and short term borrowings with floating interest rates. The Group manages its risk by striking a balance between long term and short term debts. The Group has easy access to funds at competitive interest rates.

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of the long term and short term borrowings. With all other variables held constant, the Group's profit before tax is affected through the impact on floating rate borrowings as follows;

	Group		Company	
	Change in Basis Points	Change in Profit before Tax Rs.	Change in Basis Points	Change in Profit before Tax Rs.
2023	300 (3%)	31,950,000	300 (3%)	29,700,000
2022	300 (3%)	21,968,571	300 (3%)	17,790,000

Equity Price risk

The Group's listed equity securities are susceptible to market price risk arising from uncertainties about the future values of the investments securities.

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily for Trade receivables, Loans and advances) and from its financing activities, including deposits with banks.

Notes to the Financial Statements contd.

33. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTD.)

Trade receivables

Customer credit risk is managed in accordance with the Group's established policy, procedures and control relating to customer credit risk management. Individual credit limits are defined in accordance with the prior experience with the customers. Outstanding customer receivables are regularly monitored. The requirement for an impairment is analyzed at each reporting date on an individual basis for major clients. Additionally, a large number of minor receivables are grouped into homogenous groups and assessed for impairment collectively. The calculation is based on expected credit loss. Hence the Group evaluate the concentration of risk with respect to trade receivable as low.

The maximum exposure to credit risk at the reporting date is the carrying value of Trade and other receivables, Loans and advances and Cash and cash equivalents disclosed in Note 11, 12 and 13 respectively.

Liquidity risk

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual undiscounted payments.

	2023				
Group	**On demand Rs.**	**Less than 3 months Rs.**	**Payable Within 1 Year Rs.**	**Payable after 1 Year Rs.**	**Total Rs.**
Bank loans- Commercial Bank	-	-	64,285,710	10,714,292	75,000,002
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	990,000,000	-	-	990,000,000
Lease Liabilities	-	-	2,117,667	-	2,117,667
Trade Payables	-	985,050,333	-	-	985,050,333
Bank Overdrafts	183,951,763	-	-	-	183,951,763
	183,951,763	1,975,050,333	66,403,377	10,714,292	2,236,119,765

	2022				
	On demand Rs.	**Less than 3 months Rs.**	**Payable Within 1 Year Rs.**	**Payable after 1 Year Rs.**	**Total Rs.**
Bank loans- Commercial Bank	-	-	64,285,710	75,000,006	139,285,716
Interest-Bearing Loans and Borrowings on Client Financing - SLT	-	593,000,000	-	-	593,000,000
Lease Liabilities	-	-	10,717,967	2,058,216	12,776,183
Trade Payables	-	875,156,228	-	-	875,156,228
Bank Overdrafts	2,331,088	-	-	-	2,331,088
	2,331,088	1,468,156,228	75,003,677	77,058,222	1,622,549,215

	2023				
Company	**On demand Rs.**	**Less than 3 months Rs.**	**Payable Within 1 Year Rs.**	**Payable after 1 Year Rs.**	**Total Rs.**
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	990,000,000	-	-	990,000,000
Trade Payables	-	999,111,287	-	-	999,111,287
Lease Liabilities	-	-	4,029,071	7,700,299	11,729,370
Bank Overdrafts	183,951,763	-	-	-	183,951,763
	183,951,763	1,989,111,287	4,029,071	7,700,299	2,184,792,420

	2022				
	On demand Rs.	**Less than 3 months Rs.**	**Payable Within 1 Year Rs.**	**Payable after 1 Year Rs.**	**Total Rs.**
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	593,000,000	-	-	593,000,000
Trade Payables	-	943,976,285	-	-	943,976,285
Lease Liabilities	-	-	12,374,358	2,058,216	14,432,574
Bank Overdrafts	2,331,088	-	-	-	2,331,088
	2,331,088	1,536,976,285	12,374,358	2,058,216	1,553,739,947

Capital management

Capital includes equity attributable to the equity holders of the parent. The primary objective of the Group's capital management is to ensure that it maintains healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. The Group has long term debt in its capital structure amounting to Rs. 75 Mn. (2022- Rs. 139 Mn).

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2023 and 31 March 2022.

Shareholder Information

DIRECTORS' AND CEO'S SHAREHOLDING AS AT 31st MARCH 2023

		No. of Shares	%
1.	Mr. T. Someswaran	NIL	-
2.	Mr. A.R. Cooke	9,747,143	3.75
3.	Mr. D.J. Wedande	8,403,067	3.23
4.	Mr. S.T. Gunatilleke	130,000	0.05
5.	Mr. S.G. Amarasuriya	NIL	-
6.	Mr. Y. Kuruneru	2,499,063	0.96
7.	Mr. H.R.V. Caldera	NIL	-
8.	Mr. J.N. Dambawinne	NIL	-
9.	Mr. R.C. Dissanayake	1,279,808	0.49
10.	Mr. A. Vaithylingam	NIL	-
11.	Mr. M.R. Morris	NIL	-

SHARE PRICES FOR THE YEAR

	Market Price per Share	As at 31.03.2023	Date	As at 31.03.2022	Date
1.	Highest during the year	Rs. 6.30	23.09.2022	Rs. 4.30	01.02.2022
2.	Lowest during the year	Rs. 1.90	28.04.2022	Rs. 2.10	30.03.2022
3.	As at End of Year	Rs. 4.00	31.03.2023	Rs. 2.20	31.03.2022

	As at 31.03.2023	As at 31.03.2022
Number of Transactions during the year	18,350	13,625
Number of Shares Traded during the year	243,783,732	197,769,062
Value of Shares Traded during the year	Rs. 1,049,316,658	Rs.664,737,154

PUBLIC HOLDING

Public Holding percentage	-	40.49%
Number of shareholders representing the	-	2,127
The Float adjusted Market Capitalization	-	Rs. 421,049,820

SHARE DISTRIBUTION

Share Holding as at 31st March 2023

From	To	No. of Holders	No. of Shares	%
1	1,000	982	261,733	0.10
1,001	10,000	689	2,904,772	1.12
10,001	100,000	374	13,791,184	5.31
100,001	1,000,000	72	19,228,849	7.39
Over 1,000,000		16	223,813,462	86.08
		2,133	260,000,000	100.00

CATEGORIES OF SHAREHOLDERS

Local Individuals	2,044	70,510,529	27.12
Local Institutions	78	188,157,712	72.37
Foreign Individuals	11	1,331,759	0.51
Foreign Institutions	-	-	-
	2,133	260,000,000	100.00

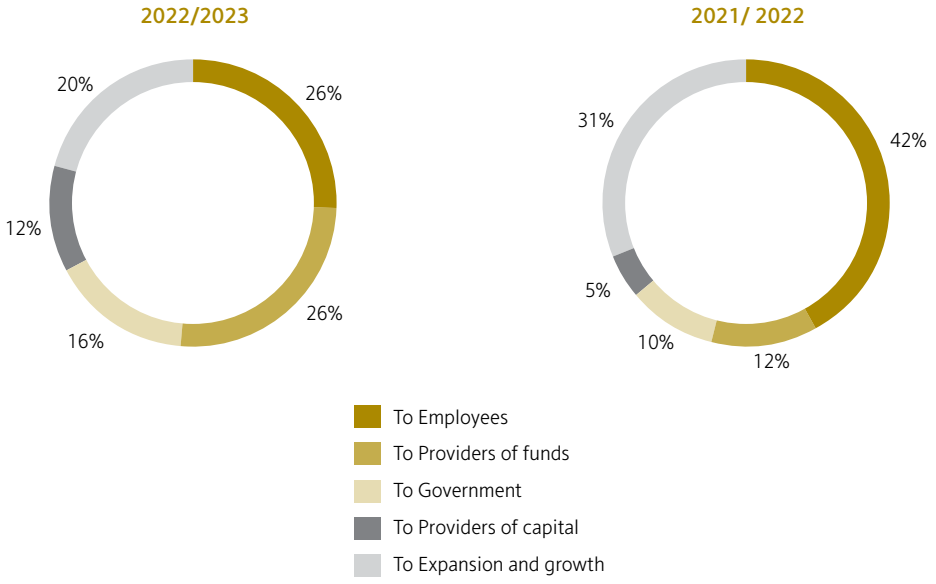
TWENTY MAJOR SHAREHOLDERS AS AT 31ST MARCH 2023

		As at 31st March 2023		As at 31st March 2022	
#	NAME	No. of Shares	%	No. of Shares	%
1.	LANKA COMMODITY BROKERS LIMITED	132,678,464	51.03	132,678,464	51.03
2.	MASKELIYA TEA EXPORTS PVT LTD	30,591,252	11.77	-	-
3.	CHADSTONE PVT LTD	13,485,035	5.19	13,485,035	5.19
4.	MR. K.V. HEWAVITARNE	11,000,000	4.23	12,630,136	4.86
5.	MR. A.R. COOKE	9,747,143	3.75	9,747,143	3.75
6.	MR. D.J. WEDANDE	8,403,067	3.23	8,353,067	3.21
7.	MR. W.M.K.S.N.D. FERNANDO	2,625,656	1.01	2,125,656	0.82
8.	MR. A.D. EDUSSURIYA	2,500,000	0.96	2,000,000	0.77
9.	MR. Y. KURUNERU	2,499,063	0.96	2,499,063	0.96
10.	CITIZENS DEVELOPMENT BUSINESS FINANCE PLC/RATHNAYAKE MUDIYANSELAGE NUWAN CHATHURANGE BANDARA	2,380,387	0.92	-	-
11.	HATTON NATIONAL BANK PLC/ALMAS HOLDINGS (PRIVATE) LIMITED	1,665,303	0.64	-	-
12.	MR. M.H.M. NAZEER (DECEASED)	1,500,000	0.58	1,500,000	0.58
13.	MERCHANT BANK OF SRI LANKA & FINANCE PLC/F.H.T.C. SILVA	1,324,042	0.51	-	-
14.	MR. R.C. DISSANAYAKE	1,279,808	0.49	1,279,808	0.49
15.	MR. M.I. BUHARDEEN	1,131,232	0.44	-	-
16.	MR. D.K.S.K. SENEVIRATHNA	1,003,010	0.39	-	-
17.	MR. B.L.S. PEIRIS & MRS L.B. PEIRIS	1,000,000	0.38	1,000,000	0.38
18.	DR. A.R. MOHAMED	827,338	0.32	107,698	0.04
19.	MR. H.K.S. HALLOLUWA	811,586	0.31	1,293,834	0.50
20.	MR. M.H.A.S.R.PERERA	800,000	0.31	800,000	0.31
		227,252,386	87.40	189,499,904	72.88
	OTHERS	32,747,614	12.60	70,500,096	27.12
		260,000,000	100.00	260,000,000	100.00

Value Added Statement

	Group				Company			
	2022/2023 Rs.	%	2021/2022 Rs.	%	2022/2023 Rs.	%	2021/2022 Rs.	%
Revenue	1,292,102,761		708,972,647		967,372,427		431,897,724	
Other Income	15,777,425		31,105,564		114,089,050		54,446,592	
	1,307,880,186		740,078,211		1,081,461,477		486,344,316	
Cost of materials and services obtained	(268,982,591)		(169,253,992)		(185,608,870)		(97,015,225)	
Value Addition	1,038,897,595		570,824,219		895,852,607		389,329,091	
Value Allocated to:								
To Employees								
Salaries, wages and other benefits	266,411,499	26	237,958,074	42	195,073,514	22	171,787,837	44
To Providers of funds								
Interest to money lenders	266,786,348	26	69,411,766	12	254,154,068	28	61,496,394	16
To Government								
VAT/NTB on Financial Service	19,611,223		6,051,397		19,611,223		6,051,397	
VAT / SSCL / Stamp Duty	684,072		485,475		674,450		476,875	
Rates & Taxes	690,205		708,712		-		10,172	
Income Tax	145,388,974		51,592,988		120,413,163		23,019,068	
Deferred Taxation	(814,251)		-		(21,206,584)		8,790,137	
	165,560,223	16	58,838,572	10	119,492,252	13	38,347,649	10
To Providers of capital								
Dividend paid to share holders	124,800,000	12	26,000,000	5	124,800,000	14	26,000,000	7
To expansion and growth								
Profit retained	128,335,916		93,169,540		189,889,241		79,149,062	
Depreciation and Amortization	87,003,605		85,446,267		12,443,532		12,548,149	
Deferred Taxation								
	215,339,525	21	178,615,807	31	202,332,773	23	91,697,211	24
	1,038,897,595	100	570,824,219	100	895,852,607	100	389,329,091	100

	Group			
	2022/2023	%	2021/ 2022	%
To Employees	266,411,499	26	237,958,074	42
To Providers of funds	266,786,348	26	69,411,766	12
To Government	165,560,223	16	58,838,572	10
To Providers of capital	124,800,000	12	26,000,000	5
To Expansion and Growth	215,339,525	20	178,615,807	31
	1,038,897,595	100	570,824,219	100



Note : Previous year figures were reclassified where relevent for better presentation and to be comparable with those of the current year.

Glossary of Financial Terms

ACCOUNTING POLICIES
The specific principals, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

ACCRUAL BASIS
Recording revenue & expenses in the period in which they are earned or incurred regardless of whether cash received or disbursed in that period.

AMORTISATION
The systematic allocation of the depreciable amount of an intangible asset over its useful life.

BORROWINGS
Bank loans, overdrafts, obligations and interest bearing liabilities.

CAPITAL EMPLOYED
Shareholders' funds plus debt.

CASH & CASH EQUIVALENT
Liquid investments with original maturity periods of three months or less.

CONTINGENT LIABILITY
A possible obligation that arises from past events whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise.

CURRENT RATIO
Current assets divided by current liabilities.

DEBT/EQUITY RATIO
Debt as a percentage of Shareholder funds.

DEFERRED TAXATION
Sum set aside for tax in the accounts of an entity that will become liable in a period other than that under review.

DIVIDEND PAYOUT RATIO
Profit paid out to shareholders as dividends as a percentage of profits made during the year.

DIVIDENDS
Distribution of profits to holders of equity investments.

EARNINGS PER SHARE
Profit attributable to ordinary shareholders divided by the number of ordinary shares.

GSA
The Gross Sales Average. This is the average sales price obtained (over a period of time, for a kilo of produce) before any deductions such as brokerage etc.

GRI
Global Reporting Initiatives

ISO
International Standards Organization

LEED
Leadership in Energy and Environmental Design

MARKET CAPITALISATION
Number of shares in issue at the end of the period multiplied by the market price.

NET ASSETS
Sum of fixed assets and current assets less total liabilities.

NET ASSETS PER SHARE
Net assets at the end of the period divided by the number of ordinary shares in issue.

NET TURNOVER PER EMPLOYEE
Net Turnover over average number of employees.

NSA
Net Sales Average.

PAT
Profit After Taxation.

PBT
Profit Before Taxation.

RELATED PARTIES
Parties who could control or significantly influence the financial and operating policies of the company.

RETURN ON EQUITY
Profit before tax divided by equity at the end of the period.

REVENUE RESERVE
Reserves considered as being available for distributions and investments or the portion of a business' profits retained by the company for investment in future growth, and are not redistributed to the shareholders through regular or special dividends.

SHAREHOLDER FUNDS
Total of issued and fully paid up capital and reserves.

STAFF TURNOVER RATIO
The ratio of the number of employees that leave a company through attrition, dismissal or resignation during a period to the number of employees on payroll during the same period.

TOTAL VALUE ADDED
The difference between revenue and expenses, cost of materials and services purchased from external sources.

VALUE ADDITION
The quantum of wealth generated by the activities of the group and its application.

VALUE CREATION
The performance of actions that increase the worth of goods, services or even a business.

WORKING CAPITAL
Current Assets exclusive of liquid funds and interest bearing financial receivables less operating liabilities plus non-interest bearing provisions.

Notice of Meeting

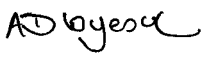
NOTICE IS HEREBY GIVEN that the 11th Annual General Meeting of Asia Siyaka Commodities PLC will be held at the Auditorium of the Ceylon Chamber of Commerce No. 50, Navam Mawatha, Colombo 2 on 25th September 2023 at 9.30 a.m. to conduct the following business:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company and its subsidiaries and the Statement of Accounts for the year ended 31st March 2023 and the Report of the Auditors thereon.
2. To re-elect Mr. A. Vaithylingam who retires in terms of Article 87(i) of the Articles of Association, as a Director of the Company.
3. To pass the ordinary resolution set out below to re-appoint Mr. H.R.V. Caldera who is 78 years of age, as a Director of the Company;

   "IT IS HEREBY RESOLVED THAT the age limit stipulated in Section 210 of the Companies Act, No.07 of 2007 shall not apply to Mr. H.R.V. Caldera who is 78 years of age and that he be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act No. 07 of 2007."
4. To pass the ordinary resolution set out below to re-appoint Mr. S.T. Gunatilleke who is 71 years of age, as a Director of the Company;

   "IT IS HEREBY RESOLVED THAT the age limit stipulated in Section 210 of the Companies Act, No.07 of 2007 shall not apply to Mr. S.T. Gunatilleke who is 71 years of age and that he be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act No. 07 of 2007."
5. To elect Mr. C.L. de Silva in terms of Article 94 of the Articles of Association, as a Director of the Company;
6. To re-appoint Messrs Ernst & Young, Chartered Accountants, the retiring Auditors and to authorise the Directors to determine their remuneration.
7. To authorise the Directors to determine donations for the year ending 31st March 2024 and up to the date of the next Annual General Meeting.

By Order of the Board
ASIA SIYAKA COMMODITIES PLC



P W Corporate Secretarial (Pvt) Ltd
Director / Secretaries
At Colombo

31st August 2023

Notes:
1. A shareholder is entitled to appoint a Proxy to attend and vote at the meeting on his/her behalf.
2. A Proxy need not be a shareholder of the Company.
3. A Form of Proxy accompanies this Notice.
4. The completed Form of Proxy should be deposited at the Office of the Company, 1st Floor, "Deutsche House", No. 320 T B Jayah Mawatha, Colombo 10 not later than 36 hours before the time appointed for the meeting.

Notes

Notes

Form of Proxy

*I/We..... holder of NIC No. .....

of ..... being a *Shareholder /Shareholders of Asia Siyaka Commodities PLC, do hereby appoint

..... holder of NIC No..... of

..... or failing him/her

Mr. C.L. de Silva	or failing him
Mr. A.R. Cooke	or failing him
Mr. D.J. Wedande	or failing him
Mr. S.T. Gunatilleke	or failing him
Mr. S.G. Amarasuriya	or failing him
Mr. Y. Kuruneru	or failing him
Mr. V. Caldera	or failing him
Mr. J.N. Dambawinne	or failing him
Mr. R.C. Dissanayake	or failing him
Mr. A. Vaithylingam	or failing him
Mr. M.R. Morris	

..... of .....

as *my/our proxy to represent me/us to speak and vote for me/us on my/our behalf at the 11th Annual General Meeting of the Company to be held on 25th September 2023 at the Auditorium of the Ceylon Chamber of Commerce No. 50, Navam Mawatha, Colombo 2 and at every poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

	For	Against
1. To re-elect Mr. A. Vaithylingam as Director in terms of Article 87 (i) of the Articles of Association of the Company.		
2. To pass the ordinary resolution set out in the Notice of Meeting under item 3 for the appointment of Mr. H.R.V. Caldera		
3. To pass the ordinary resolution set out in the Notice of Meeting under item 4 for the appointment of Mr. S.T. Gunatilleke		
4. To elect Mr. C.L. de Silva as Director in terms of Article 94 of the Articles of Association of the Company.		
5. To appoint Messrs. Ernst & Young Chartered Accountants as Auditors of the Company and to authorize the Directors to fix their remuneration.		
6. To authorize the Directors to determine donations for the year ending 31st March 2024 and up to the date of the next Annual General Meeting.		

In witness my/our* hands this..... day of ..... Two Thousand and Twenty Three

.....

Signature of Shareholder/s

*Please delete the inappropriate words.

Instructions as to completion are noted on the reverse thereof.

Form of Proxy contd.

Instructions as to Completion

1. The full name, National Identity Card number and the registered address of the shareholder appointing the Proxy and the relevant details of the Proxy should be legibly entered in the Form of Proxy which should be duly signed and dated.
2. The completed Proxy should be deposited at the Registered Office of the Company, 'First Floor' "Deutsche House", No. 320 T B Jayah Mawatha, Colombo 10 not later than 36 hours before the time appointed for the meeting.
3. The Proxy shall –
   (a) In the case of an individual be signed by the shareholder or by his/her attorney, and if signed by an Attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Proxy if it has not already been registered with the Company.
   (b) In the case of a company or corporate/statutory body either be under its Common Seal or signed by its Attorney or by an Officer on behalf of the company or corporate/statutory body in accordance with its Articles of Association or the Constitution or the Statute (as applicable).
4. Please indicate with a 'X' how the Proxy should vote on each resolution. If no indication is given, the Proxy in his/her discretion will vote as he/she thinks fit.
5. Articles 62 to 65 of the Articles of Association of the Company dealing with voting are quoted below for information of the shareholders.

62 Method of Voting

At any General Meeting a resolution put to the vote of the meeting shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded by-

i. the Chairman of the meeting; or
ii. not less than three persons present in person or by Attorney or representative or by proxy and entitled to vote; or
iii. a Member or Members present in person or by Attorney or representative or by proxy and representing not less than one tenth of the total voting rights of all the Members having the right to vote at the meeting; or
iv. a Member or Members present in person or by attorney or representative or by proxy and holding shares in the Company conferring a right to vote at the meeting being shares on which an aggregate sum has been paid up equal to not less than one tenth of the total sum paid up on all the shares conferring that right.

A demand for a poll may be withdrawn, unless a poll be demanded (and the demand be not withdrawn) a declaration by the Chairman of the meeting that a resolution has been carried, or carried unanimously, or by a particular majority, or lost, and an entry to that effect in the minute book, shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded for or against such resolution.

63 How A Poll is to be Taken

If a poll is duly demanded (and the demand be not withdrawn), it shall be taken in such manner (including the use of ballot or voting papers or tickets) as the Chairman of the meeting may direct, and the results of a poll shall be deemed to be the resolution of the meeting at which the poll was demanded. The Chairman may (and if so requested shall) appoint scrutinizers and may adjourn the meeting to some place and time fixed by him for the purpose of declaring the result of the poll.

64 In the case of an equality of votes, whether on a show of hands or on a poll, the Chairman of the meeting at which the show of hands takes place or at which the poll is demanded shall be entitled to a second or casting vote.

65 A poll demanded on the election of a Chairman of the meeting or on a question of a adjournment shall be taken forthwith. A poll demanded on any other question shall be taken either immediately or at such subsequent time (not being more than thirty days from the date of the meeting) and place as the Chairman may direct. No notice need be given of a poll not taken immediately.

Corporate Information

Name of the Company
ASIA SIYAKA COMMODITIES PLC

Company Registration No
PV3562PB/PQ

Legal Form
A Public Quoted Company with Limited Liability

Date of Incorporation
The Company was incorporated bearing Company Registration No. PV3562 on February 16, 1998 and was converted to a public limited liability company on March 28, 2012 under Company Registration No. PV3562/PB.

The shares were listed in the Colombo Stock Exchange on September 12, 2012. Consequently the name of the Company changed to Asia Siyaka Commodities PLC and the registration number to PV3562PB/PQ.

Nature of Business
To carry on the business of Tea Brokers, Rubber Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agent and General Agents

Head Office & Registered Office
1st Floor, "DEUTSCHE HOUSE"
No. 320, T B Jayah Mawatha, Colombo 10
Telephone : +94 114 600700
Fax: +94 112 678145
E-mail: tea@siyaka.lk
Website: www.asiasiyaka.com

Board of Directors
Mr. T. Someswaran - Chairman
(Retired w.e.f. 01/06/2023)
Mr. C.L. de Silva - Chairman
(Appointed w.e.f. 23/06/2023)
Mr. A.R. Cooke -
Managing Director
Mr. D.J. Wedande -
Executive Director
Mr. S.T. Gunatilleke -
Non-Executive Director
Mr. S.G. Amarasuriya -
Executive Director
Mr. Y. Kuruneru -
Executive Director
Mr. H.R.V. Caldera -
Non-Executive Director
Mr. J.N. Dambawinne -
Non-Executive Director
Mr. R.C. Dissanayake -
Executive Director
Mr. S.S. Samaranayake -
Executive Director
(Ceased w.e.f. 28/11/2022)
Mr. A. Vaithylingam -
Non-Executive Director
Mr. M.R. Morris -
Non-Executive Director

Subsidiary Companies
Asia Siyaka Warehousing (Private) Limited
Siyaka Produce Brokers (Private) Limited

Secretaries
P W Corporate Secretarial (Pvt) Ltd
3/17, Kynesy Road, Colombo 08.
Telephone : +94 114 640360-3
Fax : +94 114 740588

Lawyers
Rohanadeera Associates
Attorneys-at-Law & Notaries Public,
No. 34 1/39, Lawyers' Office Complex,
St. Sebastian Hill, Colombo 12.

External Auditors
Ernst & Young,
Chartered Accountants,
201, De Saram Place,
P.O.Box 101, Colombo 10.

Internal Auditors
BDO Consulting (Pvt) Ltd
Management & Corporate Consultants,
"Charter House"
65/2, Sir Chittampalan A. Gardiner
Mawatha, Colombo 2.

Bankers
Amana Bank PLC
Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
NDB Bank PLC
Peoples Bank
Sampath Bank PLC
Seylan Bank PLC

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www.optimadesigns.lk

ASIA Siyaka COMMODITIES PLC.

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